

AP BUSINESS WITH PERSONAL FINANCE

Case Handouts

Student Print Edition

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1.1-1.8 • Business Foundations

2.1-2.7 • Marketing

3.4-3.9 • Finance

4.1-4.4 • Management & Strategy

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Bombas — Case Handout

Topic 1.1 What Is a Business · Read before class. Be ready to discuss.

Background

Bombas is an American apparel company founded in 2013 by David Heath and Randy Goldberg in New York City. The company sells socks, underwear, and T-shirts through its website and retail partners such as Nordstrom and Dick's Sporting Goods. Bombas operates a buy-one-give-one model: for every item purchased, one is donated to a homeless shelter.

The founders were inspired by a statistic: socks are the most requested clothing item in homeless shelters. They launched a Kickstarter campaign in 2013 and raised \$140,000 in 30 days. In 2014, Bombas appeared on Shark Tank Season 6 and secured a deal with Daymond John (\$200,000 for 17.5% equity). As of 2024, Bombas has donated over 100 million items. The company sells premium socks at higher prices than mass-market brands, citing features such as seamless toe construction, arch support, and blister tabs.

Key Events

Year	Event
2013	David Heath and Randy Goldberg found Bombas after learning socks are the #1 requested item in homeless shelters
2013	Launches Kickstarter campaign — raises \$140,000 in 30 days
2014	Appears on Shark Tank Season 6; secures a deal with Daymond John (\$200,000 for 17.5% equity)
2014–2018	Growth through online sales; expands product line from socks to underwear and T-shirts
2020	Reaches 50 million items donated; expands retail partnerships (Nordstrom, Dick's Sporting Goods)
2023	Surpasses 100 million items donated

Questions

1. Respond to parts A, B, and C.

- (A) Identify the business model Bombas uses to connect each sale to a social cause.
- (B) Explain how this model helps Bombas justify charging higher prices than mass-market sock brands.
- (C) Predict what would happen to Bombas's sales if the company ended its donation program but kept its prices the same. Support your prediction with evidence from the scenario.
-

2. Respond to parts A, B, and C.

- (A) Identify the method Bombas used to test customer demand before manufacturing at scale.
- (B) Explain what the \$140,000 raised through that method told the founders about their business idea.
- (C) Describe one risk the founders would have faced if they had skipped this step and gone directly to large-scale production.
-

3. Respond to parts A, B, and C.

- (A) Identify the difference between a customer and a consumer.
- (B) Apply these terms to Bombas's buy-one-give-one model: who is the customer and who is the consumer of the donated pair of socks?
- (C) Explain why it matters for a business to understand who its customer is, even when the consumer is a different person.
-

4. Respond to parts A, B, and C.

Bombas sells socks, underwear, and T-shirts. The company also offers customer support, free returns, and a lifetime satisfaction guarantee.

- (A) Identify whether Bombas sells goods, services, or both.
- (B) Describe one specific service Bombas provides beyond the physical product.

(C) Explain how the services Bombas provides support its ability to sell its goods at premium prices.

5. Respond to parts A, B, and C.

Bombas expanded its product line from socks to underwear and T-shirts between 2014 and 2018.

(A) Identify the new product categories Bombas added after socks.

(B) Explain one reason why expanding into related product categories could strengthen Bombas's business.

(C) Predict what might happen to Bombas's brand identity if the company expanded into unrelated categories such as electronics or kitchen appliances. Support your prediction with reasoning.

Keep this handout for reference during class discussion.

VANCL (凡客诚品) — Case Handout

Topic 1.1 What Is a Business · Read before class. Be ready to discuss.

Background

VANCL (凡客诚品) was a Chinese e-commerce company founded in 2007 by Chen Nian (陈年) in Beijing. The company sold apparel and lifestyle products directly to consumers online at low prices. Chen Nian was a co-founder of Joyo.com (卓越网), one of China's early e-commerce platforms, which was later acquired by Amazon.

VANCL grew rapidly between 2008 and 2011 through aggressive internet advertising (banner ads, search engine marketing). The company's value proposition was decent-quality clothing at the lowest possible price, delivered to the customer's door. At its peak in 2010, VANCL's valuation exceeded \$3 billion, and it sold tens of millions of items per year. The brand marketed itself as "人民快时尚" (people's fast fashion).

In 2011, VANCL began expanding product lines far beyond apparel — into electronics, home goods, cosmetics, and kitchenware. Inventory management became difficult, product quality declined, and the brand identity became diluted. Revenue collapsed in 2013–2014, and the company laid off thousands of employees. VANCL has since shrunk to a fraction of its former scale.

Key Events

Year	Event
2007	Chen Nian founds VANCL in Beijing; launches with men's shirts and casual wear sold online
2008–2010	Aggressive internet advertising drives rapid revenue growth; VANCL becomes one of China's most recognized e-commerce brands
2010	Peak valuation exceeds \$3 billion
2011	Expands product lines far beyond apparel — into electronics, home goods, cosmetics, kitchenware; inventory management becomes chaotic
2011–2012	Over-expansion leads to massive unsold inventory; product quality declines; brand identity becomes diluted
2013–2014	Revenue collapses; company lays off thousands of employees; attempts to refocus on core apparel
2014–present	VANCL shrinks dramatically; brand fades from public consciousness

Questions

1. Respond to parts A, B, and C.

(A) Identify VANCL's original value proposition to customers.

(B) Explain how VANCL captured value (generated revenue) from this value proposition.

(C) Describe one reason why a low-price, high-volume business model is difficult to sustain over time.

2. Respond to parts A, B, and C.

VANCL expanded from T-shirts and casual wear into electronics, home goods, cosmetics, and kitchenware starting in 2011.

(A) Identify two product categories VANCL added beyond its original apparel line.

(B) Explain how this expansion affected VANCL's inventory management and product quality.

(C) Predict what would have happened to VANCL if the company had expanded only into closely related apparel categories (e.g., shoes, outerwear) instead of unrelated categories. Support your prediction with reasoning.

3. Respond to parts A, B, and C.

VANCL marketed itself as "人民快时尚" — affordable, decent-quality fashion for the masses.

(A) Describe the target customer VANCL was trying to serve with this positioning.

(B) Explain how expanding into unrelated product categories affected VANCL's relationship with that target customer.

(C) Recommend one specific strategy VANCL could have used to grow its business without diluting its brand identity.

4. Respond to parts A, B, and C.

VANCL used aggressive internet advertising — banner ads and search engine marketing — to drive rapid growth between 2008 and 2010.

(A) Identify the marketing channels VANCL used to acquire customers.

(B) Explain how these marketing channels contributed to VANCL's rapid growth.

(C) Explain why rapid customer acquisition through advertising alone may not be sufficient to build a sustainable business.

5. Respond to parts A, B, and C.

(A) Identify one specific internal factor (related to management decisions) that contributed to VANCL's decline.

(B) Explain how that factor affected VANCL's ability to continue creating value for customers.

(C) Based on VANCL's experience, describe one lesson that applies to any business that grows rapidly through low prices and aggressive advertising.

Keep this handout for reference during class discussion.

ofo (小黄车) — Case Handout

Topic 1.1 What Is a Business · Read before class. Be ready to discuss.

Background

ofo was a Chinese bike-sharing company founded in 2014 by Dai Wei (戴威) at Peking University, Beijing. The service allowed users to unlock and ride yellow bicycles using a smartphone app, then park them at their destination. ofo operated a dockless model — no fixed stations were required.

Dai Wei started by running a campus bike-sharing program for Peking University students. He expanded the concept to other university campuses, then to cities across China and internationally. At its peak in 2017, ofo operated over 10 million bicycles in more than 200 cities across 20 countries. The company raised over \$2 billion in venture capital and was valued at approximately \$3 billion.

ofo's primary revenue came from ride fees paid by users through the app. During 2016–2017, ofo engaged in a subsidy war with competitor Mobike (摩拜), offering rides for as little as 1 yuan or free. By 2018, the company faced a cash flow crisis: maintenance costs for millions of bicycles exceeded revenue, and the subsidy war had burned through much of its funding. Millions of users queued online to withdraw their deposits. The company effectively ceased major operations by 2019–2020, and Dai Wei was reportedly restricted from high-speed rail and flights due to unpaid debts.

Key Events

Year	Event
2014	Dai Wei founds ofo at Peking University as a campus bike-sharing project
2015	Receives angel funding; expands to other university campuses across Beijing
2016	Raises significant VC funding; expands to cities across China; dockless model attracts millions of users
2016–2017	Subsidy war with Mobike — both companies offer rides for as little as 1 yuan or free
2017	Peak: over 10 million bicycles in 200+ cities in 20 countries; raises \$2 billion+ in total funding; valued at ~\$3 billion
2018	Cash flow crisis: maintenance costs exceed revenue; subsidy war burns through cash; users report millions of broken or abandoned bikes
2018–2019	Unable to pay suppliers; user deposit refund crisis — millions of users queue online to withdraw deposits
2019–2020	Company effectively ceases major operations; most remaining bikes abandoned or scrapped
2020–present	ofo survives at a tiny fraction of its former scale; Dai Wei restricted from high-speed rail and flights due to unpaid debts

Questions

1. Respond to parts A, B, and C.

- (A) Identify the business model ofo used to generate revenue.
- (B) Explain why ofo's revenue from ride fees was insufficient to cover its costs during 2017–2018.
- (C) Describe one specific change ofo could have made to its pricing or cost structure to improve its chances of survival.

2. Respond to parts A, B, and C.

- (A) Identify the strategy ofo used to attract users during 2016–2017.

(B) Explain the intended benefit of this strategy and why it was risky.

(C) Predict what would have happened to ofo's user base if the company had never offered subsidies and had charged market-rate prices from the start.

3. Respond to parts A, B, and C.

ofo started as a campus project at Peking University and later expanded to cities across China and internationally.

(A) Describe one difference between operating a bike-sharing service on a university campus and operating one in a major city.

(B) Explain how that difference affected ofo's costs when the company scaled up.

(C) Explain what ofo's experience suggests about the risks of scaling a business model that works in one setting into a different setting.

4. Respond to parts A, B, and C.

ofo created value for users by providing cheap, convenient transportation. The company raised over \$2 billion in venture capital.

(A) Identify one specific way ofo created value for its users.

(B) Explain why creating value for users was not enough to make ofo a sustainable business.

(C) Recommend one specific action ofo's founders could have taken to better balance value creation for users with value capture for the company.

5. Respond to parts A, B, and C.

By 2018, millions of ofo bicycles were broken or abandoned on city streets. Users were unable to recover their deposits.

(A) Identify two stakeholder groups that were negatively affected by ofo's collapse.

(B) Explain how ofo's failure to maintain its bicycles affected each stakeholder group you identified.

(C) Describe what a city government might do to prevent a similar situation if another bike-sharing company applied to operate in the city.

Keep this handout for reference during class discussion.

Genki Forest (元气森林) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

Genki Forest (元气森林) is a Chinese beverage company founded in 2016 by Tang Binsen (唐彬森) in Beijing. The company sells zero-sugar, zero-calorie sparkling water and tea drinks in a market dominated by sugary sodas and traditional tea beverages. The zero-sugar formula uses erythritol and stevia (natural sweeteners) instead of sugar.

Tang Binsen was a tech entrepreneur — founder of a mobile gaming company — who applied a data-driven, rapid-testing approach to the beverage industry. He identified a growing health-consciousness trend among Chinese consumers and designed products to match. Genki Forest uses the Japanese kanji character "氦" (ki) in its branding instead of the simplified Chinese character "气." The packaging and visual identity are designed to evoke a Japanese aesthetic, positioning the brand as a premium product — even though Genki Forest is a Chinese company.

Genki Forest grew from zero to over \$1.5 billion in annual revenue within five years. The brand is sold in convenience stores (FamilyMart, 7-Eleven), supermarkets, and online platforms across China, and has expanded to Southeast Asia, Japan, and North America.

Key Events

Year	Event
2016	Tang Binsen founds Genki Forest; launches zero-sugar sparkling water in Japanese-inspired packaging
2017-2018	Growth through convenience store distribution — places products in FamilyMart, 7-Eleven, and similar chains
2019	Product goes viral on social media; sales grow 300%+ year-over-year
2020	Annual revenue exceeds 3 billion yuan (~\$450M); raises significant VC funding
2021	Annual revenue exceeds 7 billion yuan (~\$1 billion); expands to milk tea, juice, and sports drinks
2022-2024	Competition intensifies — Coca-Cola launches "AH!HA!" sparkling water, Pepsi launches "Bubly," and numerous Chinese brands enter the zero-sugar market

Questions

1. Respond to parts A, B, and C.

- (A) Identify three specific features Genki Forest uses to distinguish its products from other beverages on the market.
- (B) Explain which of these three features is most difficult for competitors to copy, and why.
- (C) Predict what will happen to Genki Forest's market position as large competitors like Coca-Cola and Pepsi launch their own zero-sugar products.

2. Respond to parts A, B, and C.

Tang Binsen was a tech entrepreneur, not a beverage expert. He applied a data-driven, rapid-testing approach to developing drinks.

- (A) Describe the method Tang Binsen used to identify which products to develop.
- (B) Explain how this method reduced the risk of launching products that consumers would not buy.

(C) Explain why a data-driven approach to product development might be more effective in the beverage industry than relying on expert intuition alone.

3. Respond to parts A, B, and C.

Genki Forest uses the Japanese kanji "気" in its brand name and Japanese-inspired packaging — even though it is a Chinese company.

(A) Identify the image Genki Forest is trying to create through this branding choice.

(B) Explain why this image might appeal to Chinese consumers.

(C) Evaluate whether this branding choice could become a risk for Genki Forest as it expands internationally, particularly in Japan.

4. Respond to parts A, B, and C.

Genki Forest's first products were sold through convenience stores like FamilyMart and 7-Eleven.

(A) Identify the type of customer who shops at convenience stores in Chinese cities.

(B) Explain why convenience stores were a suitable distribution channel for Genki Forest's target customer.

(C) Recommend one additional distribution channel Genki Forest should prioritize to reach new customer segments. Support your recommendation with reasoning.

5. Respond to parts A, B, and C.

By 2022–2024, multiple large competitors launched zero-sugar sparkling water products to compete with Genki Forest.

(A) Identify the competitors mentioned in the scenario that entered the zero-sugar market.

(B) Explain how the entry of these competitors affects Genki Forest's position in the market.

(C) Recommend two specific actions Genki Forest could take to maintain its position against competitors with larger resources and established distribution networks.

Keep this handout for reference during class discussion.

Coca-Cola vs. Chinese Soda Brands — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

This case compares Coca-Cola — the world's largest beverage company — with Chinese domestic soda brands such as Tianfu Cola (天府可乐), Laoshan Cola (崂山可乐), Beipingyang (北冰洋), and Bingfeng (冰峰).

Coca-Cola sells a bottle of cola for about 3 yuan (~\$0.40) in China and earns a profit. Chinese domestic soda brands sell their cola for 7 yuan (~\$1.00) or more, and many struggle to break even.

Factor	Coca-Cola	Chinese Soda Brands
Scale	Global operations in 200+ countries; billions of bottles/year	Regional operations; millions of bottles/year
Supply chain	Global supply chain; negotiates lowest prices for sugar, packaging, logistics	Smaller supply chains; higher per-unit costs for ingredients and packaging
Distribution	Owns or controls bottling plants and distribution networks worldwide	Relies on regional distributors; limited national reach
Brand recognition	Among the most recognized brands on Earth	Strong regional loyalty (e.g., Beipingyang in Beijing, Bingfeng in Xi'an) but limited national awareness
Price per bottle (China)	~3 yuan	~7 yuan or more
Profitability	Profitable at 3 yuan	Many brands struggle to break even at 7 yuan

The Chinese cola market is dominated by two global firms: Coca-Cola and Pepsi. Domestic brands survive through regional loyalty built on local taste preferences and nostalgia — for example, Beipingyang is preferred in Beijing and Bingfeng in Xi'an.

Questions

1. Respond to parts A, B, and C.

(A) Using data from the table above, identify two specific factors that allow Coca-Cola to sell cola at 3 yuan and still earn a profit.

(B) Explain how each factor you identified contributes to Coca-Cola's lower per-unit cost.

(C) Explain why a Chinese domestic soda brand cannot easily replicate these factors.

2. Respond to parts A, B, and C.

Chinese soda brands like Beipingyang and Bingfeng have strong regional loyalty — consumers in Beijing and Xi'an prefer them over Coca-Cola.

(A) Identify the geographic areas where Beipingyang and Bingfeng have the strongest customer loyalty.

(B) Explain why this regional loyalty exists.

(C) Explain why this loyalty has not enabled these brands to compete with Coca-Cola nationally.

3. Respond to parts A, B, and C.

The Chinese cola market is dominated by Coca-Cola and Pepsi.

(A) Identify the type of market structure described in this scenario.

(B) Explain how this market structure affects the pricing power of smaller domestic soda brands.

(C) Recommend one specific strategy a domestic soda brand could use to survive in this market structure. Support your recommendation with reasoning.

4. Respond to parts A, B, and C.

Some Chinese soda brands have tried to compete by emphasizing nostalgia, local identity, and unique flavors rather than competing on price.

(A) Describe the target customer this strategy is designed to attract.

(B) Explain why these customers might be willing to pay 7 yuan or more for a domestic soda when Coca-Cola costs 3 yuan.

(C) Evaluate whether this strategy is sustainable for a domestic soda brand that wants to grow beyond its home region.

5. Respond to parts A, B, and C.

Coca-Cola's price advantage comes from producing billions of bottles globally.

(A) Identify one specific cost that decreases as a company produces more units.

(B) Explain the business concept that describes why Coca-Cola's per-unit costs fall as production volume increases.

(C) Predict what would happen to Chinese domestic soda brands' profitability if they could somehow increase their production volume to match Coca-Cola's scale in China.

Keep this handout for reference during class discussion.

Zhong Xue Gao (钟薛高) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

Zhong Xue Gao (钟薛高) was a Chinese premium ice cream brand founded in 2018 by Lin Sheng (林盛) in Shanghai. The name sounds like a traditional Chinese name and is also a homophone for "中雪糕" (Chinese ice cream). The company sold ice cream bars priced at 13–66 yuan (~\$2–\$9 USD) per bar — 3 to 10 times the price of standard ice cream. The products were marketed as made with natural ingredients and featured a distinctive curved wafer-tile shape.

Lin Sheng was a marketing veteran who previously worked on branding for other food companies. The brand grew rapidly in 2019–2021 through social media marketing, and annual sales reportedly exceeded 1 billion yuan. The company raised venture capital funding and expanded distribution to convenience stores, supermarkets, and online platforms.

In 2022, a series of controversies led to a collapse. Consumers discovered that some products were sold at inflated prices in convenience stores and called Zhong Xue Gao an "雪糕刺客" (ice cream assassin) — products that look affordable but cost far more than expected at the register. Reports also emerged that some products did not melt even when left at room temperature for extended periods, raising questions about ingredient quality. By 2024, the brand had largely disappeared from the market, and the company faced lawsuits from suppliers and partners.

Key Events

Year	Event
2018	Lin Sheng founds Zhong Xue Gao in Shanghai; launches premium ice cream bars priced at 13–66 yuan
2019	Brand goes viral on social media; marketed as "Chinese luxury ice cream" with natural ingredients
2020–2021	Expands distribution; annual sales exceed 1 billion yuan; raises VC funding
2022 (summer)	Pricing backlash — consumers call the brand "雪糕刺客" (ice cream assassin); viral social media criticism
2022	Product quality controversy — reports that some products do not melt at room temperature; consumers question ingredient claims
2023	Lin Sheng publicly defends the brand but loses consumer trust; retail partners reduce orders; unsold inventory accumulates
2024	Brand effectively exits the market; products disappear from shelves; lawsuits from suppliers and partners

Questions

1. Respond to parts A, B, and C.

Zhong Xue Gao priced its ice cream at 13–66 yuan — 3 to 10 times the price of standard ice cream brands.

(A) Identify what Zhong Xue Gao would need to deliver to customers to justify this premium price.

(B) Explain whether the brand delivered on this promise, using evidence from the scenario.

(C) Describe what happened to customer trust when the brand failed to deliver on its promise.

2. Respond to parts A, B, and C.

Consumers called Zhong Xue Gao an "雪糕刺客" (ice cream assassin) — products that look affordable but shock you at the register.

(A) Describe the customer experience that led to this nickname.

(B) Explain how this experience affected customers' willingness to buy the product again.

(C) Predict what would have happened to Zhong Xue Gao's sales if the company had made its prices clearly visible on all packaging and store displays.

3. Respond to parts A, B, and C.

Reports emerged that some Zhong Xue Gao products did not melt even when left at room temperature for extended periods.

(A) Identify the concern this raised among consumers.

(B) Explain how this controversy affected the brand's claim of using high-quality, natural ingredients.

(C) Evaluate whether a premium brand can survive when its product does not match its marketing claims.

4. Respond to parts A, B, and C.

Social media played a role in both Zhong Xue Gao's rise (viral marketing in 2019) and its fall (viral criticism in 2022).

(A) Identify one way social media helped the brand grow between 2018 and 2021.

(B) Identify one way social media contributed to the brand's collapse in 2022.

(C) Explain what this pattern suggests about the relationship between social media marketing and business sustainability.

5. Respond to parts A, B, and C.

Zhong Xue Gao raised venture capital funding and expanded rapidly between 2019 and 2021.

(A) Identify the external funding source the company used to support its growth.

(B) Explain why rapid expansion funded by external investment can be risky for a company that has not yet established consistent product quality and customer trust.

(C) Recommend one specific strategy Zhong Xue Gao's founders could have followed to grow the business more sustainably.

Keep this handout for reference during class discussion.

Haidilao (海底捞) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

Haidilao International Holding Ltd. is a Chinese hot pot restaurant chain founded in 1994 by Zhang Yong in Jianyang, Sichuan Province. Customers cook their own ingredients in a shared pot of broth at the table. As of 2024, Haidilao operates over 1,400 restaurants in China and internationally (U.S., U.K., Japan, South Korea, Singapore, Australia), with annual revenue exceeding \$5 billion. The company went public on the Hong Kong Stock Exchange in 2018.

Haidilao's hot pot is similar to what hundreds of other Chinese hot pot chains serve. What distinguishes Haidilao is its service model: while waiting for a table, customers receive free manicures, snacks, and shoe-shining services. During the meal, staff perform noodle-pulling demonstrations and sing birthday songs. Staff are trained to anticipate customer needs — offering phone cases, charging cables, and lap blankets for children — and are empowered to resolve problems on the spot without manager approval. Employees who receive positive customer feedback earn bonuses and promotion opportunities. Zhang Yong's stated philosophy is: "Take care of your employees first; they will take care of your customers."

Haidilao's employees go through an in-house training program focused on customer service skills, not culinary technique. The company does not recruit from culinary schools. Its training costs per employee are among the highest in the Chinese restaurant industry.

Key Events

Year	Event
1994	Zhang Yong opens the first Haidilao — a four-table hot pot shop in Jianyang, Sichuan
1999	Opens first branch outside Sichuan, in Xi'an, Shaanxi Province
2004	Begins expanding to major Chinese cities; word-of-mouth about service quality drives customer growth
2010s	Customer stories about Haidilao's service spread on social media; the brand gains national recognition
2018	IPO on the Hong Kong Stock Exchange; market capitalization exceeds HK\$100 billion
2020	COVID-19 forces restaurant closures; Haidilao pivots to delivery hot pot kits and takeout
2021	Haidilao closes approximately 300 underperforming restaurants after expanding too quickly during the post-COVID recovery
2022–2024	Refocuses on operational efficiency; continues international expansion

Questions

1. Respond to parts A, B, and C.

(A) Identify a specific factor described in the scenario that gives Haidilao an advantage over other hot pot restaurants.

(B) Explain how the factor you identified in part A contributes to Haidilao's ability to attract and retain customers.

(C) Explain why a competing hot pot restaurant would find it difficult to copy the factor you identified in part A.

2. Respond to parts A, B, and C.

(A) Using data from the scenario, identify a challenge Haidilao faced as a result of its rapid expansion.

(B) Describe how Haidilao responded to the challenge you identified in part A.

(C) Explain what Haidilao's experience suggests about the relationship between rapid growth and business viability.

3. Respond to parts A, B, and C.

Zhang Yong stated: "Take care of your employees first; they will take care of your customers."

(A) Identify a specific action Haidilao takes to "take care of" its employees, as described in the scenario.

(B) Explain how the action you identified in part A affects Haidilao's customers.

(C) Predict what would happen to Haidilao's competitive position if the company reduced its investment in employee training and bonuses. Support your prediction with evidence from the scenario.

4. Respond to parts A, B, and C.

Haidilao has expanded internationally to the U.S., U.K., Japan, South Korea, Singapore, and Australia.

(A) Identify a factor external to Haidilao that could make it more difficult for the company to succeed in a foreign market than in China.

(B) Explain how the factor you identified in part A could affect Haidilao's service model.

(C) Recommend one specific action Haidilao could take to address the challenge you identified. Support your recommendation with reasoning.

Keep this handout for reference during class discussion.

Dewu / Poizon (得物) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

Dewu (得物), known internationally as Poizon, is a Chinese e-commerce platform specializing in sneakers, streetwear, and luxury goods. It was founded in 2015 by Yang Bing (杨冰) as a feature within Hupu (虎扑), China's largest sports fan community. The platform became an independent app in 2017.

Dewu operates as a C2C2C platform: sellers list sneakers and streetwear, Dewu authenticates every item before shipping to the buyer, and charges both a commission fee and an authentication fee. Yang Bing noticed that sneaker trading was booming in Hupu's forums but plagued by counterfeits. He built an authentication service to address this problem.

As of 2024, Dewu has over 300 million registered users, primarily Gen Z consumers. The platform has expanded beyond sneakers into streetwear, luxury bags, watches, cosmetics, and electronics. In 2020, the company rebranded from "毒" (Poison) to "得物" (meaning "get good stuff") to appeal to a broader audience.

Key Events

Year	Event
2015	Sneaker trading feature launches within Hupu
2017	Spun off as independent app called "毒" (Poison/Du); introduces authentication service
2018–2019	Rapid growth among Gen Z sneaker collectors; becomes the go-to platform for authentic sneakers in China
2020	Rebrands from "毒" to "得物" (Dewu); expands product categories beyond sneakers
2020–2022	Expands into streetwear, luxury bags, watches, cosmetics, electronics, collectible toys; reaches 300 million registered users
2023–2024	Becomes one of China's most popular e-commerce platforms among Gen Z; challenges Taobao and JD.com in specific categories

Questions

1. Respond to parts A, B, and C.

(A) Identify the specific service Dewu provides that distinguishes it from general e-commerce platforms.

(B) Explain how this service creates value for buyers on the platform.

(C) Explain why this service also creates value for sellers, even though sellers must pay fees to Dewu.

2. Respond to parts A, B, and C.

Dewu targets Gen Z consumers — specifically sneaker collectors and streetwear enthusiasts — rather than the mass market.

(A) Describe the specific customer segment Dewu chose to serve.

(B) Explain why focusing on this specific segment allowed Dewu to build a platform that mass-market e-commerce sites did not offer.

(C) Evaluate whether Dewu's focus on Gen Z sneaker collectors is a strength or a risk for the company's long-term growth.

3. Respond to parts A, B, and C.

Dewu generates revenue through two sources: a commission fee on each transaction and an authentication fee for verifying product authenticity.

(A) Identify the two revenue sources described above.

(B) Explain how these revenue sources are connected to the value Dewu provides to users.

(C) Predict what would happen to Dewu's revenue if a competing platform offered authentication services for free.

4. Respond to parts A, B, and C.

In 2020, Dewu rebranded from "毒" (Poison) to "得物" (Get Good Stuff).

(A) Identify the reason given for the rebrand.

(B) Explain how a company's brand name can affect its ability to attract customers.

(C) Predict what might have happened to Dewu's growth if the company had kept the name "毒" and expanded into categories like cosmetics and electronics.

5. Respond to parts A, B, and C.

Dewu does not own the products sold on its platform. It connects independent sellers with buyers and provides authentication services.

(A) Describe Dewu's role in the transaction between a seller and a buyer.

(B) Explain how Dewu's position as a platform (rather than a product owner) affects its costs and risks compared to a retailer that owns its own inventory.

(C) Recommend one specific action Dewu could take to strengthen its position if a major competitor entered the authenticated resale market.

Keep this handout for reference during class discussion.

China's "Double Reduction" Policy & New Oriental (新东方) — Case Handout

Topic 1.3 PESTEL Factors · Read before class. Be ready to discuss.

Background

New Oriental Education & Technology Group (新东方) was China's largest private education company, founded in 1993 by Yu Minhong (俞敏洪) in Beijing. Yu Minhong was a former Peking University English professor who started by teaching English to students preparing to study abroad. The company expanded to offer K-12 after-school tutoring, English language training, overseas test preparation (TOEFL, IELTS, SAT), and education technology.

New Oriental went public on the New York Stock Exchange in 2006 — the first Chinese education company listed in the U.S. By 2020, the company operated over 100 learning centers across China with more than 50,000 teachers, served millions of students annually, and was valued at over \$20 billion.

In July 2021, the Chinese government announced the "Double Reduction" (双减) policy, which banned for-profit K-12 academic tutoring. New Oriental's stock crashed over 90% in days. The company laid off 60,000+ employees and closed most learning centers. In 2022, Yu Minhong launched Oriental Selection (东方甄选), a live-stream e-commerce platform where former teachers sell agricultural products and consumer goods on camera. Former teachers brought transferable skills from the classroom: audience engagement, clear communication, on-camera presentation, and storytelling.

Key Events

Year	Event
1993	Yu Minhong founds New Oriental in Beijing; starts by teaching English to students preparing to study abroad
2006	IPO on the New York Stock Exchange; first Chinese education company listed in the U.S.
2006–2020	Expands to over 100 learning centers, 50,000+ teachers, millions of students; diversifies into K-12 tutoring, online education, and education technology
2021 (July)	Chinese government announces "Double Reduction" policy — banning for-profit K-12 academic tutoring; stock crashes 90%+
2021–2022	Lays off 60,000+ employees; closes most learning centers; pivots to non-academic tutoring and other business lines
2022	Yu Minhong launches Oriental Selection — live-stream e-commerce platform where former teachers sell products on camera
2022–2024	Oriental Selection grows rapidly; new business becomes a significant revenue source

Questions

1. Respond to parts A, B, and C.

The Chinese government's Double Reduction policy banned for-profit K-12 academic tutoring in July 2021.

(A) Identify the type of external factor (political, economic, social, technological, environmental, or legal) that the Double Reduction policy represents.

(B) Explain why this factor is classified this way rather than as an economic or social factor.

(C) Explain how a single government policy can affect a company's revenue, costs, and long-term viability.

2. Respond to parts A, B, and C.

After the Double Reduction policy, New Oriental laid off 60,000+ employees and closed most learning centers. The company then launched Oriental Selection, a live-stream e-commerce platform.

(A) Identify two specific skills that former teachers brought from the classroom to live-stream selling.

(B) Explain how each skill transfers from teaching to live-stream e-commerce.

(C) Evaluate whether New Oriental's pivot from education to live-stream e-commerce was a logical use of the company's existing resources.

3. Respond to parts A, B, and C.

The Double Reduction policy affected all K-12 tutoring companies in China — not just New Oriental.

(A) Identify one specific way the policy affected the entire tutoring industry.

(B) Explain why some tutoring companies survived the policy while others did not.

(C) Recommend one specific action a smaller tutoring company could have taken to survive the Double Reduction policy.

4. Respond to parts A, B, and C.

New Oriental's stock price dropped over 90% within days of the Double Reduction announcement.

(A) Identify what the stock price drop reflected about investor expectations for the company.

(B) Explain why investors reacted so quickly and dramatically to the policy announcement.

(C) Predict what would have happened to New Oriental's stock price if the company had already diversified into non-tutoring revenue streams before the policy was announced.

5. Respond to parts A, B, and C.

Yu Minhong stated that he wanted to help former teachers find new livelihoods after the layoffs.

- (A) Describe the problem Yu Minhong was trying to solve with Oriental Selection.
 - (B) Explain how Oriental Selection addressed this problem for former teachers.
 - (C) Evaluate whether Oriental Selection is a sustainable long-term business or primarily a short-term response to a crisis. Support your evaluation with evidence from the scenario.
-

Keep this handout for reference during class discussion.

Labubu Goes Global (2024) — Case Handout

Topic 1.3 PESTEL Factors · Read before class. Be ready to discuss.

Background

Labubu is a character designed by Hong Kong-born, Netherlands-based artist Kasing Lung (龙家升). It is a mischievous forest creature with a wide grin and spiky ears, part of a character series called "The Monsters." Labubu is sold as a collectible figurine by Pop Mart (泡泡玛特), China's leading designer toy company.

Labubu figurines are sold as blind boxes — sealed packaging with random designs. Collectors do not know which version they will get until they open the box. In 2024, Labubu went viral globally, driven by social and cultural trends rather than a direct marketing campaign by Pop Mart. The character became a pop culture phenomenon, particularly in Southeast Asia. Resale prices on the secondary market reached 5–10 times the retail price for rare designs. Fans lined up overnight at Pop Mart stores; some locations required police crowd control.

Key Events

Year	Event
2015	Kasing Lung creates "The Monsters" character series, including Labubu
2019	Pop Mart signs exclusive licensing deal with Kasing Lung; begins selling Labubu blind boxes in China
2019–2023	Labubu grows steadily in China as part of Pop Mart's collectible toy ecosystem
2024 (early)	Labubu goes viral in Southeast Asia — Thailand, Malaysia, Singapore, Philippines — driven by social media and collector communities
2024 (mid)	Pop Mart stores across Southeast Asia see overnight queues and stockouts; resale prices reach 5–10× retail; Labubu keychains become a fashion accessory and status symbol
2024 (late)	Trend spreads to Europe and the U.S.; international celebrities and influencers seen with Labubu; Pop Mart's international revenue surges

Questions

1. Respond to parts A, B, and C.

In 2024, Labubu went viral because of social trends — collecting culture, the "surprise" element of blind boxes, and status signaling among young consumers.

(A) Identify the type of external factor (political, economic, social, technological, environmental, or legal) that best describes these trends.

(B) Explain why these trends are classified this way rather than as technological or economic factors.

(C) Explain how a social trend that a company did not create can still benefit the company financially.

2. Respond to parts A, B, and C.

The Labubu craze spread across Southeast Asia, Europe, and the U.S. within months in 2024.

(A) Identify two specific factors that enabled the trend to spread across countries so quickly.

(B) Explain how each factor you identified contributed to the speed and scale of the trend.

(C) Predict whether the Labubu trend would have reached the same scale without social media platforms.

3. Respond to parts A, B, and C.

Pop Mart did not create the Labubu viral trend, but the company benefited from it.

(A) Identify one specific action Pop Mart took before 2024 that positioned the company to benefit from the trend.

(B) Explain how that action prepared Pop Mart to respond when demand surged.

(C) Recommend one specific action Pop Mart should take now to prepare for a possible decline in Labubu's popularity.

4. Respond to parts A, B, and C.

During the Labubu craze, resale prices on secondary markets reached 5–10 times the retail price.

(A) Identify what the gap between retail and resale prices indicates about the relationship between supply and demand.

(B) Explain why Pop Mart chose not to raise its retail prices to match resale prices.

(C) Predict what would happen to Pop Mart's brand perception and customer loyalty if the company had raised retail prices to match secondary market prices.

5. Respond to parts A, B, and C.

Pop Mart sells Labubu figurines as blind boxes — customers do not know which design they will receive until they open the box.

(A) Describe the experience a customer has when purchasing a blind box product.

(B) Explain how the blind box format contributes to collecting behavior and repeat purchases.

(C) Evaluate whether the blind box format is an ethical business practice, considering that it encourages customers to buy multiple units to get the design they want.

Keep this handout for reference during class discussion.

Tesla's China Decision: Build, Partner, or Wait? — Case Handout

Topic 1.3 PESTEL Factors · Read before class. Be ready to discuss.

This is a decision case. The clock stops in July 2018. Everything that happened afterward is deliberately hidden — do NOT look it up before the discussion. Your job is to make the decision yourself using only the information in this handout.

Background

Tesla, Inc. is an American electric vehicle (EV) company founded in Silicon Valley in 2003, with Elon Musk as CEO since 2008. Its Model S sedan (2012) and Model X SUV (2015) made Tesla the world's most admired EV brand. The Model 3, launched in 2017 at a starting price of \$35,000, was designed to bring electric cars to the mass market.

But in mid-2018 Tesla was under strain. The Fremont, California factory was struggling to hit Model 3 production targets — what Musk called "production hell" — and the company was burning through roughly \$1 billion per quarter. Tesla had never built a car outside the United States.

China had been Tesla's second-largest market since the first cars arrived in 2014. In 2017 Chinese customers bought about \$2 billion worth of Teslas — roughly 15–20% of the company's revenue. Every one of those cars was shipped from California, and every one paid China's import duties.

Now China was changing. The board had to decide: **how should Tesla compete in the most important car market on Earth?**

The Situation in July 2018 — A Board Briefing

1. The market

- China has been the world's largest car market since 2009: about **28 million vehicles** were sold there in 2017, compared with about 17 million in the United States.
- China also buys more electric cars than the rest of the world combined. Sales of "new energy vehicles" (NEVs — China's term for battery-electric and plug-in

cars) hit **777,000 in 2017** and were heading for over 1.2 million in 2018. Government plans pointed toward NEVs making up about **20% of new-car sales by 2025**.

- Domestic rivals are moving fast: **BYD (比亚迪)**, partly owned by Warren Buffett's Berkshire Hathaway, was already China's top-selling NEV brand with cheaper models; well-funded startups **NIO (蔚来)**, **Xpeng (小鹏)**, and **Li Auto (理想)** were launching premium electric SUVs and sedans.
- Chinese EV buyers are younger and more urban than average; they expect large touchscreens, phone-as-key apps, and over-the-air software updates.

2. The rules for foreign automakers

- Since the 1980s, a foreign carmaker building in China could own **at most 50%** of a factory — it had to form a joint venture (JV) with a Chinese partner, limited to two partners. Every global automaker (GM, Volkswagen, Toyota) operated this way. Foreign firms long complained that JV partners expected **technology transfer** in return for market access.
- In **April 2018**, China's planning agency announced that the ownership cap would be removed for **NEV manufacturers in 2018** (commercial vehicles in 2020, ordinary passenger cars in 2022).
- A **trade war** began in mid-2018. China retaliated against U.S. tariffs with import duties that pushed the total tax on **U.S.-built cars to 40%** — while cars imported from Europe, Japan, and South Korea paid 15%.
- Government **subsidies** for NEV buyers (worth thousands of dollars per car in earlier years) and the exemption from the 10% vehicle purchase tax apply mainly to cars **built in China** and listed on government catalogs — imports largely miss out. Subsidies were already being phased down and were scheduled to end around 2022.
- High-definition **mapping and surveying** is restricted to licensed Chinese companies — a direct issue for self-driving features. Rules on vehicle-generated data (camera footage, location) were tightening.
- Foreign companies consistently rate **intellectual-property (IP) enforcement** in China as weak; Chinese JV partners have repeatedly launched their own brands after absorbing foreign technology.

3. The license-plate system

- In China's richest cities — Beijing (北京), Shanghai (上海), Shenzhen (深圳), Guangzhou (广州), Hangzhou (杭州) — buying a normal car requires winning a

monthly lottery (Beijing's odds were **well below 1%**) or bidding at auction (a Shanghai plate averaged around **90,000 RMB**, roughly \$13,000–14,000).

- **New energy vehicles get free "green plates" immediately** in these cities. For many urban families, buying an EV is simply the only way to own a car at all.
- Severe winter **smog** (red alerts and school closures in recent years) made electric cars socially desirable and made the government's pro-EV policies widely popular.

4. Costs, capital, and the offer on the table

- Wages in Chinese auto plants are far below U.S. levels; the Yangtze River Delta around Shanghai is one of the densest auto-parts supply clusters in the world.
- A car built in China avoids ocean freight (roughly \$1,000–2,000 per vehicle), avoids the import duty, and becomes eligible for purchase-tax exemptions and green-plate treatment.
- A new car plant would cost **\$2 billion or more** — at a moment when Tesla is burning about \$1 billion per quarter. But Chinese banks and Shanghai officials had signaled support: a large, favorably priced site in **Lingang (临港)** and loans could be made available **for a wholly-owned plant**.
- The trade war could escalate or cool down. No one knew.

5. Technology and infrastructure

- By the end of 2018 China had about **300,000 public charging points** — roughly half of the world's total — built by the State Grid and private operators.
- Chinese battery maker **CATL (宁德时代)** was on its way to becoming the world's largest EV-battery producer, and China dominated lithium processing and battery-material supply chains.
- Chinese consumers live on super-apps (WeChat, Alipay) to a degree U.S. consumers do not; any car operating in China is expected to integrate with them.

6. Environment and resources

- Smog and climate policy drove a **dual-credit rule** (effective April 2018): large automakers must earn credits by selling NEVs, or buy credits from companies that do. Every global carmaker selling in China now had to sell electric cars there.

- New 2018 rules made carmakers responsible for **battery traceability and recycling**.
- Counterpoint: China's electricity in 2018 was still roughly **two-thirds coal-fired** — an EV's environmental benefit depended on how the grid developed.

7. Tesla's own position

- **For it:** unmatched brand status in China (a Tesla was a status symbol), software and over-the-air-update leadership, and the Model 3 arriving at a price Chinese urban professionals could afford.
 - **Against it:** no local factory, no local partner, a thin service network, cars ineligible for most EV incentives, and top management fully absorbed by the Model 3 ramp at home.
 - **The window:** the Shanghai offer stood in mid-2018. People who do business in China know that policy windows can close as fast as they open.
-

The Decision

At the July 2018 board meeting, four options were on the table:

- **Option A — Keep exporting from California.** No new capital, no technology exposure. Absorb or pass through the 40% tariff, and wait for the trade war to settle.
 - **Option B — Form a classic 50/50 joint venture** with a Chinese automaker, as every other foreign carmaker had done. A local partner handles government relations, land, and suppliers; Tesla shares ownership, profits — and technology.
 - **Option C — Build a wholly-owned Gigafactory in Shanghai.** A \$2 billion+ bet; the first wholly foreign-owned car plant in modern China. Full control, local costs, no tariff, incentive-eligible — and full exposure on intellectual property, data rules, and government relations.
 - **Option D — Wait and see.** Delay for a year until the trade war, subsidy cuts, and ownership rules become clearer — while BYD, NIO, and Xpeng keep growing and the Shanghai offer may cool.
-

Questions

1. Respond to parts A, B, and C.

(A) Complete a PESTEL analysis for Tesla's China decision: for **each** of the six factors, identify one specific fact from this handout and mark it as an **opportunity** or a **risk** for Tesla.

Factor	One specific fact from the handout	Opportunity or risk?	How it acts on Tesla
Political			
Economic			
Social			
Technological			
Environmental			
Legal			

(B) For the political and legal factors you identified, explain the **direction** of each: is it pulling Tesla toward China or pushing it away?

(C) The 40% tariff "feels" economic, and the free green plates "feel" social. Classify each one by its **source**, and explain why.

2. Respond to parts A, B, and C.

(A) Identify the PESTEL factor the license-plate lottery system represents for Tesla (name the primary classification and one factor it overlaps with).

(B) Explain how the plate system changes consumer demand for electric cars in China's richest cities — and why it matters for the Model 3 specifically.

(C) If Beijing and Shanghai abolished all plate restrictions tomorrow, predict how EV demand would change. Which other factors would still support EV sales?

3. Respond to parts A, B, and C.

(A) Identify **two** benefits Option B (a 50/50 joint venture) would offer Tesla that Option C does not.

(B) Identify **two** specific risks Tesla would take on with Option C (the wholly-owned factory) that it would not face under Option A.

(C) Tesla's competitive advantage lies in its software, battery systems, and vehicle engineering. Evaluate which option best **protects** that advantage — and which option does the most to make Tesla **price-competitive** in China. Explain whether the same option does both.

4. Respond to parts A, B, and C.

(A) Choose the **three most important factors** for this specific decision and rank them.

(B) Justify your #1 factor: why does it matter more than the others for Tesla in July 2018?

(C) "A proper PESTEL analysis treats all six factors as equally important." Explain why this statement is wrong, using evidence from Tesla's situation.

5. Respond to parts A, B, and C.

(A) Recommend one option — **A, B, C, or D** (or a clearly sequenced combination) — for Tesla in July 2018.

(B) Justify your recommendation using **at least three specific factors** from your table. For each: name the factor, state its direction (opportunity or risk), and tie it directly to Tesla.

(C) State the single biggest risk of your recommended option and propose one concrete action Tesla could take to manage it.

6. (Challenge) Respond to parts A, B, and C.

PESTEL factors move — a factor that points one way in 2018 can reverse later.

(A) Identify one factor in this handout that is visibly changing as of July 2018.

(B) Explain how a reversal of that factor would change your recommendation.

(C) Recommend one **"trigger signal"** Tesla's board should watch — a specific event or data point that would tell management to speed up its China plans, or to pull back.

Keep this handout for reference during class discussion — and do not look up what Tesla actually decided until after the reveal.

SHEIN's Identity Decision: Come Out, Stay Hidden, or De-Sinicize? — Case Handout

Topic 1.3 PESTEL Factors · Read before class. Be ready to discuss.

This is a decision case. The clock stops in January 2026. Everything that happened afterward is deliberately hidden — do NOT look it up (and do NOT watch recent news videos about SHEIN) before the discussion. Your job is to make the decision yourself using only the information in this handout.

Background

SHEIN (希音) is the world's largest online fashion retailer. Founded in China and built around factories in Guangdong, it sells ultra-cheap clothing — dresses for a few dollars, jeans for about ten — to customers in **150+ countries**. By 2025 it had roughly **273 million active customers**, made **over a billion orders a year**, and generated about **\$41.8 billion in revenue**.

It is also famously a company that **refuses to say who it is**. Its founder has never given an interview and almost no public photo of him exists. When the company moved its headquarters to Singapore in 2021–22, executives publicly insisted: **"SHEIN is not a Chinese company. SHEIN is a Singapore company."** Yet more than 90% of its supply chain sits in Guangdong, and most of its products are stored in mainland China.

In early 2022, private investors valued SHEIN at roughly **\$100 billion** — one of the most valuable private companies on Earth. Now, in January 2026, the founder and the board face a decision they have spent years avoiding: **how does SHEIN finally go public — and what kind of company will it say it is?**

The Situation in January 2026 — A Board Briefing

1. The business SHEIN built

- SHEIN's model is called **LATR — Large-scale Automated Test and Re-order**, also known in China as 小单快反 (**small order, quick response**): test a

tiny batch of a design, measure demand from clicks and purchases in real time, and only then mass-produce the winners.

- The result: **~600,000 new styles a year** (fast-fashion rival Zara launches roughly 13,000) and an **inventory turnover of about 36 days** — money tied up in unsold clothes for weeks rather than months.
- Design-to-shelf runs **two to three weeks**; data comes from millions of clicks, shares, and searches, and early growth was fuelled by cheap influencer seeding on social media.
- SHEIN keeps costs brutally low: roughly **17,751 employees run \$41.8 billion in revenue** (Zara's owner employs ~162,000 people for about the same sales), with almost no physical stores. But margins are thin: net margin was **~2.7%** in 2024, versus **12-15%** for Inditex (Zara).

2. The mystery — who is SHEIN, really?

- **Chinese roots:** founded in Nanjing, built its operating base in Guangzhou and the garment clusters of **Guangdong (广东)**, including Panyu. Roughly **10,000 supplier factories** and **600,000+ jobs** in Guangdong depend on SHEIN.
- **Singapore label:** since 2021–22 the group's holding entity is Singapore-based **Roadget Business Pte. Ltd.**; the founder became a Singapore permanent resident; company leaders repeated that SHEIN is a "global company" and "a Singapore company."
- Executives even said discussing whether SHEIN is Chinese could be challenged; the founder reportedly changed some registrations to distance the firm from China.
- In 2025, news broke that SHEIN was **considering moving its headquarters back to China** to smooth the path for a Hong Kong listing.
- Regulators do not just accept labels: China's securities regulator applies a **"substance over form"** rule — a company whose main business, assets, and operations sit in China is treated as a **Chinese domestic company** for listing purposes, no matter where its HQ is registered.

3. The rules of trade turned against it

- **May 2025:** the United States removed the **de minimis exemption**, the rule that let parcels worth under **\$800** enter duty-free. China-origin goods shipped by SHEIN or its marketplace now face import duties of **10% to 87.5%**.
- The impact was immediate: after SHEIN raised prices to offset tariffs, **U.S. revenue fell 14.3%** in the first quarter of 2026, and the U.S. share of sales dropped from roughly **30% to 22.5%**.

- The **European Union** scrapped its €150 duty exemption (a flat **€3-per-item** duty applies from July 2026), and **Thailand, Vietnam, and Japan** tightened or removed their own low-value exemptions in 2025–26.
- Raising prices to cover duties attacks the core of SHEIN's appeal — the ultra-low price.

4. The regulators lining up

- **China (CSRC):** to list in Hong Kong, SHEIN must file through its Chinese operating entity, **Guangzhou SHEIN International**, and obtain approval under the "substance over form" rule. Approvals take time — and depend on the company's relationship with Beijing.
- **United States:** its **2023 New York listing attempt collapsed** over data-security and supply-chain-transparency scrutiny; a **Federal Trade Commission (FTC) investigation** is open; and U.S. law (UFLPA) presumes goods linked to forced labor in parts of China are blocked at the border.
- **United Kingdom:** its **2024 London attempt stalled** amid scrutiny of labour rights, environmental standards, and tax arrangements.
- **France:** more than **€210 million** in penalties since 2025 over misleading pricing displays, environmental claims, and consumer-protection failures — and a threatened full block of the platform.
- **European Union:** investigations into product safety, algorithm design, and "addictive" shopping features; **intellectual-property** suits from Nike, Uniqlo, Zara, H&M, Levi's, Ralph Lauren, Dr. Martens, and others over copied designs.
- **Tax:** a 2025 U.K. report alleged that of SHEIN's ~£2 billion of U.K. sales, about **£1.72 billion (84%)** was moved to the Singapore parent as "purchase costs," leaving only £38 million of taxable profit in the U.K. — and just **£9.6 million of U.K. tax**. Regulators in several countries are looking at the same structure.

5. The economics of going public

- The investor base — HongShan/Sequoia, Tiger Global, General Atlantic, Brookfield, IDG, Boyu, Mubadala and others — needs an **exit**, and they funded a \$100 billion company.
- Valuations have been sliding: **~\$100B (2022) → ~\$64B (2023) → early-2026 reports of seeking \$40-50B**, with some investors already bracing for far less.
- Growth has slowed hard: 2025 revenue rose only **+8%** (after +20.7% in 2024), net profit fell **38.7%** to about **\$2.06 billion**, and Q1 2026 swung to a **~\$99 million loss** (partly a one-time accounting charge).

- New York is closed and London stalled → **Hong Kong is the last realistic venue**, and Hong Kong markets have been strong in 2026.
- Rivals are pressing from every side: **Temu** (PDD), **TikTok Shop** (2025 GMV ~\$64 billion), and AliExpress fight for the same bargain-hunting customers; Western brands fight the reputational battle.

6. Society and the environment

- SHEIN's growth rode a **social trend**: young consumers who want fashion at prices that make it a "small treat" (小确幸), discovered through social media — and who are increasingly conscious of the **environmental cost of fast fashion**.
- Fast fashion is a political and social target: "disposable clothing," textile waste, and recycling programs that critics call greenwashing. This **ESG pressure was one reason London stalled**.
- France fined SHEIN partly over its **environmental claims**; the EU is writing rules on sustainable fashion.

7. The window

- China's CSRC approval is the gate to the Hong Kong listing — the last door open.
- The **mystery itself is now the obstacle**: as long as SHEIN refuses to say who it is, Beijing hesitates, Washington and Brussels distrust it, and investors cannot price it.
- People who deal with regulators know that **policy windows open and close** — and that a company that has hidden for eighteen years cannot hide forever.

The Decision

At the January 2026 board meeting, four options were on the table:

- **Option A — Stay in the shadows.** Keep the anonymous founder, the Singapore identity, and the "we are not a Chinese company" line. Push for the Hong Kong listing without conceding Chinese status. No visible change — but under "substance over form," approval stalls, the valuation keeps sliding, and investors run out of patience.
- **Option B — Come out and embrace China.** The founder makes his first public appearance, declares "Guangdong is SHEIN's root" (广东是希音的根), commits billions of yuan to Guangdong's supply chain, files through the Chinese operating entity, and accepts treatment as a Chinese company. This

unlocks the listing — but publicly concedes the identity the company spent years hiding, and invites U.S. and EU political and legal pressure.

- **Option C — De-Sinicize / go global-local.** Shift production toward Turkey, Brazil, India, and Southeast Asia; localize inventory in the U.S. and EU; build a genuinely multinational structure that no single country can define. Hedges against both Washington and Beijing — but shatters the LATR cost engine, takes years, and cannot change where most garments are still made.
- **Option D — Wait.** Delay the IPO, keep raising prices to absorb tariffs, shrink toward profitability, and wait for trade policy and investor sentiment to stabilize. Preserves optionality — but growth stalls, rivals advance, and investors who once wrote \$100 billion on SHEIN will demand an exit at whatever price the market offers.

Questions

1. Respond to parts A, B, and C.

(A) Complete a PESTEL analysis for SHEIN's identity decision: for **each** of the six factors, identify one specific fact from this handout and mark it as an **opportunity** or a **risk** for SHEIN.

Factor	One specific fact from the handout	Opportunity or risk?	How it acts on SHEIN
Political			
Economic			
Social			
Technological			
Environmental			
Legal			

(B) For the political and legal factors you identified, explain the **direction** of each: is it pushing SHEIN toward "coming out" (Option B) or pulling it toward staying hidden (Option A)?

(C) The removal of the de minimis exemption "feels" economic, and the identity mystery "feels" social. Classify each one by its **source**, and explain why.

2. Respond to parts A, B, and C.

(A) The question "is SHEIN Chinese or Singaporean?" is a business question, but it belongs to PESTEL. Identify its primary classification and one other factor it overlaps with.

(B) Explain **why** SHEIN spent years hiding its Chinese roots — and why that strategy stopped working by January 2026.

(C) If SHEIN announced tomorrow, "We are a Chinese company," predict how **three different stakeholders** — Beijing, Washington, and SHEIN's investors — would each respond.

3. Respond to parts A, B, and C.

(A) Identify **two** benefits Option B (come out and embrace China) would offer SHEIN that Option A does not.

(B) Identify **two** specific risks SHEIN would take on with Option B that Option C does not face.

(C) SHEIN's competitive advantage is its LATR supply chain — small orders, quick response, ultra-low cost. Evaluate which option best **protects** that advantage — and which option does the most to **reduce political and legal exposure**. Explain whether the same option does both.

4. Respond to parts A, B, and C.

(A) Choose the **three most important factors** for this specific decision and rank them.

(B) Justify your #1 factor: why does it matter more than the others for SHEIN in January 2026?

(C) "A proper PESTEL analysis treats all six factors as equally important." Explain why this statement is wrong, using evidence from SHEIN's situation.

5. Respond to parts A, B, and C.

(A) Recommend one option — **A, B, C, or D** (or a clearly sequenced combination) — for SHEIN in January 2026.

(B) Justify your recommendation using **at least three specific factors** from your table. For each: name the factor, state its direction (opportunity or risk), and tie it directly to SHEIN.

(C) State the single biggest risk of your recommended option and propose one concrete action SHEIN could take to manage it.

6. (Challenge) Respond to parts A, B, and C.

PESTEL factors move — a factor that points one way in January 2026 can reverse later.

(A) Identify one factor in this handout that is visibly changing as of January 2026.

(B) Explain how a reversal of that factor would change your recommendation.

(C) Recommend one **"trigger signal"** SHEIN's board should watch — a specific event or data point that would tell management to accelerate the IPO, or to pull back.

Keep this handout for reference during class discussion — and do not look up what SHEIN actually decided until after the reveal.

Pop Mart (泡泡玛特) — Case Handout

Topic 1.4 How Business Ideas Originate · Read before class. Be ready to discuss.

Background

Pop Mart is a Chinese designer toy company founded in 2010 by Wang Ning (王宁) in Beijing. The company pioneered the blind box model in China — collectible figurines sold in sealed packaging so buyers do not know which design they will receive until they open it.

Wang Ning started by opening a small retail shop selling lifestyle products. He noticed that collectible figurines were the store's best-selling category and pivoted the entire business to focus on designer toys. In 2016, Pop Mart signed an exclusive licensing deal with Hong Kong artist Kasing Lung for the Molly character and launched the blind box format. Sales grew rapidly.

Pop Mart operates over 400 retail stores and 2,000+ robotic vending machines across China and internationally, with presence in Japan, South Korea, Southeast Asia, the U.S., and Europe. The company went public on the Hong Kong Stock Exchange in December 2020; market capitalization exceeded HK\$100 billion on the first day. In 2023–2024, the Labubu character (also designed by Kasing Lung) went viral internationally, driving a new wave of collector demand.

Key Events

Year	Event
2010	Wang Ning opens the first Pop Mart store in Beijing — a lifestyle retail shop selling trendy products
2015	Pivots to focus on designer toys after noticing collectible figurines were the best-selling category
2016	Signs exclusive licensing deal with Kasing Lung for the Molly character; launches blind box format; sales grow rapidly
2017–2019	Opens hundreds of stores and robotic vending machines across China; builds platform connecting independent toy designers with consumers
2019	Begins international expansion — enters Japan, South Korea, and Southeast Asia
2020 (Dec)	IPO on the Hong Kong Stock Exchange; market cap exceeds HK\$100 billion on the first day
2021–2023	Continues global expansion; enters U.S. and European markets; launches pop-up stores worldwide
2023–2024	Labubu character goes viral internationally, especially in Southeast Asia; drives new wave of collector demand

Questions

1. Respond to parts A, B, and C.

Wang Ning noticed that collectible figurines outsold other products in his lifestyle store and pivoted the entire business to focus on designer toys.

- (A) Identify the source of the business idea that became Pop Mart's core business.
- (B) Explain how Wang Ning used data from his own store to test whether designer toys would be a viable business.
- (C) Describe one risk Wang Ning faced by pivoting his entire business based on sales data from a single store.

2. Respond to parts A, B, and C.

The blind box model — where buyers do not know which design they will receive — was adapted from Japan's gashapon and trading card markets.

- (A) Identify the original market where the blind box concept originated.
 - (B) Explain how Wang Ning adapted this concept for Chinese consumers.
 - (C) Describe one factor that made the blind box format more appealing in China than a traditional retail model where customers choose their product.
-

3. Respond to parts A, B, and C.

Pop Mart signed exclusive licensing deals with artists like Kasing Lung for characters such as Molly and Labubu.

- (A) Identify the benefit of exclusive licensing deals for Pop Mart.
 - (B) Explain how these deals helped Pop Mart build a platform that attracts both artists and consumers.
 - (C) Predict what would happen to Pop Mart's business if its licensing agreements with key artists were not renewed.
-

4. Respond to parts A, B, and C.

In 2023–2024, the Labubu character went viral on social media, especially in Southeast Asia.

- (A) Identify two external factors that contributed to Labubu's viral popularity.
 - (B) Explain how Pop Mart was positioned to benefit from this trend, even though the company did not directly cause it.
 - (C) Evaluate whether Pop Mart can sustain its growth if viral trends like Labubu do not continue.
-

5. Respond to parts A, B, and C.

Pop Mart expanded from a single lifestyle store in Beijing to over 400 stores and 2,000+ vending machines internationally.

- (A) Identify one specific step Pop Mart took to test its business model before expanding internationally.

(B) Explain how that step reduced the risk of international expansion.

(C) Recommend one specific strategy Pop Mart should use when entering a new international market. Support your recommendation with reasoning.

Keep this handout for reference during class discussion.

Copa Di Vino — Case Handout

Topic 1.4 How Business Ideas Originate · Read before class. Be ready to discuss.

Background

Copa Di Vino is an American company that produces single-serve, ready-to-drink wine in patented sealed cups — wine by the glass, no bottle required. The company was founded in 2005 by James Martin in The Dalles, Oregon.

Martin discovered the concept of wine in a sealed cup while traveling in southern France. He brought the packaging technology back to the U.S. and built a brand around it. The company invested in patented packaging technology, meaning competitors could not legally copy the container design. Copa Di Vino's products are sold in convenience stores, stadiums, airlines, and grocery stores.

Copa Di Vino is a well-known case in entrepreneurship education because James Martin appeared on Shark Tank twice — in Season 2 (2011) and Season 7 (2016) — and turned down offers both times. In Season 2, the sharks offered \$600,000 for 51% equity; Martin rejected the deal, choosing to grow the company on his own terms. Despite rejecting the deals, the Shark Tank appearances generated significant brand awareness, and sales grew substantially after each appearance.

Key Events

Year	Event
2005	James Martin founds Copa Di Vino after discovering sealed-cup wine packaging in France
2005-2010	Slow early growth; builds distribution in Pacific Northwest; invests in patented packaging technology
2011	Appears on Shark Tank Season 2, Episode 5; sharks offer \$600,000 for 51% equity; Martin rejects the deal
2011-2016	Shark Tank exposure drives brand awareness; sales grow significantly; distribution expands nationally
2016	Appears on Shark Tank Season 7 (follow-up episode); receives another offer; Martin rejects again
2016-present	Continues independent growth; product line expands; distribution in major retail chains, stadiums, and airlines

Questions

1. Respond to parts A, B, and C.

James Martin discovered the concept of wine in a sealed cup while traveling in southern France.

(A) Identify the source of the business idea that became Copa Di Vino.

(B) Explain how Martin turned this observation into a business opportunity in the United States.

(C) Describe one challenge Martin likely faced in adapting a product from a foreign market for U.S. consumers.

2. Respond to parts A, B, and C.

James Martin rejected a \$600,000 investment offer from the sharks on Shark Tank Season 2.

(A) Identify what the sharks were offering in exchange for the investment.

(B) Explain the risk Martin accepted by rejecting the deal.

(C) Evaluate whether Martin's decision to reject the deal was justified, based on what happened to the company in the years that followed.

3. Respond to parts A, B, and C.

Copa Di Vino invested in patented packaging technology that prevented competitors from copying its container design.

(A) Identify how the patent gave Copa Di Vino an advantage over potential competitors.

(B) Explain how investing in a patent relates to the process of testing and refining a business idea.

(C) Describe one risk of building a business around a single patented product.

4. Respond to parts A, B, and C.

Despite rejecting the sharks' investment offers, Copa Di Vino's sales grew significantly after each Shark Tank appearance.

(A) Identify the benefit Copa Di Vino received from appearing on Shark Tank, even without accepting investment.

(B) Explain how this benefit contributed to the company's growth between 2011 and 2016.

(C) Predict what would have happened to Copa Di Vino if the company had never appeared on Shark Tank and had relied only on regional distribution in the Pacific Northwest.

5. Respond to parts A, B, and C.

Copa Di Vino's product is single-serve wine in a sealed cup — a format that did not exist in the U.S. market before 2005.

(A) Describe the customer need Copa Di Vino's product addresses.

(B) Explain why existing wine companies had not already created this product before Copa Di Vino.

(C) Recommend one way Copa Di Vino could expand its product line while staying true to its original business concept.

Keep this handout for reference during class discussion.

Patagonia — Case Handout

Topic 1.5 Vision · Read before class. Be ready to discuss.

Background

Patagonia is an American outdoor clothing and gear company founded in 1973 by Yvon Chouinard in Ventura, California. Chouinard was a lifelong climber and environmentalist who started by forging his own climbing pitons. The company sells outdoor clothing, climbing gear, camping equipment, and food products.

Patagonia's stated vision is: "We're in business to save our home planet." The company has made several decisions that prioritized environmental goals over short-term profit:

- In 1996, Patagonia switched 100% of its cotton line to organic cotton. This increased raw material costs by an estimated 50%, and the company had to discontinue one-third of its product line because organic cotton suppliers could not produce certain weaves.
- In 2011, Patagonia ran a full-page Black Friday ad in the New York Times: "Don't Buy This Jacket" — telling consumers to buy less and reduce waste. Despite the anti-consumption message, revenue grew approximately 30% the following year (from ~\$540M to ~\$700M).
- In 2012, the company launched the Worn Wear program, encouraging customers to repair and reuse clothing instead of buying new. Patagonia offers free lifetime repairs and operates the largest garment repair facility in North America.
- In 2013, Patagonia filed as a Benefit Corporation, legally committing to consider environmental and social impact alongside profit.

In September 2022, Chouinard transferred ownership: 98% of shares to Holdfast Collective (a nonprofit fighting climate change), 2% to a trust ensuring mission enforcement. All future profit goes to environmental causes. Chouinard's public statement: "Earth is now our only shareholder."

Key Events

Year	Event
1973	Yvon Chouinard founds Patagonia; begins selling climbing gear
1980s	Expands into outdoor clothing; adopts organic cotton and recycled materials
1996	Switches 100% of cotton line to organic cotton; costs increase ~50%; one-third of product line discontinued
2002	Launches "Footprint Chronicles" — publicly tracking environmental impact of its supply chain
2011	Runs "Don't Buy This Jacket" ad on Black Friday; revenue grows ~30% the following year
2012	Launches Worn Wear program — free lifetime repairs; operates largest garment repair facility in North America
2013	Files as a Benefit Corporation
2022 (Sept)	Chouinard transfers ownership: 98% to Holdfast Collective (nonprofit), 2% to a trust; all future profit goes to environmental causes

Questions

1. Respond to parts A, B, and C.

Patagonia's stated purpose is: "We're in business to save our home planet."

(A) Describe what this statement tells you about what Patagonia's leadership considers most important.

(B) Explain how this statement differs from a statement that describes what a company sells and how it makes money.

(C) Evaluate whether Patagonia's actions since 1996 are consistent with this stated purpose. Use specific evidence from the scenario.

2. Respond to parts A, B, and C.

Patagonia switched to organic cotton in 1996, increasing raw material costs by approximately 50% and discontinuing one-third of its product line.

- (A) Identify the short-term financial cost of this decision.
 - (B) Explain why Patagonia's leadership chose to accept this cost.
 - (C) Predict what would have happened to Patagonia's brand if the company had continued using conventional cotton to keep costs low.
-

3. Respond to parts A, B, and C.

In 2011, Patagonia ran a Black Friday ad saying "Don't Buy This Jacket." Despite the anti-consumption message, revenue grew approximately 30% the following year.

- (A) Identify the message Patagonia was sending to consumers with this ad.
 - (B) Explain why the ad may have actually increased sales despite telling consumers not to buy.
 - (C) Describe what this outcome suggests about the relationship between brand values and customer loyalty.
-

4. Respond to parts A, B, and C.

In September 2022, Yvon Chouinard transferred ownership of Patagonia to a nonprofit and a trust.

- (A) Identify what changed about Patagonia's ownership structure after the transfer.
 - (B) Explain what stayed the same about how the company operates after the transfer.
 - (C) Evaluate whether this ownership transfer makes Patagonia more or less likely to stay true to its stated purpose over the long term.
-

5. Respond to parts A, B, and C.

Patagonia operates the Worn Wear program, which encourages customers to repair clothing instead of buying new items. The company offers free lifetime repairs.

- (A) Describe how the Worn Wear program works.

(B) Explain how a program that discourages new purchases could still benefit Patagonia's business.

(C) Predict what would happen to Patagonia's revenue if every customer used the Worn Wear program instead of buying new products.

Keep this handout for reference during class discussion.

Seesaw Coffee — Case Handout

Topic 1.5 Vision · Read before class. Be ready to discuss.

Background

Seesaw Coffee was a Chinese specialty coffee brand founded in 2012 in Shanghai by Zuo Zuojun (左佐君). The company positioned itself as a pioneer of China's "third wave" coffee movement — emphasizing craft, skilled baristas, and curated café environments. Seesaw attracted a loyal following among urban professionals and received venture capital funding beginning in 2017.

Seesaw's stated purpose was: "Bring specialty coffee into everyone's daily life." The brand expanded aggressively into multiple Chinese cities between 2017 and 2021. However, in 2023, a price war erupted in China's coffee market — Luckin Coffee and Cotti Coffee launched 9.9-yuan coupons (~\$1.35 USD per cup). Seesaw responded by launching its own 9.9-yuan promotions to retain customers. Because specialty beans and trained baristas cost far more than 9.9 yuan per cup, margins collapsed.

By 2024, reports surfaced of delayed supplier payments, employee salary arrears, and store closures. The company entered bankruptcy/liquidation in 2024–2025.

Key Events

Year	Event
2012	Seesaw Coffee opens first store in Shanghai; positions itself as a specialty coffee pioneer
2012–2017	Builds reputation for quality beans, skilled baristas, and curated café environments; develops loyal following among urban professionals
2017–2021	Receives venture capital funding; expands aggressively into multiple Chinese cities
2023	Price war erupts — Luckin Coffee and Cotti Coffee launch 9.9-yuan coupons (~\$1.35 per cup)
2023–2024	Seesaw launches own 9.9-yuan promotions to retain customers; margins collapse
2024	Reports of delayed supplier payments, employee salary arrears, and store closures
2024–2025	Mass store closures; debts unpaid; company enters bankruptcy/liquidation

Questions

1. Respond to parts A, B, and C.

Seesaw Coffee's stated purpose was: "Bring specialty coffee into everyone's daily life."

(A) Describe what this statement tells you about what Seesaw's leadership considered most important.

(B) Explain how the 9.9-yuan promotion conflicted with this stated purpose.

(C) Evaluate whether Seesaw's actions between 2023 and 2024 were consistent with its stated purpose.

2. Respond to parts A, B, and C.

Seesaw built its brand around craft — quality beans, skilled baristas, and curated café environments.

(A) Identify the specific costs that made Seesaw's products more expensive to produce than those of budget coffee chains.

(B) Explain why Seesaw could not match the 9.9-yuan prices of competitors without sacrificing the qualities that defined its brand.

(C) Recommend one specific strategy Seesaw could have used to respond to the price war without abandoning its commitment to craft.

3. Respond to parts A, B, and C.

Seesaw received venture capital funding and expanded aggressively into multiple Chinese cities between 2017 and 2021.

(A) Identify the external funding source Seesaw used to support its expansion.

(B) Explain how pressure from investors to grow quickly may have contributed to the company's difficulties.

(C) Predict what would have happened to Seesaw if the company had expanded more slowly and focused on profitability rather than growth.

4. Respond to parts A, B, and C.

In 2023, Luckin Coffee and Cotti Coffee launched 9.9-yuan coupons, triggering a price war in China's coffee market.

(A) Identify the external factor that forced Seesaw to respond with lower prices.

(B) Explain how this external factor affected Seesaw's costs and revenue differently than it affected budget coffee chains.

(C) Evaluate whether Seesaw had any realistic options to avoid participating in the price war.

5. Respond to parts A, B, and C.

Seesaw entered bankruptcy/liquidation in 2024–2025, with reports of unpaid debts to suppliers and employees.

(A) Identify two stakeholder groups that were negatively affected by Seesaw's collapse.

(B) Explain how each stakeholder group was affected.

(C) Based on Seesaw's experience, describe one lesson that applies to any premium brand that faces price competition from budget competitors.

Keep this handout for reference during class discussion.

Ctrip (携程) — Case Handout

Topic 1.6 Business Ethics · Read before class. Be ready to discuss.

Background

Ctrip International (携程) is China's largest online travel agency (OTA), founded in 1996 by James Liang (梁建章), Neil Shen (沈南鹏), Ji Qi (季琦), and Fan Min (范敏) in Shanghai. The platform offers hotel bookings, flights, train tickets, vacation packages, car rentals, and travel services. Ctrip went public on NASDAQ in 2003 — one of the first Chinese internet companies listed in the U.S.

Ctrip dominates China's online travel market with a market share exceeding 50%. In 2016, Ctrip acquired its main competitor Qunar (去哪儿), further consolidating its market power. The company is also listed on the Hong Kong Stock Exchange. As of 2024, Ctrip serves hundreds of millions of users annually and operates internationally under the Trip.com brand.

Ctrip's stated vision is: "To become the world's leading travel service company by providing travelers with the most comprehensive and reliable travel products and services at the best prices."

Since 2016, reports of "大数据杀熟" (big data price discrimination) have surfaced — loyal, frequent users notice they are charged higher prices than new users for the same hotel room or flight. Ctrip denied the practice but pledged to improve pricing transparency. Chinese media widely reported on the issue in 2019. Regulators have since begun investigating algorithmic pricing practices across the tech industry.

Key Events

Year	Event
1996	Four co-founders establish Ctrip in Shanghai as one of China's first online travel booking platforms
2003	IPO on NASDAQ; one of the first Chinese internet companies listed in the U.S.
2003–2013	Grows into China's dominant OTA through marketing, hotel and airline partnerships, and technology
2016	Acquires Qunar — main competitor — creating a near-monopoly in China's online travel market
2016–2019	Reports of 大数据杀熟 (big data price discrimination) surface — loyal users charged higher prices than new users
2019	Chinese media widely reports on 大数据杀熟; Ctrip denies the practice but pledges to improve transparency
2020–2021	COVID-19 devastates travel industry; Ctrip's revenue drops sharply; pivots to domestic travel and livestream commerce
2022–2024	Travel recovery; revenue rebounds; 大数据杀熟 complaints continue; regulators investigate algorithmic pricing across tech industry

Questions

1. Respond to parts A, B, and C.

Reports indicate that Ctrip's algorithm charges loyal, frequent users higher prices than new users for the same hotel room or flight.

(A) Describe the practice described in this scenario.

(B) Explain why this practice creates a conflict between Ctrip's short-term revenue goals and its relationship with loyal customers.

(C) Evaluate whether this practice is consistent with Ctrip's stated vision of providing "the best prices" to travelers.

2. Respond to parts A, B, and C.

After acquiring Qunar in 2016, Ctrip held a dominant position in China's online travel market with over 50% market share.

(A) Identify how Ctrip's market dominance gives it the ability to implement the pricing practice described in this scenario.

(B) Explain why customers who notice higher prices may continue using Ctrip despite the practice.

(C) Describe one specific consequence Ctrip could face if regulators ban algorithmic price discrimination.

3. Respond to parts A, B, and C.

Ctrip's stated vision is: "To become the world's leading travel service company by providing travelers with the most comprehensive and reliable travel products and services at the best prices."

(A) Identify what this statement promises to customers.

(B) Explain how the practice of charging loyal users higher prices conflicts with this promise.

(C) Recommend one specific action Ctrip could take to align its pricing practices with its stated vision.

4. Respond to parts A, B, and C.

Chinese regulators have begun investigating algorithmic pricing practices across the tech industry.

(A) Identify the type of external factor (political, economic, social, technological, environmental, or legal) that regulatory investigation represents.

(B) Explain how this external factor could constrain Ctrip's pricing behavior in the future.

(C) Predict what would happen to Ctrip's market position if regulators required all online travel platforms to use transparent, uniform pricing.

5. Respond to parts A, B, and C.

Ctrip serves hundreds of millions of users annually. The company has data on each user's booking history, frequency of travel, and spending patterns.

(A) Describe how Ctrip collects and uses customer data.

(B) Explain how this data gives Ctrip the ability to charge different prices to different customers.

(C) Evaluate whether a company should be allowed to use customer data to charge loyal customers more than new customers. Support your evaluation with reasoning about fairness and long-term business sustainability.

Keep this handout for reference during class discussion.

1.8 Zara Supply Chain — Case Handout

Topic 1.8 Supply Chains · Read before class. Be ready to discuss.

Background

Zara is a Spanish fast fashion retailer and the flagship brand of the **Inditex Group**, the world's largest fashion retailer. Founded in 1975 in Arteixo, Spain, Zara operates over **6,000 stores** in 96 countries. Unlike most fashion brands, Zara's model is built on **speed** — a new design goes from sketch to store shelf in **2 weeks**, compared to the industry average of **6 months**.

Zara owns factories in Spain and nearby countries (rather than outsourcing to Asia), operates one central distribution center in Arteixo through which every garment passes, and produces in small batches with store inventory refreshed twice a week.

Key Events

Year	Event
1975	First Zara store opens in Arteixo, Spain; founder Amancio Ortega starts with a single shop
1985	Inditex Group formed; Zara becomes the core brand of a new parent company
1990s	Own factories and central distribution center built in Spain; the 2-week supply chain model takes shape
2000s	Global expansion — stores open in 60+ countries; same supply chain model replicated worldwide
2010s	Store count exceeds 6,000; annual revenue surpasses \$20 billion
2020s	Competitors (Shein, H&M) challenge Zara on speed; Shein's model delivers new designs in days using a different supply chain approach

Zara Supply Chain Data

Speed-to-shelf timeline

Stage	Zara Timeline	Industry Average
Trend spotted to design ready	Monday to Friday (same week)	Weeks to months
Sketch to store shelf	2 weeks	6 months

Production and inventory model

- Produces in **small batches** — not millions of units at once
- Store inventory is **refreshed twice a week**
- If a style does not sell, it is removed within weeks
- **No markdowns, no excess inventory**

Own factories vs. outsourcing

Factor	Zara (own factories)	Typical brand (outsourced)
Location	Spain and nearby countries	Asia and other low-cost regions
Unit cost	Higher	Lower
Speed and control	Faster production cycles, full quality control	Longer lead times, less direct oversight

Distribution center

- **Every garment** for every store worldwide passes through **one central facility** in Arteixo, Spain
- Garments arrive and ship out within **hours** — the facility does not hold inventory long-term
- A distribution center moves inventory through quickly; a warehouse stores inventory long-term. Zara's facility operates as a distribution center

End-to-end supply chain

Stage	Zara Approach
Design	In-house design team, reacts to trends within days
Raw materials	Sourced directly from suppliers
Manufacturing	Own factories in Spain and nearby countries
Distribution	One central facility in Arteixo; garments move in hours
Retail	6,000+ stores; inventory refreshed twice per week

Questions

1. Respond to parts A, B, and C.

Zara's supply chain spans five stages: design, raw materials, manufacturing, distribution, and retail.

(A) Identify how Zara's approach at each of the five stages differs from a typical fashion brand.

(B) Explain how the speed requirement at one stage (design) creates specific requirements at the other four stages.

(C) Predict what would happen to Zara's supply chain if the company moved its central distribution center from Spain to Vietnam to be closer to outsourced factories.

2. Respond to parts A, B, and C.

Zara chose to own factories in Spain and nearby countries instead of outsourcing to lower-cost regions in Asia.

(A) Describe the tradeoff Zara made between unit cost and speed when choosing to own factories.

(B) Explain why Zara's unit cost is higher than competitors who outsource, and identify what Zara gains in return.

(C) Recommend whether Zara should outsource 50% of production to Asia to reduce costs. Support your recommendation with evidence from the scenario.

3. Respond to parts A, B, and C.

Zara's central facility in Arteixo processes every garment for all 6,000+ stores worldwide, moving items through within hours rather than storing them.

(A) Describe the difference between a facility that moves inventory through quickly and a facility that stores inventory long-term.

(B) Explain the risk of routing all global garments through one central facility.

(C) Identify one advantage of this centralized approach that a company using multiple regional warehouses would not have.

4. Respond to parts A, B, and C.

Zara's 2-week turnaround depends on owned factories, centralized distribution, and small-batch production all working together. Competitors have not been able to replicate this system.

(A) Describe what makes Zara's supply chain difficult for competitors to copy.

(B) Explain why a competitor cannot achieve Zara's speed by simply copying one element (for example, building a central distribution center) without the other elements.

(C) Evaluate whether Shein's supply chain model (which delivers new designs in days) is a greater threat to Zara than traditional competitors like H&M.

5. Respond to parts A, B, and C.

Zara produces in small batches and refreshes store inventory twice a week, while traditional fashion brands produce large batches months in advance.

(A) Describe what happens to unsold inventory in each model.

(B) Explain how Zara's small-batch approach reduces financial risk compared to producing large batches six months before a selling season.

(C) Identify one disadvantage of Zara's small-batch model compared to large-batch production, and explain when a company might prefer the large-batch approach.

Keep this handout for reference during class discussion.

Luckin Coffee (瑞幸咖啡) — Case Handout

Topic 2.1 Marketing to Customers · Read before class. Be ready to discuss.

Background

Luckin Coffee (瑞幸咖啡) is a Chinese coffee chain founded in 2017 in Beijing, China. The company combines technology-driven operations with aggressive pricing to compete with Starbucks in China.

- **Stores:** 9,000+ locations across China — more stores in China than Starbucks
- **Model:** App-first ordering (no cash registers); all transactions happen through the Luckin app or WeChat mini-program
- **Industry:** Coffee / Food & Beverage

Luckin Coffee built its business around **data and technology** rather than traditional advertising. The company collects over **1,000 data tags per user** — including gender, iced/hot preference, social energy level, and coffee scenario (morning commute, afternoon break, meeting) — to drive personalized marketing and product decisions.

Key Events

Year	Event
2017	Luckin Coffee founded; opens first stores in Beijing and launches its app-only ordering model
2018	Rapid expansion; launches referral program — "Invite a friend, both get a free cup" — on launch day, new user registrations doubled and orders grew 40%
2019	Company goes public on NASDAQ; store count surpasses Starbucks in China
2020	Accounting scandal leads to delisting from NASDAQ; company restructures leadership and internal controls
2021-2022	Post-scandal recovery; focuses on operational efficiency and profitability; implements CDP (Customer Data Platform) for automated personalized marketing
2022	Builds WeChat private domain — 1.8 million users in community groups generate 35,000+ direct orders per day ; launches "Chief Welfare Officer Lucky" enterprise WeChat persona for community management
2023	Launches Moutai Latte collaboration (with Kweichow Moutai, China's most famous liquor brand); the product sells millions of cups on day one through social media; repurchase rate at 3+ month stores exceeds 80%
2023-2024	Implements RFM user segmentation model (Recency, Frequency, Monetary value) and LBS (location-based) community targeting for hyper-local marketing

Luckin Coffee — Data-Driven Marketing Facts

Data Collection

Luckin's app records every customer interaction. The company collects **1,000+ data tags per user**, including:

- **Demographic data** (who the customer is): age, gender, location

- **Psychographic data** (how the customer thinks and behaves): iced vs. hot preference, social energy level, coffee scenario (morning commute vs. afternoon break vs. meeting), flavor preferences, spending patterns

Target Customer Profile

Attribute	Detail
Age	20-29 years old (50% of user base)
Occupation	Office workers (60%+ of users)
Location	Tier 1 cities — Beijing, Shanghai, Guangzhou (30%+ of users)
Behavior	Tech-savvy, mobile-first, price-sensitive but brand-aware

RFM Segmentation Model

RFM Dimension	What It Measures	How Luckin Uses It
Recency	When did the customer last order?	Identifies customers at risk of churning; sends targeted re-engagement offers
Frequency	How often does the customer order?	Distinguishes daily drinkers from occasional buyers; tailors rewards accordingly
Monetary	How much does the customer spend?	Identifies high-value customers for premium product promotions

Customer Acquisition Cost (CAC) and Lifetime Value (LTV)

Metric	Effect
Referral program impact on CAC	Reduces CAC — existing customers recruit new ones at the cost of one free cup per person
WeChat community impact on LTV	Monthly purchase frequency +30% ; weekly repurchase +28% ; at 3+ month stores, repurchase rate exceeds 80%

Questions

1. Respond to parts A, B, and C.

Luckin Coffee built a 9,000+ store business with almost no traditional advertising. All customer transactions happen through the Luckin app or WeChat mini-program.

- (A) Identify three types of data that Luckin's app collects about its customers.
 - (B) Explain how this data collection allows Luckin to market to customers without traditional advertising.
 - (C) Describe one specific way Luckin could use a data tag (such as "prefers iced coffee in the afternoon") to send a targeted promotion to a customer.
-

2. Respond to parts A, B, and C.

Luckin uses the **RFM model** (Recency, Frequency, Monetary value) to segment its customers.

- (A) Describe what each RFM dimension measures.
 - (B) Explain how Luckin would treat a customer who scored high on Recency (ordered yesterday) but low on Frequency (orders once a month) differently from a customer who scored high on Frequency (orders daily) but low on Recency (last ordered 3 weeks ago).
 - (C) Recommend one specific marketing action for each of the two customers described in part B.
-

3. Respond to parts A, B, and C.

The referral program ("Invite a friend, both get a free cup") doubled new user registrations and grew orders by 40% on launch day.

- (A) Identify the cost to Luckin of each new customer acquired through the referral program.
 - (B) Explain why this program is more cost-effective than traditional advertising for acquiring new customers.
 - (C) Predict what would happen to the program's effectiveness if Luckin's average customer only made two total purchases and then stopped buying.
-

4. Respond to parts A, B, and C.

After joining Luckin's WeChat community groups, customers increased their monthly purchase frequency by **30%** and weekly repurchase by **28%**. Luckin also created a "Chief Welfare Officer Lucky" persona for community management.

(A) Describe one way a WeChat community group differs from a one-time coupon promotion.

(B) Explain why a WeChat community group is more effective at building long-term customer relationships than a one-time coupon.

(C) Explain what role the "Chief Welfare Officer Lucky" persona plays in making the community feel personal rather than corporate.

5. Respond to parts A, B, and C.

Luckin Coffee's 2023 **Moutai Latte** collaboration sold millions of cups on day one through social media shares and word-of-mouth — not paid advertising.

(A) Identify two factors that likely made the Moutai Latte shareable on social media.

(B) Explain how Luckin could use data from the viral moment (new customer registrations, social media mentions) to convert one-time buyers into repeat customers.

(C) Recommend whether Luckin should pursue more collaborations like this or invest in building its own standalone brand identity. Support your recommendation with evidence from the case.

Keep this handout for reference during class discussion.

2.1 HEYTEA (喜茶) — Case Handout

Topic 2.1 Marketing to Customers · Read before class. Be ready to discuss.

Background

HEYTEA (喜茶) is a Chinese premium tea drink brand founded in 2012 in Jiangmen, Guangdong Province. The company introduced cheese-fruit tea and fresh-ingredient drinks, establishing the "new-style tea" category. HEYTEA operates over **3,000 stores** across China and has expanded internationally to Singapore, the United Kingdom, Australia, and the United States. The company was valued at approximately **\$9 billion** in 2022.

HEYTEA does not rely on traditional advertising. The brand uses **social media, data-driven personalization, and cultural collaborations** to reach and retain customers. As of 2023, HEYTEA has **63 million registered members** through its mini-program.

Target customer profile: 20-30 years old, predominantly female, concentrated in tier-1 and tier-2 cities. HEYTEA's typical customer waits 30-60 minutes in line, takes a photo of the cup, and posts it on WeChat Moments or Xiaohongshu before taking the first sip. The purchase is driven by **social check-in (打卡), lifestyle display, aesthetic experience, and trend-seeking**.

Key Events

Year	Event
2012	Founded as "Royal Tea" (皇茶) in Jiangmen, Guangdong; later rebranded to HEYTEA (喜茶)
2016	Raises Series A funding; begins expansion into tier-1 cities (Shenzhen, Guangzhou, Shanghai, Beijing)
2017	Long queues at Shanghai stores generate social media attention; lines reportedly reach 3-4 hours
2018	Launches HEYTEA GO (喜茶GO) mini-program for mobile ordering; collects full behavioral data (order history, flavor preferences, frequency, location, time of day)
2019	Store count exceeds 300; international expansion begins (Singapore); launches membership program with points, birthday vouchers, and early access to new products
2020	Many stores become mini-program only (no cash accepted); data-driven product development becomes core strategy
2021	Store count exceeds 800; expands to UK and Australia; valued at approximately \$6 billion
2022	Valued at approximately \$9 billion ; store count exceeds 2,000; expands to the United States
May 2023	Fendi x HEYTEA collaboration — a 19-yuan drink with Fendi branding; first day sells out at many locations; coverage on WeChat, Xiaohongshu, and Douyin
2023	Reaches 63 million registered members ; store count exceeds 3,000; collaborations with brands like Oatly, Chinese liquor brands, and local artists continue

Questions

1. Respond to parts A, B, and C.

HEYTEA's Fendi collaboration generated millions of social media impressions without a traditional advertising campaign.

(A) Identify two ways customers learned about the Fendi x HEYTEA collaboration without seeing a paid advertisement.

(B) Describe what features of the collaboration likely motivated customers to share it on social media.

(C) Explain how HEYTEA benefits from customers sharing the collaboration on social media, even if HEYTEA did not pay for that exposure.

2. Respond to parts A, B, and C.

HEYTEA's online ordering app collects order history, flavor preferences, visit frequency, location, and time of day for each member.

(A) Identify three types of customer data that HEYTEA collects through its mini-program.

(B) Explain how HEYTEA could use this data to develop a new seasonal drink flavor.

(C) Recommend how HEYTEA should balance data collection with customer privacy for its 63 million members.

3. Respond to parts A, B, and C.

HEYTEA's target customer is described as a young urban woman (age 20-30, tier-1/2 cities) who values social check-in, aesthetics, and trend-seeking.

(A) Describe the characteristics of HEYTEA's target customer as stated in the case.

(B) Explain which of these characteristics is most useful for deciding where to open a new HEYTEA store.

(C) Predict how HEYTEA's marketing approach would need to change if the company expanded into tier-3 and tier-4 cities.

4. Respond to parts A, B, and C.

HEYTEA's membership program offers points, birthday vouchers, early access to new products, and member-exclusive drinks. The company frequently launches new products including seasonal, limited-edition, and collaboration items.

(A) Describe two features of HEYTEA's membership program.

- (B) Explain how one membership feature encourages repeat purchases.
- (C) Recommend which membership feature HEYTEA should prioritize to increase long-term customer spending. Support your recommendation with evidence from the case.
-

5. Respond to parts A, B, and C.

The Fendi x HEYTEA collaboration generated millions of social media shares without HEYTEA paying for traditional advertising.

- (A) Identify what "customer acquisition cost" means in a business context.
- (B) Explain how the Fendi collaboration likely kept HEYTEA's customer acquisition cost low compared to paid advertising.
- (C) Compare the advantages and disadvantages of relying on collaborations versus paid advertising for acquiring new customers.
-

Keep this handout for reference during class discussion.

Keep — Case Handout

Topic 2.2 Consumer Behavior · Read before class. Be ready to discuss.

Background

Keep is a Chinese fitness and lifestyle app founded in 2014 in Beijing. The company went public on the Hong Kong Stock Exchange in 2023, making it China's first fitness tech IPO. As of its IPO, Keep reported over 300 million registered users and more than 30 million monthly active users.

Keep operates four revenue streams:

- **Online fitness content** — subscription-based access to workout classes and training plans
- **Smart fitness products** — equipment and wearable devices sold under the Keep brand
- **Branded apparel** — athletic clothing and accessories
- **Advertising** — brand partnerships and in-app promotions

Keep's core users are 18-35 year olds in urban Chinese cities, with over 60% female users. Most are office workers with moderate incomes who find expensive gym memberships inaccessible. The brand's core values center on health, self-improvement, and discipline.

The company's core mission is captured in its brand slogan: "自律给我自由" — "Self-discipline gives me freedom."

Key Events

Year	Event
2014	Keep founded in Beijing; launches as a free fitness app offering guided home workouts
2015-2017	Rapid user growth as smartphone penetration in China surges. Online fitness users in China grow from approximately 100 million to a much larger base. Keep introduces streak counters and workout completion badges to drive daily engagement
2018-2020	Keep expands into smart fitness products (yoga mats, resistance bands, stationary bikes) and branded apparel. Training camps (训练营) and community features such as "Keep Running" local running clubs are introduced
2021-2022	Keep reaches 300 million registered users. The platform introduces leaderboards, user-generated content sharing to WeChat Moments, and group workout challenges. Premium subscription tiers are formalized at approximately 19 USD/month or 178 USD/year
2023	Completes IPO on the Hong Kong Stock Exchange. Monthly active users exceed 30 million. Online fitness users in China have grown to approximately 400 million

Questions

1. Respond to parts A, B, and C.

Before Keep launched, fitness participation in China required a gym membership costing 50-100 USD per month plus commute time and a fixed schedule. By 2023, online fitness users in China had grown to approximately 400 million.

(A) Identify two ways Keep made fitness more accessible to consumers compared to traditional gyms.

(B) Explain how smartphone technology changed both Keep's ability to reach customers and consumers' access to fitness.

(C) Predict what would happen to Keep's user growth if smartphone penetration in China stopped increasing.

2. Respond to parts A, B, and C.

Keep's brand slogan is "自律给我自由" — "Self-discipline gives me freedom." The app uses streak counters ("连续打卡天数") and workout completion badges to reinforce user behavior.

(A) Describe how the streak counter feature works in the Keep app.

(B) Explain how a user's self-image as a "self-disciplined person" influences their continued use of the app over time.

(C) Predict what happens to a user's engagement when they break their streak, and explain what this reveals about the power of the streak feature.

3. Respond to parts A, B, and C.

Keep offers training camps (训练营) with group goals and leaderboards, "Keep Running" local running clubs, and easy sharing of workout screenshots to WeChat Moments.

(A) Identify two community features that Keep uses to connect users with each other.

(B) Explain how these features transform exercising at home from a solitary activity into a group experience.

(C) Explain how this group experience might affect a user's decision to subscribe to premium or purchase Keep-branded products.

4. Respond to parts A, B, and C.

Keep's product ecosystem includes free app usage, a premium subscription (19 USD/month or 178 USD/year), and smart fitness equipment.

(A) Classify each of the three products as either an impulse purchase or a considered purchase.

(B) Explain how Keep's app design — reminders, streak counters, daily workout plans — encourages users to develop a daily habit of using the app.

(C) Explain why shifting users from occasional to daily use is strategically valuable for Keep's revenue.

5. Respond to parts A, B, and C.

Keep provides a large library of free workout content that delivers real value to users. The company also offers free trial periods of 7-14 days for its premium subscription tier, allowing users to access all features before committing to a paid plan.

(A) Identify what Keep offers for free to all users.

(B) Explain why users who have benefited from free content are more likely to eventually pay for a subscription or purchase Keep-branded equipment.

(C) Evaluate whether a free trial period for premium strengthens or weakens a user's sense of obligation to eventually pay. Justify your answer.

Keep this handout for reference during class discussion.

2.2 Tea Yan Yue Se (茶颜悦色) — Case Handout

Topic 2.2 Consumer Behavior · Read before class. Be ready to discuss.

Background

Tea Yan Yue Se (茶颜悦色) is a Chinese tea drink brand founded in 2013 in Changsha, Hunan Province. The brand is known for its **Chinese-style (国风) cup designs** featuring classical poetry, traditional illustrations, and cultural references. Signature products include the **Youlan Latte (幽兰拿铁)**, **Shengsheng Oolong (声声乌龙)**, and **Zhixiao (栀晓)** — each named with poetic, literary references that reflect the brand's fusion of traditional tea culture with modern drink trends.

For **seven years**, Tea Yan Yue Se was available **only in Changsha**. This geographic exclusivity turned the brand into a cultural phenomenon: tourists planned trips to Changsha around visiting the brand. The phrase "排队2小时买一杯茶颜" ("queuing 2 hours for one cup of Tea Yan") became a social media topic and a marker of dedication. The brand began expanding to other cities — Wuhan, Chongqing, Nanjing — starting in 2020, but Changsha remains the "**spiritual home**" of the brand. As of 2025, Tea Yan Yue Se operates over **500 stores**, the vast majority still in Hunan Province.

Target customer profile: Young Chinese consumers (18-35) who value cultural identity, aesthetic experience, and social participation. A typical customer visits Tea Yan Yue Se not only for the drink but for the experience: reading the poetry on the cup, sharing a photo on Xiaohongshu, and telling friends "I went to Changsha and got Tea Yan." The purchase decision is shaped by scarcity, social proof, cultural identity, and emotional connection.

Key Events

Year	Event
2013	Founded by Lü Liang (吕良) in Changsha, Hunan; opens first store with Chinese-style decor and hand-written product descriptions
2014-2019	Expands within Changsha only; builds a following among locals and tourists; limited geographic footprint creates scarcity — no stores outside Hunan
2017	Social media attention grows — "queuing 2 hours for Tea Yan" becomes a topic on Weibo and Xiaohongshu; Changsha travel guides begin listing Tea Yan Yue Se as a destination
2019	Seasonal limited flavors (季节限定) become a core strategy — rotating flavors create urgency and repeat visits; fans track release dates
2020	First expansion outside Changsha — opens stores in Wuhan; social media coverage accompanies each new city launch
2021	Expands to Chongqing and Nanjing; loyalty stamp card (积点卡) program formalized — buy 6 cups, get 1 free; Xiaohongshu posts about the brand exceed 1 million
2022	Some seasonal flavors designated as Changsha-exclusive — even after expansion, certain products remain available only in Changsha, reinforcing the city's special status
2023	Store count exceeds 500; WeChat mini-program ordering rolled out across locations; fan communities on WeChat and Weibo grow to millions of members
2024	Continues measured expansion; maintains focus on quality and cultural identity over rapid scaling

In addition to its stamp card loyalty program, the brand uses other reciprocity tactics: stores provide free tasting samples of new teas to walk-in customers, and the brand gives small gifts during Chinese festivals, such as red envelopes during Spring Festival.

Questions

1. Respond to parts A, B, and C.

Tea Yan Yue Se was available only in Changsha for over seven years, and tourists planned entire trips around visiting the brand.

(A) Identify the type of scarcity that drove demand for Tea Yan Yue Se during its Changsha-only period.

(B) Explain how this scarcity — where supply was genuinely limited by geography — differs from a store displaying "Only 10 left!" when 100 exist.

(C) Explain which type of scarcity builds long-term trust with customers and which type erodes it.

2. Respond to parts A, B, and C.

Founder Lü Liang personally writes product descriptions, and every Tea Yan cup features a hand-written-style poem or cultural reference. The brand positions itself around "authentic Chinese tea."

(A) Identify two ways Tea Yan Yue Se establishes credibility without using celebrity endorsements.

(B) Explain how cultural credibility differs from professional credentials (such as a chef's certification) in influencing consumer decisions.

(C) Evaluate which element — founder involvement, cup design, or cultural positioning — is most effective at convincing customers that Tea Yan Yue Se is an authority on Chinese tea. Use case facts to support your answer.

3. Respond to parts A, B, and C.

Tea Yan Yue Se has over one million Xiaohongshu posts, and "Tea Yan guide" is a standard section in Changsha travel guides. Social media shows long queues outside stores.

(A) Identify two indicators described in the case that show Tea Yan Yue Se is popular with consumers.

(B) Explain how the physical queue outside a Tea Yan store influences other potential customers beyond just showing that the store is busy.

(C) Explain how the feedback loop between social media posts and real-world queues amplifies demand for the brand.

4. Respond to parts A, B, and C.

Tea Yan Yue Se uses Chinese-style cup designs with classical poetry, literary product names like "Orchid Latte" and "Singing Oolong," and staff trained to explain each drink's cultural reference.

(A) Identify three elements Tea Yan Yue Se uses to create an emotional connection with customers.

(B) Evaluate which element — visual design, product naming, or staff interaction — is most effective at creating an emotional connection. Use case facts to support your answer.

(C) Explain how each element contributes differently to a customer's overall experience of the brand.

5. Respond to parts A, B, and C.

Tea Yan Yue Se's loyalty stamp card offers a free drink after six purchases, stores provide free tasting samples, and the brand gives small gifts during Chinese festivals such as red envelopes during Spring Festival.

(A) Identify three reciprocity tactics Tea Yan Yue Se uses to encourage repeat purchases.

(B) Analyze which of these three tactics is most powerful in driving repeat purchases. Consider whether culturally meaningful gifts create stronger obligation than transactional rewards.

(C) Recommend which tactic Tea Yan Yue Se should invest in most heavily to build long-term customer loyalty. Justify your recommendation with case facts.

Keep this handout for reference during class discussion.

2.3 New Coke — Case Handout

Topic 2.3 Market Research · Read before class. Be ready to discuss.

Background

In the 1980s, **Coca-Cola** was losing the "Cola Wars" to Pepsi. After World War II, Coca-Cola had owned **60% of the cola market**; by 1983, that share had fallen to **less than 24%**. Pepsi intensified the pressure by launching the "**Pepsi Challenge**" — blindfolded taste tests in which people chose Pepsi over Coca-Cola.

Coca-Cola CEO **Roberto Goizueta** led the company's response. Born in Cuba and trained as a chemical engineer, Goizueta became president of Coca-Cola in 1979. Earlier in his career, he had successfully tweaked Coke's flavor for the Bahamas market — a past success that later influenced his judgment when he championed a much larger reformulation. Under his leadership, Coca-Cola launched "**Project Kansas**" — a secret plan to create a sweeter version of classic Coca-Cola that could defeat Pepsi in head-to-head taste tests.

Key Events

Date	Event
1983	Coca-Cola's market share falls below 24%, down from 60% after WWII. Pepsi's "Pepsi Challenge" campaign gains national attention
1983-1985	Project Kansas begins — Coca-Cola secretly develops a sweeter reformulation of classic Coca-Cola
1984	Coca-Cola spends approximately \$12 million (in today's dollars) conducting market research on New Coke, enrolling 200,000 participants in taste tests and focus groups. The taste test methodology gave participants only a small sip of each product — not a full can. Sip tests favor sweeter drinks (New Coke was sweeter), while drinking a full can favors less sweet, more familiar flavors (original Coca-Cola)
April 23, 1985 — "Black Tuesday"	Coca-Cola announces that New Coke will replace classic Coca-Cola. Pepsi had prepped 200+ reporters with tough questions before the press conference
April-July 1985	Coca-Cola's Atlanta headquarters receives 8,000+ angry calls per day . Demonstrations and letter-writing campaigns erupt across the country
July 1985 — 3 months later	Coca-Cola brings back the original formula as " Coca-Cola Classic "

Questions

1. Respond to parts A, B, and C.

Coca-Cola collected both quantitative data (200,000 taste tests) and qualitative data (focus groups) before launching New Coke.

(A) Identify the two types of data Coca-Cola collected and describe how each was gathered.

(B) Explain why collecting both types of data was insufficient to predict consumer reaction to New Coke replacing Classic.

(C) Identify the critical variable that neither data type measured, and explain why measuring it would have changed Coca-Cola's decision.

2. Respond to parts A, B, and C.

Pepsi's market share growth (Coca-Cola declining from 60% to less than 24%) and the Pepsi Challenge results were both secondary data that Coca-Cola used to inform its strategy.

(A) Identify the two secondary data sources described in the case.

(B) Explain how Coca-Cola interpreted these two data sources and what conclusion it drew.

(C) Identify an alternative explanation for Coca-Cola's market share decline that the company failed to consider.

3. Respond to parts A, B, and C.

Coca-Cola's hypothesis was: "Consumers prefer a sweeter cola; therefore, they will accept New Coke replacing Classic."

(A) Identify what was being tested in this hypothesis.

(B) Explain what was missing from the hypothesis that made it incomplete.

(C) Explain how the incomplete hypothesis led to a flawed research design.

4. Respond to parts A, B, and C.

The taste test gave participants a small sip of New Coke, not a full can. The test was conducted in a controlled setting, not in a real-life environment.

(A) Describe the conditions under which the taste test was conducted.

(B) Explain why results from a small sip test might differ from results when a consumer drinks a full can at home with a meal.

(C) Predict whether New Coke would have performed as well in taste tests if participants had been given a full can. Support your prediction with evidence from the case.

5. Respond to parts A, B, and C.

CEO Roberto Goizueta had previously succeeded in tweaking Coke's flavor for the Bahamas market. He "believed that New Coke had to work so he ignored information that might have contradicted that belief."

(A) Describe how Goizueta's past experience may have influenced his interpretation of the New Coke research results.

(B) Explain how his personal investment in the outcome affected the research process.

(C) Identify two specific ways a neutral researcher — one without Goizueta's personal investment — might have designed the research differently.

Keep this handout for reference during class discussion.

2.4 Dyson — Case Handout

Topic 2.4 Product · Read before class. Be ready to discuss.

Background

Dyson Ltd. is a British technology company founded by James Dyson in 1993. The company produces vacuum cleaners, hand dryers, hair care products, and air treatment devices. As of 2024, Dyson generates over \$7 billion in annual revenue and sells products in more than 80 countries. James Dyson ranks 60th on the Bloomberg Billionaires Index with a net worth of \$26.2 billion.

James Dyson was born in 1947 in Cromer, Norfolk, England. He studied at the Byam Shaw School of Art and then the Royal College of Art (RCA). He collaborated with entrepreneur Jeremy Fry on projects like the Dyson Sea Truck, an amphibious landing craft. Before pursuing the vacuum cleaner, he invented the **Ballbarrow** — a wheelbarrow with a molded plastic trough and a ball instead of a wheel. Despite initial UK success, the Ballbarrow design was replicated by US competitors, teaching Dyson about protecting innovation.

Key Events

Year	Event
~1975	Invents the Ballbarrow (ball-wheelbarrow) while renovating his farmhouse; achieves UK success but loses to US copycats
1978	Disassembles his Hoover vacuum cleaner; identifies root cause: clogged pores and reduced suction from accumulated dust in the bag
1978	Observes a sawmill's 30-foot conical centrifuge (dust removal system); recognizes the potential to miniaturize cyclone technology for a vacuum
1979	Begins building prototypes of a bagless vacuum in a barn behind his house
1979-1984	Builds 5,127 prototypes over five years, enduring financial strain; wife supports the family by teaching art
1984	Perfects the Dual Cyclone technology (DC1 prototype) but every domestic manufacturer refuses to license it — they profit from selling replacement bags
~1985	Settles patent disputes with Amway over Dual Cyclone technology
1986	Secures a licensing deal with Apex , a Japanese manufacturer; launches the G-Force vacuum in Japan at ~\$2,000
1986-1993	G-Force wins design awards in Japan and Europe; validates that customers will pay a premium for bagless technology
1993	Founds Dyson Appliances Limited in the UK; launches the DC01 with the campaign " Say goodbye to the bag "
1995	DC01 becomes the #1 selling vacuum in the UK, outselling established brands despite costing twice as much
1996-2001	Licenses technology to Phantom Technologies in North America; later takes direct control of US operations
~2000	Appoints Martin McCord as CEO so Dyson can refocus on design and engineering; McCord secures deals with Best Buy, Target, Home Depot
~2000	Launches the Contra Rotator washing machine (£1,000) — two drums rotating in opposite directions; positive reviews but commercial failure; discontinued after a few years
2002	Relocates manufacturing from Malmesbury, UK to Malaysia — frees up resources for R&D

Year	Event
2006	Launches the Airblade hand dryer — enters a completely new product category
2016	Launches the Supersonic hair dryer at \$400
2018	Launches the Airwrap multi-styler — becomes a social media phenomenon
2019	Attempts an electric car project — invests \$2.5 billion but ultimately cancels
2020	Collaborates with TTP to develop ventilators during COVID-19 pandemic
2023	Launches the Airstrait wet-to-dry straightener; continues expanding the hair care portfolio
Ongoing	Dyson invests 15-20% of annual revenue in R&D, with research labs in the UK, Singapore, and the US; the company holds approximately 6,000 granted and pending patents

Questions

1. Respond to parts A, B, and C.

Dyson built 5,127 prototypes before launching the G-Force in Japan at ~\$2,000.

(A) Identify what made the G-Force launch different from the 5,127 prototypes that came before it.

(B) Describe what Dyson learned from selling the G-Force in Japan before launching the DC01 in the UK.

(C) Explain why Dyson launched in Japan first rather than in his home market of the UK.

2. Respond to parts A, B, and C.

When Dyson approached vacuum manufacturers with his working prototype, every major brand refused to license it — they profited from selling replacement bags.

(A) Identify the reason vacuum manufacturers refused to license Dyson's bagless technology.

(B) Explain why manufacturers chose to protect their existing bag revenue rather than adopt a better product.

(C) Explain what this rejection reveals about how established companies evaluate new product ideas.

3. Respond to parts A, B, and C.

Dyson vacuums sell for 2-3x the price of competitors. Some customers say, "I know I'm paying for the brand."

(A) Identify what allows Dyson to charge a price significantly higher than competitors.

(B) Explain what a customer means when they say "I know I'm paying for the brand."

(C) Evaluate whether this statement is a criticism or a sign of brand strength. Support your evaluation with evidence from the case.

4. Respond to parts A, B, and C.

Dyson's vacuum line has been on the market since 1993 and faces established competitors. The Airwrap launched in 2018 and became a social media phenomenon. Dyson invests 15-20% of annual revenue in R&D.

(A) Describe the current market position of Dyson's vacuum line compared to its hair care products.

(B) Explain how Dyson's R&D investment strategy supports products at different stages of their life cycle.

(C) Recommend what Dyson should prioritize for its vacuum line versus its hair care line over the next five years. Support your recommendation with evidence from the case.

5. Respond to parts A, B, and C.

Dyson launched the Contra Rotator washing machine (~2000) at £1,000 with positive reviews, but it was a commercial failure and was discontinued. The Airblade hand dryer (2006) entered a completely new product category and succeeded.

- (A) Identify one reason the Contra Rotator failed despite positive reviews.
 - (B) Explain why the Airblade succeeded in a new product category while the Contra Rotator failed in an established one.
 - (C) Recommend what Dyson should consider before entering any new product category in the future. Support your recommendation with evidence from the case.
-

Keep this handout for reference during class discussion.

2.4 Genki Forest (元气森林) — Case Handout

Topic 2.4 Product · Read before class. Be ready to discuss.

Background

Genki Forest (元气森林) is a Chinese beverage company founded in 2016 by **Binsen Tang** (唐彬森), a serial tech entrepreneur. The company produces sugar-free, zero-calorie sparkling water and other health-focused beverages. By 2021, annual sales reached approximately RMB 7 billion (~\$1 billion), and the company was valued at \$6 billion after its most recent funding round. Genki Forest products are now sold in over 40 countries.

Tang previously founded **ELEX Technology**, China's third-largest gaming company, which he sold for **\$434 million** in 2014. He then established **Challenger Ventures**, an investment firm supporting Chinese FMCG entrepreneurs. Tang and his founding team had **zero experience in the beverage industry** — they were all tech entrepreneurs.

Genki Forest uses the Japanese kanji character '気' (**ki**) instead of the simplified Chinese '气' on its packaging, and the brand's visual identity is designed to appear Japanese. The company positions itself as a "**technology company**" rather than a traditional beverage company, applying data analytics, user research, and rapid product iteration — practices borrowed from the tech industry — to develop and market its drinks.

Key Events

Year	Event
2014	Binsen Tang sells ELEX Technology for \$434 million; establishes Challenger Ventures
2016	Founds Genki Forest with 30 people — all from the tech industry, none with beverage experience
2016	First product batch is destroyed — team destroys RMB 5 million of inventory at an additional cost of RMB 1 million; company survives on loans from Challenger Ventures
2016	Launches " Burning Tea " (燃茶) — a low-calorie, low-sugar oolong tea — via Weibo crowdfunding ; priced at RMB 6/bottle (premium for bottled tea)
2017	Team's daily routine: search Weibo for brand mentions, respond to every customer comment — building relationships with zero marketing budget
2018	Launches sparkling water (零卡气泡水) — zero-calorie, zero-sugar, in distinctive white bottles; sales in months surpass what Burning Tea achieved in over a year
2018	Uses erythritol as sugar substitute — 70x more expensive than common alternatives (xylitol, aspartame) — justifies premium pricing through health positioning
2019	Shanghai sales reach 67% of Coca-Cola's level
2019	Launches milk-powdered drink with jasmine/Assam tea extracts and Xiancha (纤茶) based on traditional Chinese medicine ingredients
2020	Shanghai sales climb to 92% of Coca-Cola's
2020	Team grows to 3,000+ employees (from 30 in 2016)
2020	Begins building five proprietary factories across China to solve production capacity bottleneck
2020	Tang states that 95% of Genki Forest's planned products have yet to be launched
2021	Raises \$6 billion in funding; annual sales reach ~RMB 7 billion
2021	Uses KOL marketing with top Chinese influencers (Li Jiaqi, Viya) on Xiaohongshu and Douyin
2022	Targets exceeding RMB 10 billion in sales; products available in 40+ countries including US, Japan, Australia, UK

Year	Event
2022	Five factories fully operational — annual production capacity exceeds 5 billion bottles

Key Research Findings

- **Burning Tea customer feedback (2017):** Customers wanted more variety and bolder flavors.
- **Sugar-free positioning** resonated most strongly with early adopters.
- This feedback directly informed the development of the sparkling water line (2018), which surpassed Burning Tea's sales in months.

Questions

1. Respond to parts A, B, and C.

Binsen Tang came from the gaming industry, not beverages. He founded Genki Forest with 30 people, all from the tech industry, none with beverage experience.

- (A) Identify one advantage of having a team with no beverage industry experience.
- (B) Identify one challenge this team would face that a beverage industry insider would not.
- (C) Explain how the team's tech industry background influenced the way they built Genki Forest.

2. Respond to parts A, B, and C.

The team's first product batch was destroyed — RMB 5 million of inventory at an additional cost of RMB 1 million. The company survived on loans from Challenger Ventures.

- (A) Identify what happened to Genki Forest's first product batch.
- (B) Explain what the team should have done differently before producing RMB 5 million worth of inventory.
- (C) Explain how this early failure influenced the company's approach to product development going forward.

3. Respond to parts A, B, and C.

"Burning Tea" launched in 2016 as Genki Forest's first product. Customer feedback showed customers wanted more variety and bolder flavors, and sugar-free positioning resonated with early adopters. The sparkling water line launched in 2018 and surpassed Burning Tea's sales in months.

- (A) Identify what Burning Tea's role was in Genki Forest's product development process.
 - (B) Describe the specific customer feedback from Burning Tea that informed the development of sparkling water.
 - (C) Explain why launching Burning Tea first — rather than going directly to sparkling water — was a strategic decision.
-

4. Respond to parts A, B, and C.

Genki Forest uses the Japanese kanji character '気' on its packaging and designs its visual identity to appear Japanese, even though it is a Chinese company.

- (A) Describe what Genki Forest's packaging communicates to consumers.
 - (B) Explain how this packaging strategy might influence consumer perception of the product's quality and price.
 - (C) Evaluate whether this packaging approach is effective branding or misleading marketing. Support your evaluation with reasoning.
-

5. Respond to parts A, B, and C.

Tang stated in 2020 that "95% of Genki Forest's planned products have yet to be launched." The company calls itself a "technology company" and applies data analytics, user research, and rapid product iteration to develop drinks.

- (A) Identify two practices from the tech industry that Genki Forest applied to beverage product development.
- (B) Explain how these practices gave Genki Forest an advantage over traditional beverage companies.
- (C) Predict what would happen to Genki Forest if it stopped using data analytics and user research and instead developed products based on industry intuition alone.

Keep this handout for reference during class discussion.

Xiaomi (小米) — Case Handout

Topic 2.5 Price · Read before class. Be ready to discuss.

Background

Xiaomi Corporation is a Chinese electronics company founded in 2010 by Lei Jun, who had previously led Kingsoft, a software company. Xiaomi's founding team included former executives from Google, Microsoft, and Motorola. The company entered the smartphone market in 2011, selling phones exclusively online with no retail stores, no advertising budget, and no manufacturing facilities — production was outsourced to contract manufacturers. This model kept costs low.

Xiaomi's first product, the Mi 1, launched at 1,999 RMB (~\$310). Competing smartphones with similar specifications were priced at 4,000–5,000 RMB. Xiaomi's original plan was to price the Mi 1 at 1,499 RMB, but manufacturing costs exceeded expectations, and the phone was sold at near-cost. By 2014, Xiaomi was China's #1 smartphone brand by market share.

In 2020, Lei Jun announced that Xiaomi would cap its hardware net profit margin at 5% — a rule written into the company's articles of association. As of 2024, Xiaomi is the world's third-largest smartphone maker, selling products in over 100 countries. The company expanded into smart home devices, wearables, and electric vehicles, including the SU7 Ultra car launched at 814,900 RMB (~\$113,000).

Xiaomi's revenue model is shown in Figure 1.

Figure 1: Xiaomi Revenue Model

Revenue Source	Gross Margin	Role
Hardware (smartphones, IoT devices)	~5% (capped)	Customer acquisition tool — gets users into the ecosystem
Internet services (advertising, app store, games, fintech)	~72%	Main profit driver — monetizes the user base
Ecosystem products (smart home, wearables, lifestyle)	~15–20%	Growth driver — expands ecosystem stickiness

Key Events

Year	Event
2010	Lei Jun founds Xiaomi
2011	Mi 1 launched at 1,999 RMB; competitors charge 4,000–5,000 RMB for similar specs
2011–2013	Sells exclusively online; uses social media and word-of-mouth instead of paid advertising
2013	Launches Redmi line at 799 RMB to capture the budget segment
2014	Becomes China's #1 smartphone brand by market share; enters India and Southeast Asia
2018	Listed on Hong Kong Stock Exchange; market cap ~\$50 billion
2019	Spins off Redmi as independent sub-brand; Mi 9 launched at 2,999 RMB — first price increase above 1,999 RMB
2020	Mi 10 launched at 3,999 RMB; Lei Jun announces 5% hardware profit cap
2021	Announces entry into electric vehicles with \$10 billion investment
2024	Mi 15 launched at 4,499 RMB; SU7 Ultra electric car launched at 814,900 RMB

Questions

1. Respond to parts A, B, and C.

(A) Identify the pricing strategy Xiaomi used when it launched the Mi 1 in 2011 at 1,999 RMB while competitors charged 4,000–5,000 RMB.

(B) Using evidence from the scenario, describe how this pricing strategy contributed to Xiaomi's growth between 2011 and 2014.

(C) Identify a risk associated with the pricing strategy you identified in part A, and explain how Xiaomi's revenue model (Figure 1) addresses that risk.

2. Respond to parts A, B, and C.

(A) Using data from the scenario, describe how Xiaomi's flagship phone pricing changed between 2011 and 2024.

(B) Identify a factor that enabled Xiaomi to increase its prices over time without losing its customer base.

(C) Explain why Xiaomi could not have launched the Mi 1 at 4,499 RMB in 2011. Support your explanation with evidence from the scenario.

3. Respond to parts A, B, and C.

Lei Jun capped Xiaomi's hardware profit margin at 5% — written into the company's legal documents.

(A) Using data from Figure 1, identify which revenue source generates the majority of Xiaomi's profit.

(B) Explain why Xiaomi deliberately limits hardware profit to 5%.

(C) Explain how Xiaomi's 5% hardware cap functions as a competitive tool against other smartphone manufacturers.

4. Respond to parts A, B, and C.

Both Xiaomi and Costco use pricing strategies that sacrifice short-term profit for long-term gain.

(A) Describe one similarity between Xiaomi's and Costco's pricing approaches.

(B) Describe one difference between their approaches.

(C) Explain which company's pricing approach would be more difficult for a new competitor to counter. Support your explanation with evidence.

Keep this handout for reference during class discussion.

2.5 Costco (开市客) — Case Handout

Topic 2.5 Price · Read before class. Be ready to discuss.

Background

Costco Wholesale Corporation is the world's third-largest retailer, operating over 890 warehouse clubs across 14 countries. Founded in 1983 in Seattle by **Jim Sinegal** and **Jeff Brotman**, Costco operates on a membership warehouse model — customers pay an annual fee for the privilege of shopping at Costco's no-frills warehouses, where they find a limited selection of products at low prices.

Costco's business model is different from traditional retailers. While most stores aim to maximize profit on each product sold, Costco **caps its markup at 14%** on most items and **15% on Kirkland Signature** (its private label). Costco intentionally limits how much money it makes on products and instead generates almost all of its profit from **membership fees**.

As of 2025, Costco has over **135 million cardholders** worldwide, with a **membership renewal rate above 90%**. The company generates approximately **\$4.8 billion annually** from membership fees alone — a figure that represents nearly all of its operating profit.

Key Events

Year	Event
1976	Sol Price (Jim Sinegal's mentor) opens Price Club in San Diego — the first membership warehouse
1983	Jim Sinegal and Jeff Brotman open the first Costco in Seattle
1985	Costco introduces the hot dog + drink combo at \$1.50 — the price has never been raised
1993	Costco and Price Club merge to form PriceCostco (later renamed Costco Wholesale)
1995	Launches Kirkland Signature private label brand — now generates \$86 billion in annual sales
1997	Company officially renamed Costco Wholesale Corporation
2000s	Begins international expansion — Canada, UK, Japan, South Korea, Australia
2010	Costco becomes the #1 seller of organic foods in the US
2012	Costco becomes the #1 seller of wine in the world
2019	Opens first store in China (Shanghai) — 200,000 applications for membership before opening day
2020	COVID-19 drives record membership sign-ups; Costco's value proposition ("stock up, save") aligns with crisis shopping
2022	Costco raises US membership fee from \$60 to \$65 (first increase since 2017)
2023	Sells 137 million rotisserie chickens in one year (up from 76 million in 2015)
2024	Annual revenue exceeds \$250 billion ; market capitalization exceeds \$400 billion
2025	Operates 890+ warehouses in 14 countries; 310,000+ employees

Costco's Loss-Leader Strategy — Key Facts

- Rotisserie chicken is priced at **\$4.99** — this price has been in place since **2009** and has never been raised.

- The chicken is placed at the **very back of the store** — shoppers must walk through the entire warehouse to reach it, passing hundreds of products along the way.
 - In 2019, Costco built a **\$450 million poultry processing plant** in Fremont, Nebraska to control costs and protect the \$4.99 price point.
 - The Fremont plant ships **1 million chickens per week**.
 - Costco loses an estimated **\$30-40 million per year** selling rotisserie chicken at \$4.99 — intentionally, to drive store traffic.
 - Costco's **gross margin on products is approximately 12%**, compared to Walmart's approximately 24%. Costco compensates for lower margins through high sales volume and membership fees, which generate nearly all of its operating profit.
 - Costco **membership fees vary by country**: \$65/year in the US, £33.60/year in the UK, ¥299/year in China.
-

Questions

1. Respond to parts A, B, and C.

Costco loses \$30-40 million per year selling rotisserie chicken at \$4.99. The chicken is placed at the very back of the store, and shoppers must walk through the entire warehouse to reach it.

(A) Identify what Costco gains by selling rotisserie chicken below cost.

(B) Explain why Costco places the chicken at the back of the store rather than near the entrance.

(C) Predict what would happen to Costco's total revenue if it raised the chicken price to \$7 or \$8.

2. Respond to parts A, B, and C.

Costco's gross margin on products is approximately 12%, compared to Walmart's approximately 24%. Costco generates approximately \$4.8 billion annually from membership fees, which represents nearly all of its operating profit.

(A) Identify the primary source of Costco's operating profit.

(B) Explain how Costco makes money with half the product margin of its competitors.

(C) Explain why Costco's low product margins actually strengthen its relationship with customers.

3. Respond to parts A, B, and C.

Costco caps its markup at 14% on most items and 15% on Kirkland Signature. Most retailers mark up 25-50%.

(A) Identify Costco's maximum markup percentage on most items.

(B) Explain why Costco does not raise its markup to 20% to earn more profit on each sale.

(C) Explain how the 14% cap affects customer trust and membership renewal rates.

4. Respond to parts A, B, and C.

A new student says: "Costco's pricing strategy is the same as any company that sells products at low prices."

(A) Describe the pricing strategy the student is referring to — the approach of setting low initial prices to quickly gain market share.

(B) Explain how Costco's pricing approach differs from the strategy described in part A.

(C) Identify the correct term for Costco's pricing approach, and explain why it is distinct from the strategy described in part A.

5. Respond to parts A, B, and C.

Costco charges \$65 for a membership in the US but charges different membership fees in different countries (£33.60 in the UK, ¥299 in China).

(A) Identify whether Costco charges the same or different prices for the same membership in different countries.

(B) Explain why Costco's membership fees differ by country.

(C) Evaluate whether this practice is fair to consumers. Support your evaluation with reasoning.

Keep this handout for reference during class discussion.

2.6 Stanley — Case Handout

Topic 2.6 Place and Channels · Read before class. Be ready to discuss.

Background

Stanley (officially Stanley 1913) is an American brand that has manufactured insulated drinkware and food storage products since **1913**, when inventor **William Stanley Jr.** patented the first all-steel vacuum bottle. For over a century, Stanley was known for its rugged, durable thermoses used by construction workers, military personnel, and outdoor enthusiasts.

By 2019, Stanley's annual revenue was approximately **\$70 million**. The brand had a loyal but narrow customer base: men who valued durability over style. Then, in the span of just four years, Stanley grew from \$70 million to approximately **\$750 million** in annual revenue by 2023.

The catalyst was not a new product. It was a **new channel strategy** — selling the same type of product through different places, to a completely different customer.

Key Events

Year	Event
1913	William Stanley Jr. patents the first all-steel vacuum bottle; Stanley brand founded
1913-2015	Stanley builds a reputation as a rugged, utilitarian brand for construction workers, military, and outdoorsmen
~2016	Stanley launches the Quencher tumbler — a large, cup-holder-friendly insulated tumbler. It does not sell well in hardware stores
2019	The Buy Guide (Ashlee LeSueur, Taylor Colange, Linley Hutchinson) — a lifestyle blog run by three women — discovers the Quencher
2019	The Buy Guide purchases 5,000 Quenchers and resells them on their blog; sells out in hours
2019	The Buy Guide writes to Stanley urging them to keep making the Quencher; Stanley had been planning to discontinue it due to poor sales through existing channels
2020	Stanley hires Terence Reilly as president; Reilly previously transformed Crocs from a niche shoe into a fashion brand
2020-2021	Reilly identifies the Quencher's untapped potential among women; begins channel transformation
2021	Stanley launches colorful Quencher editions; begins selling through Target — a retailer whose core shoppers match the new target customer
2021	Stanley builds its DTC (direct-to-consumer) website (stanley1913.com) for exclusive drops and full brand control
2022	Stanley uses influencer marketing on TikTok and Instagram; Quencher becomes a social media phenomenon
2023	Revenue reaches approximately \$750 million — a 10x increase from 2019
Nov 2023	A woman's car catches fire; her Stanley Quencher survives with ice still inside. She posts a TikTok video that goes viral. Stanley's president responds personally and offers to buy her a new car
Dec 2023	Starbucks x Stanley limited-edition red Quencher launched exclusively at Target; sells out in minutes; resale prices reach \$300+
2024	Stanley faces market saturation — too many colors, too many drops, resale market frustration, criticism of artificial scarcity

Year	Event
2024	Stanley launches in international markets including China

Target Partnership — Key Facts

- Target's core shoppers are women aged 18-40 — exactly the Quencher's new target customer
- Target is known for trendy, design-forward, affordable products — aligns with Quencher's appeal
- Target's in-store displays and marketing aligned with Stanley's new brand image
- Hardware stores (traditional Stanley channel) cater to a male, construction-oriented demographic

Questions

1. Respond to parts A, B, and C.

Before 2019, Stanley sold Quenchers through hardware stores like Home Depot. After 2020, Stanley sold through Target and its own website (stanley1913.com).

(A) Classify each channel — hardware stores, Target, and stanley1913.com — as either a direct or indirect channel.

(B) Explain how selling through stanley1913.com gives Stanley more control over the customer experience than selling through Target.

(C) Explain why Stanley does not sell exclusively through its own website.

2. Respond to parts A, B, and C.

Stanley's Quencher did not sell well in hardware stores. Target's core shoppers are women aged 18-40 — exactly the Quencher's new target customer.

(A) Identify the target customer for the Quencher tumbler.

(B) Explain why hardware stores were a poor channel match for the Quencher.

(C) Identify two specific factors that made Target a better channel for the Quencher than hardware stores.

3. Respond to parts A, B, and C.

The Buy Guide — a lifestyle blog run by three women — purchased 5,000 Quenchers from Stanley and resold them on their blog. They sold out in hours. The Buy Guide then wrote to Stanley urging them to keep making the Quencher, which Stanley had been planning to discontinue.

- (A) Identify what role The Buy Guide played in the Quencher's success.
 - (B) Explain what The Buy Guide's success selling 5,000 Quenchers revealed about customer demand that Stanley had not recognized.
 - (C) Explain what this story reveals about how businesses can identify new channel opportunities.
-

4. Respond to parts A, B, and C.

By 2024, Stanley faced criticism for too many limited-edition drops, reseller markups, and artificial scarcity.

- (A) Identify two problems that resulted from Stanley's channel strategy by 2024.
 - (B) Explain how a channel strategy that initially drove growth can become a problem when taken too far.
 - (C) Recommend one specific action Stanley could take to address these problems without losing the excitement around its brand.
-

5. Respond to parts A, B, and C.

In November 2023, a woman's car caught fire and her Stanley Quencher survived with ice still inside. She posted a TikTok video that went viral. Stanley's president responded personally and offered to buy her a new car.

- (A) Identify what made this event significant for Stanley's brand.
 - (B) Explain why Stanley's president personally responding to the video was a strategic decision, not just a kind gesture.
 - (C) Predict what would have happened to Stanley's brand if the president had ignored the video and made no public response.
-

Keep this handout for reference during class discussion.

2.6 To Summer (观夏) — Case Handout

Topic 2.6 Place and Channels · Read before class. Be ready to discuss.

Background

To Summer (观夏) is a Chinese niche fragrance brand founded in 2019 in Beijing by **Elvis Liu** (刘慧璞). The brand specializes in Chinese cultural fragrances — incense, candles, perfumes, and home scent products — all inspired by traditional Chinese aesthetics and natural ingredients.

The brand's Chinese name "观夏" means "observing summer," evoking a sense of contemplation and seasonal beauty. Its English name "To Summer" carries the same poetic feeling. The brand positions itself around "东方人文香" (**Eastern humanistic fragrance**) — fragrances that tell stories about Chinese landscapes, seasons, poetry, and cultural memory.

From its founding, To Summer took a specific approach to distribution: it **refused to sell on any third-party platform** (no Tmall, no JD.com, no Douyin Shop) and limited sales to its own **WeChat mini-program** (with scheduled drops) and a small number of **boutique experience stores**. This channel restriction became the brand's defining characteristic.

As of 2024, To Summer operates fewer than 10 physical stores across China, yet commands some of the highest prices in the Chinese fragrance market and has a devoted following among young, educated Chinese consumers.

Key Events

Year	Event
2019	Elvis Liu founds To Summer in Beijing; launches with a small collection of home fragrance products
2019	Opens first boutique in Beijing's Guozijian (国子监) hutong — a restored traditional courtyard that blends fragrance retail with cultural experience
2019	Launches WeChat mini-program as the ONLY online sales channel — products available only during scheduled weekly "drops"
2020	Refuses offers from Tmall, JD.com, and Douyin to join their platforms — maintains direct-channel-only strategy
2020	Opens Shanghai Hunan Road (湖南路) boutique — a restored old Shanghai lane house with art installations and a fragrance library
2021	Products regularly sell out within minutes during WeChat drops; customers share screenshots on Xiaohongshu
2021	Launches signature fragrance collection inspired by Chinese landscapes: "昆仑煮雪" (Kunlun Snow), "颐和金桂" (Summer Palace Osmanthus)
2022	Opens Chengdu Citang Street (祠堂街) boutique — restored historical building; becomes a cultural landmark
2022	Media coverage of To Summer's stores as cultural spaces — generates PR without paid advertising
2023	Expands to additional cities including Shenzhen, Hangzhou, Nanjing — each store uniquely designed to reflect local culture
2024	Continues to operate fewer than 10 stores — deliberately slow expansion to maintain exclusivity
2024	Maintains zero presence on any third-party e-commerce platform; WeChat mini-program remains the only online channel

Questions

1. Respond to parts A, B, and C.

To Summer sells only through its WeChat mini-program and its own boutique stores. It refuses to sell on Tmall, JD.com, or any third-party platform.

- (A) Classify the WeChat mini-program and boutique stores as either direct or indirect channels.
 - (B) Explain what To Summer gains by refusing to sell on third-party platforms like Tmall.
 - (C) Explain what To Summer sacrifices by refusing to sell on third-party platforms.
-

2. Respond to parts A, B, and C.

To Summer's WeChat mini-program only sells products during scheduled "drops" — most products sell out in minutes. Customers share screenshots on Xiaohongshu.

- (A) Describe how To Summer's WeChat mini-program differs from a normal e-commerce store.
 - (B) Explain why scheduled drops that sell out in minutes serve To Summer's business strategy.
 - (C) Predict what would happen to To Summer's brand if it switched to always-available inventory on its mini-program.
-

3. Respond to parts A, B, and C.

To Summer's boutique stores are restored historical buildings — a Beijing hutong courtyard, a Shanghai lane house, a Chengdu historical building — each uniquely designed to reflect local culture. Media covers the stores as "cultural spaces."

- (A) Describe what makes To Summer's physical stores different from a typical retail store.
 - (B) Explain how investing in store design and location helps To Summer build its brand without paid advertising.
 - (C) Evaluate whether To Summer should prioritize opening more stores or launching on Tmall as its next growth step. Support your evaluation with evidence from the case.
-

4. Respond to parts A, B, and C.

To Summer operates fewer than 10 stores and deliberately expands slowly. Products sell out during scheduled drops. Some products are released only as seasonal or limited editions.

- (A) Identify two ways To Summer creates a sense of scarcity for its products.
 - (B) Explain how scarcity affects consumers' perception of To Summer's products and prices.
 - (C) Explain the risk of expanding too quickly — opening many stores or making products always available — for a brand built on exclusivity.
-

5. Respond to parts A, B, and C.

To Summer and Stanley both use direct-to-consumer channels (their own websites) alongside physical retail. But their strategies are very different — To Summer restricts distribution while Stanley expanded from hardware stores to Target.

- (A) Describe one similarity between To Summer's and Stanley's channel strategies.
 - (B) Describe one key difference between their approaches.
 - (C) Explain why two opposite channel strategies — restricting distribution versus expanding distribution — can both be successful. Use evidence from both cases.
-

Keep this handout for reference during class discussion.

2.7 Florasis (花西子) — Case Handout

Topic 2.7 Promotion and Marketing Communications · Read before class. Be ready to discuss.

Background

Florasis (花西子) is a Chinese cosmetics brand founded in 2017 by **Hua Mantian** (花满天, real name Wu Chenglong 吴成龙), a former marketing executive at the cosmetics company 百雀羚. The brand name "花西子" combines "花" (flower) and "西子" (a classical nickname for the legendary beauty Xi Shi from ancient China).

Florasis positioned itself around "**东方美学**" (**Eastern aesthetics**) — blending traditional Chinese art, culture, and heritage with modern cosmetics. Every product is designed with Chinese cultural motifs: carved lipsticks inspired by traditional relief art, powder compacts with lotus and phoenix designs, and packaging featuring embroidery patterns.

From 2017 to 2020, Florasis grew from zero to approximately **30 billion RMB (~\$4.2 billion)** in annual transaction volume, becoming one of China's top cosmetics brands.

Key Events

Year	Event
2017	Hua Mantian founds Florasis in Hangzhou, China; launches with "Eastern aesthetics" positioning
2017	First products feature traditional Chinese design motifs — carved lipsticks, floral compacts
2018	Partners with Li Jiaqi (李佳琦) for livestream selling on Taobao Live — Li Jiaqi's demos of Florasis lipsticks drive sales
2019	Florasis becomes one of the top-selling cosmetics brands on Tmall during Double 11 (Singles' Day)
2019	Launches the " Miao Impression " (苗族印象) collection — products inspired by Miao ethnic minority silver craftsmanship; generates PR coverage
2020	Enters the Japanese market — products sold on Amazon Japan with "Chinese beauty" positioning; Japanese media covers the brand
2020	Transaction volume reaches approximately 30 billion RMB (~\$4.2B)
2021	Partners with Dunhuang Research Academy for a limited-edition collection inspired by Dunhuang cave murals
2021	Expands to Southeast Asia (Thailand, Malaysia, Philippines) through Shopee and Lazada
2022	Enters the US market through Amazon and its own DTC website
2022	Runs billboard ads in Times Square, New York
2023	79-yuan eyebrow pencil controversy : Li Jiaqi responds to a viewer questioning the price by saying "Have you worked hard enough? Have your wages gone up?" — social media backlash damages both Li Jiaqi's and Florasis's reputation
2023	Florasis issues a PR statement addressing the controversy; begins to diversify away from over-reliance on Li Jiaqi
2024	Continues international expansion; launches in Europe ; builds out KOC (Key Opinion Consumer) strategy to reduce KOL dependency

Florasis Marketing — Key Facts

Direct Marketing Examples

Channel	Detail
WeChat mini-program	Personalized product recommendations based on purchase history
Customer messages via WeChat	Birthday offers, loyalty rewards, new product alerts
Email campaigns	Targeted at international customers

Platform Strategy

Platform	What It Enables
Xiaohongshu (小红书)	Product discovery, KOC (Key Opinion Consumer) reviews
Douyin (抖音)	Short video content, livestream selling
WeChat	Customer retention, personalized DTC (direct-to-consumer)
Taobao/Tmall	Transaction data, customer demographics

Sales Promotion

Florasis runs limited-time discount bundles during major shopping festivals (e.g., Singles' Day/Double 11, 618), offers free sample gifts with purchase, and releases seasonal gift sets at promotional prices.

Questions

1. Respond to parts A, B, and C.

Florasis uses multiple promotional approaches across different channels to reach customers.

(A) Based on the case, identify five distinct promotional approaches Florasis uses, and give one specific example of each.

(B) Explain what Li Jiaqi's livestream selling achieves that traditional television advertising cannot.

(C) Explain what the Times Square billboard ads achieve that social media marketing cannot.

2. Respond to parts A, B, and C.

Li Jiaqi's livestreams reach millions of viewers simultaneously. He personally demonstrates Florasis products, answers questions, and encourages viewers to buy in real time.

(A) Describe what happens during a Li Jiaqi livestream selling session.

(B) Explain whether Li Jiaqi's livestream approach is more similar to one-on-one sales, mass media advertising, or a combination of both. Justify your answer.

(C) Evaluate the advantages and risks of relying heavily on one person (Li Jiaqi) for a major portion of sales.

3. Respond to parts A, B, and C.

A customer watches Li Jiaqi's livestream and buys a Florasis lipstick for the first time. The same customer later reorders the same lipstick through the WeChat mini-program.

(A) Describe how the customer's first purchase (through the livestream) differs from the repeat purchase (through the mini-program).

(B) Explain which promotional tools are most important for the first purchase versus the repeat purchase.

(C) Explain how Florasis can use data from the first purchase to encourage the second purchase through the mini-program.

4. Respond to parts A, B, and C.

Florasis uses Xiaohongshu, Douyin, WeChat, and Taobao/Tmall. Each platform provides different data about customers.

(A) Identify one type of customer data that Florasis can learn from each platform.

(B) Explain what Florasis can learn from these platforms that a traditional cosmetics brand using only TV ads and magazine ads could never learn.

(C) Explain how Florasis could combine data from multiple platforms to improve its marketing decisions.

5. Respond to parts A, B, and C.

After the 79-yuan eyebrow pencil controversy, Florasis began reducing its dependence on Li Jiaqi and building out a KOC (Key Opinion Consumer) strategy.

(A) Identify what happened during the 79-yuan controversy and how it affected both Li Jiaqi and Florasis.

(B) Explain why relying heavily on a single spokesperson creates risk for a brand.

(C) Recommend two specific steps Florasis should take to diversify its promotional mix and reduce the risk of a single spokesperson damaging the brand. Support your recommendations with evidence from the case.

Keep this handout for reference during class discussion.

2.7 Bilibili & YouTube — Case Handout

Topic 2.7 Promotion and Marketing Communications · Read before class. Be ready to discuss.

Background

Bilibili (B站) is a Chinese video-sharing platform founded in 2009, originally focused on anime, comics, and games (ACG) content. By 2025, Bilibili had grown to **366 million monthly active users (MAU)** and **113 million daily active users (DAU)**, with an average user age of **26 years old** — one of the youngest large-platform audiences in China. Users spend an average of **99 minutes per day** on the platform. Unlike most video platforms, Bilibili's culture centers on **danmu (弹幕)**, a real-time bullet-comment system where viewer comments scroll across the video screen, creating a shared viewing experience.

Bilibili's advertising model is fundamentally **creator-driven**. Instead of serving ads before or during videos (as most platforms do), Bilibili connects brands with **UP主 (Uploaders)** — the platform's content creators — who integrate products into their original videos. The official brand-creator marketplace is called **Huahuo (花火)**. Bilibili does not insert pre-roll or mid-roll ads into creator videos; nearly all advertising revenue comes from brand-creator collaborations. In 2025, Bilibili generated **RMB 10.06 billion (~\$1.44 billion) in advertising revenue**, a 23% increase year over year. Approximately **3 million creators** earned income on the platform, with average creator income growing **21% year over year**.

YouTube is a global video-sharing platform owned by Google/Alphabet, with over **2.7 billion monthly logged-in users** across all age groups and regions. YouTube's primary advertising model is **platform-served ads**: the platform automatically inserts video ads before (pre-roll), during (mid-roll), or after (post-roll) creator content. Advertisers bid through **Google Ads** in a real-time auction system. When a viewer loads a video, the auction runs in milliseconds, and the winning ad is served. YouTube shares **55% of Watch Page ad revenue** with creators (45% for Shorts), paying through AdSense. YouTube's parent company Alphabet generated over **\$350 billion in total ad revenue** in 2025.

How Each Advertising Model Works

Bilibili: Creator-Embedded Model (UP主带货)

Feature	Detail
Official marketplace	Huahuo (花火) : brands browse UP主 profiles, negotiate collaborations, and pay directly. Bilibili charges only a 5% platform commission .
Open marketplace	Xuanshang (悬赏) : brands upload products; UP主 voluntarily choose which to promote. UP主 earn CPS (Cost Per Sale) commissions of 20-50% . Requires 10,000+ followers.
Ad formats	Interstitial : UP主 briefly mentions or demonstrates the product within their regular content. Brand creative collaboration : UP主 creates a fully customized original video around the brand.
Cost formula	~10% of follower count in RMB . A UP主 with 100,000 followers charges approximately RMB 10,000 (~\$1,500 USD) per video.
Budget allocation	Recommended: 70% to creators , 30% to Qifei (paid amplification to boost reach).
Content lifespan	Videos remain on the platform indefinitely; conversion half-life is up to 1 month — videos keep generating sales weeks after posting.

YouTube: Platform-Served Model (贴片广告)

Feature	Detail
Skippable ads (TrueView)	Viewer can skip after 5 seconds . Advertiser pays only when viewer watches 30+ seconds or interacts. CPV: \$0.10-\$0.30 .
Non-skippable ads	Viewer must watch the entire ad (7-15 seconds). Billed on CPM (cost per 1,000 impressions): \$5-\$30+ .
Bumper ads	6 seconds or less , non-skippable. CPM: \$5-\$20 .
Auction system	Advertisers bid through Google Ads. Winning bid = bid amount + ad quality/relevance score. The winner never pays more than their submitted bid.
Revenue share	Creators receive 55% of net ad revenue on Watch Page ads; YouTube keeps 45% . For Shorts, creators receive 45%.
Content lifespan	Ads are one-time impressions — they do not create a lasting content asset for the brand.

Key Metrics Comparison

Metric	Bilibili UP主	YouTube Pre-Roll
CPM / cost	~10% of follower count per video (mid-tier: \$1,500-\$5,000)	CPM \$3-\$30+; CPV \$0.10-\$0.30
Conversion rate	4.1% (Bilibili links to JD.com — 2× the Douyin rate)	1.5-3.0% benchmark
Viewer skip rate	N/A — no forced ads; viewers chose the video	75-85% of viewers skip skippable ads within 5 seconds
Watch completion	62% average (for engaged viewers who chose to watch)	40-60% for 30-second skippable ads
Trust mechanism	Parasocial relationship: fans trust UP主 recommendations	No trust mechanism; ad is from an unknown brand
Branded search lift	340% increase in Baidu searches after UP主 video (case study)	5-20% brand lift (industry benchmark)
Content longevity	Videos stay searchable and watchable for months; ongoing passive conversion	One-time impression; no lasting content asset
Platform commission	Huahuo: 5%	YouTube: 45% of ad revenue

Real Campaign Results

In 2024, an ergonomic chair brand ran a campaign on Bilibili using **3 mid-tier UP主** (80,000–220,000 followers in the tech/gaming category). Each UP主 created a **15-minute product review video** integrating the chair into their regular content.

Metric	Result
Combined views	180,000
Average watch completion	62%
Branded search lift on Baidu	340%
Conversion rate (Bilibili link → JD.com purchase)	4.1% (2× the typical Douyin traffic conversion rate)

By comparison, a YouTube pre-roll campaign for a similar product category would typically achieve a **1.5–3.0% conversion rate** at a CPA (cost per acquisition) of **\$20–\$100**, with most viewers skipping the ad before the message is delivered.

Questions

1. Respond to parts A, B, and C.

Bilibili and YouTube use fundamentally different approaches to deliver advertising to viewers.

- (A) Describe how the Bilibili UP主 model works and how the YouTube pre-roll model works.
- (B) Identify one key difference in how advertisers pay on each platform.
- (C) Explain which model gives the advertiser more control over how the product is presented to the viewer.

2. Respond to parts A, B, and C.

A viewer sees a Bilibili UP主 review an ergonomic chair for 15 minutes, demonstrating the product on camera and answering questions in the danmu comments. The same viewer later watches a 15-second YouTube pre-roll ad for the same chair before a music video.

- (A) Explain why the viewer may trust the UP主 recommendation more than the YouTube pre-roll ad.
- (B) Identify one risk of relying on UP主 trust for product promotion.
- (C) Explain what the YouTube pre-roll ad achieves that the UP主 video cannot.

3. Respond to parts A, B, and C.

A skincare brand has a \$10,000 advertising budget and must choose between Bilibili UP主 marketing and YouTube pre-roll ads.

(A) Using the cost data from the case, describe what the brand could purchase on each platform with this budget.

(B) Compare the conversion rates and viewer engagement rates of the two models. Explain which model is likely to generate more direct sales for the same budget.

(C) Explain why the model with the lower direct conversion rate might still be valuable for the brand.

4. Respond to parts A, B, and C.

A Bilibili UP主 posts a product review video that remains on the platform for six months, continuing to receive views and generate sales. A YouTube pre-roll ad plays once per viewer and creates no lasting content.

(A) Explain what "conversion half-life of up to 1 month" means for the Bilibili UP主 video.

(B) Evaluate the long-term marketing value of the UP主 video compared to the YouTube pre-roll ad.

(C) Recommend which format is better suited for a product that requires research before purchase (such as a laptop or a skincare routine). Support your answer with evidence from the case.

5. Respond to parts A, B, and C.

A Chinese skincare brand wants to expand internationally. It currently sells only in China through Bilibili UP主 marketing and domestic e-commerce platforms (Tmall, JD.com). The brand is considering whether to also use YouTube pre-roll ads to reach customers in the United States and Europe.

(A) Identify two specific advantages of using YouTube pre-roll ads to reach international customers that Bilibili UP主 marketing cannot provide.

(B) Identify two specific risks of entering the YouTube advertising market for a brand that has only used Bilibili UP主 marketing before.

(C) Recommend whether the brand should use only Bilibili, only YouTube, or both platforms. Support your recommendation using two specific criteria from the case.

Keep this handout for reference during class discussion.

3.4 DK Coffee Lab — Business Expenses

Topic 3.4 Business Expenses · Read before class. Be ready to discuss.

Background

DK Coffee Lab is a specialty coffee roaster and cafe founded in 2022 in Portland, Oregon, by **Daniel Kim**, a former software engineer. The company operates two business lines: **retail cafes** (selling brewed drinks and pastries directly to consumers) and a **wholesale roasting operation** (selling freshly roasted beans to local restaurants, offices, and grocery stores). As of 2025, DK Coffee Lab operates **three cafe locations** in Portland and a dedicated **roasting facility** that supplies beans to over 40 wholesale accounts.

Daniel started DK Coffee Lab with **\$120,000** in personal savings and a small loan from a family member. He did not take outside investment. The first cafe opened in a 900-square-foot storefront in Portland's Alberta Arts District after five months of planning, legal setup, and build-out.

DK Coffee Lab's competitive advantage is **direct-trade sourcing**: Daniel travels to coffee farms in Colombia, Ethiopia, and Guatemala twice a year to personally select beans, negotiating directly with farmers rather than going through commodity brokers. This sourcing model produces higher-quality coffee but creates **higher and more variable direct costs** than competitors who buy commodity-grade beans on the open market.

As of 2025, DK Coffee Lab generates approximately **\$1.8 million in annual revenue** across its three cafes and wholesale accounts. The company employs **28 people**. The business is **profitable but thin-margin**: net income is approximately 6–8% of revenue, which is typical for the specialty coffee industry.

Key Events

Year	Event
Jan 2022	Daniel Kim leaves his software engineering job; begins writing a business plan for a specialty coffee roaster and cafe
Mar 2022	Registers DK Coffee Lab as an LLC; hires a business attorney (\$3,500 in legal fees); obtains a food service license and a commercial roasting permit (\$1,200 in licensing fees)
Apr 2022	Signs a 3-year lease on a 900 sq ft storefront in the Alberta Arts District; pays first and last month's rent plus a \$4,000 security deposit (\$11,400 total upfront)
May-Sep 2022	Build-out of the cafe: plumbing, electrical, interior construction, furniture, signage, POS system, and a commercial espresso machine (\$45,000); purchases a 15 kg coffee roaster for a future roasting operation (\$28,000)
Jun 2022	First sourcing trip to Colombia — selects three single-origin lots; commits to purchasing 2,400 lbs of green coffee beans at \$4.50/lb (\$10,800 — initial inventory)
Oct 2022	Cafe #1 opens — first month revenue is \$18,000; operating costs exceed revenue; Daniel does not pay himself a salary
2023	Cafe #1 stabilizes at ~\$32,000/month in revenue; launches wholesale roasting, selling beans to 12 local restaurants and offices; hires 8 employees
Jun 2023	Purchases a commercial delivery van (\$35,000) for wholesale deliveries; adds commercial auto insurance and product liability insurance (\$6,800/year combined)
Jan 2024	Opens Cafe #2 using retained earnings from Cafe #1 — total build-out cost: \$62,000 (higher due to larger space and kitchen equipment for pastries)
Sep 2024	Opens Cafe #3 and moves roasting operations to a separate 2,000 sq ft roasting facility — facility lease: \$3,800/month; build-out: \$22,000
2025	Annual revenue reaches \$1.8 million; wholesale accounts grow to 40+; employs 28 people; begins planning an e-commerce website for direct-to-consumer online sales

Financial Data

Startup Cost Breakdown

Item	Cost
Espresso machines (2)	\$7,000
Grinders (2)	\$2,400
Brewing equipment	\$1,400
POS system	\$3,500
Lease deposit	\$11,100
Renovation	\$17,000
Initial inventory	\$14,000
Smallwares	\$5,200
Furniture	\$4,200
Signage	\$3,100
Launch marketing	\$4,200
Professional fees	\$2,500
Working capital	\$12,000
Insurance (first year)	\$17,400
Contingency (10%)	\$10,470
Total Startup Cost	~\$115,700

Funding Sources:

Source	Amount	Terms
Personal savings	\$100,000	Daniel's own capital
Uncle loan	\$20,000	Repaid over 18 months, no interest

Fixed vs. Variable Monthly Costs (Per Cafe)

Fixed Costs: \$9,570/month per cafe

Fixed Cost Item	Monthly Amount
Rent	\$3,700
Insurance	\$1,450
Loan payment	\$1,200
Software	\$520
Base salaries	\$2,700
Total Fixed	\$9,570

Variable Costs: ~\$8,000/month (coffee beans, milk, cups, supplies, hourly wages — fluctuates with sales volume)

Roasting Facility

Item	Amount
Roasting facility rent	\$45,600/year

Insurance Breakdown

Insurance Type	Annual Cost
General liability	\$4,800
Property insurance	\$3,600
Workers' compensation	\$4,200
Business interruption	\$2,400
Product liability	\$2,400
Total Insurance	\$17,400/year

Monthly Operating Expenses (Company-Wide)

Expense Category	Monthly Amount
Rent	\$14,900
Manager salaries	\$18,000
Barista wages	\$8,400
Coffee beans	\$4,200
Milk & supplies	\$3,100
Insurance	\$1,450
Utilities	\$2,800
Marketing	\$1,500
Software/tech	\$520
Loan payment	\$1,200
Maintenance	\$800
Miscellaneous	\$380
Total Monthly Operating Expenses	\$51,250
Total Annual Operating Expenses	\$615,000

Assume a combined federal and state income tax rate of 20% on net profit, and a payroll tax rate of 7.65% on employee wages (employer's share of FICA).

Questions

1. Respond to parts A, B, and C.

Daniel spent \$115,700 to launch DK Coffee Lab.

(A) Identify which two items from the startup cost breakdown represent the largest single expenditures.

(B) Describe the difference between costs incurred once at launch and costs that recur during ongoing operations.

(C) Explain why distinguishing between these two types of costs matters when Daniel prepares a budget for the first year of operations.

2. Respond to parts A, B, and C.

Daniel funded his \$115,700 startup with \$100,000 in personal savings and a \$20,000 family loan. Cafe #1's first three months generate \$15,000/month in revenue while fixed costs are \$9,570/month and variable costs are approximately \$8,000/month.

(A) Calculate Daniel's total monthly costs during the first three months and compare them to monthly revenue.

(B) Explain what happens to Daniel's cash position over the first three months based on your calculation in part A.

(C) Recommend one action Daniel should take to address the cash shortfall identified in part B.

3. Respond to parts A, B, and C.

DK Coffee Lab's wholesale roasting operation buys green coffee beans, roasts them, and sells packaged bags to restaurants and grocery stores.

(A) Classify each of the following as directly tied to producing the roasted coffee or not: (i) green coffee beans, (ii) the roaster operator's salary, (iii) the accounting software subscription, (iv) the roasting facility rent.

(B) Explain why the roasting facility rent would be classified as directly tied to production rather than as a general business expense.

(C) Describe how this classification affects Daniel's ability to calculate the true cost of producing each bag of roasted coffee.

4. Respond to parts A, B, and C.

During a slow month, DK Coffee Lab's Cafe #1 serves 300 drinks/day instead of the usual 500.

(A) Identify which of the following costs decrease when drink volume drops: rent, green coffee beans, hourly barista wages, insurance, cups and lids.

(B) Explain why some costs stay the same regardless of how many drinks are sold.

(C) Predict what happens to Cafe #1's profitability during a slow month if fixed costs are \$9,570/month and the average drink price is \$5.75.

5. Respond to parts A, B, and C.

DK Coffee Lab operates two business lines: the **roasting operation** (selling packaged beans — a physical product) and the **cafes** (serving drinks — a service).

(A) Describe the key difference between selling a physical product and providing a service in terms of what the customer receives.

(B) Explain why the direct costs of the roasting operation and the direct costs of the cafes might be tracked under different labels, even though both are costs of producing what DK Coffee Lab sells.

(C) Identify one cost from DK Coffee Lab's operating expenses table that is shared by both business lines and explain how Daniel would allocate it between them.

Keep this handout for reference throughout Unit 3.

3.5 DK Coffee Lab — Financial Capital

Topic 3.5 Financial Capital · Read before class. Be ready to discuss.

Background

This case continues the story of **DK Coffee Lab**, the specialty coffee roaster and cafe founded in 2022 by **Daniel Kim** in Portland, Oregon. (See the 3.4 handout for the full startup history and cost structure.)

By early 2025, DK Coffee Lab operates **three cafe locations** and a **dedicated roasting facility**, employs 28 people, and generates approximately **\$1.8 million in annual revenue**. The business is profitable — net income is roughly 6–8% of revenue (~\$108,000–\$144,000/year). Daniel has repaid the \$20,000 family loan from the original startup and has accumulated approximately **\$95,000 in retained earnings** (profits saved inside the business over three years).

Daniel sees three growth opportunities:

1. **Cafe #4** — a larger location in Portland's Pearl District with a kitchen for food service. Estimated build-out cost: **\$85,000**.
2. **E-commerce platform** — a direct-to-consumer website selling roasted beans online, with national shipping. Estimated development and first-year operations cost: **\$60,000**.
3. **Roasting capacity expansion** — upgrading the roasting facility with a larger roaster (60 kg) to serve a growing wholesale base. Estimated cost: **\$75,000**.

The total investment needed is approximately **\$220,000**. Daniel has \$95,000 in retained earnings and \$30,000 in personal savings — a combined **\$125,000**. He is **\$95,000 short**.

Key Events

Year	Event
2022	Daniel bootstraps DK Coffee Lab with \$100,000 in personal savings + \$20,000 family loan (see 3.4 handout)
2022–2024	Business grows from 1 cafe to 3 cafes + roasting facility; all growth funded by retained earnings. Annual revenue grows from \$48,000 (2022) to \$95,000 (2023) to \$180,000 (2024); wholesale accounts increase from 0 to 22; monthly operating costs covered consistently since Q3 2024
Early 2025	Daniel identifies three expansion opportunities totaling \$220,000; has \$125,000 available — needs \$95,000 more
Mar 2025	Meets with a Small Business Administration (SBA) loan officer at a local bank to discuss a \$100,000 business loan
Apr 2025	A former tech colleague, Sarah Park , offers to invest \$100,000 in exchange for 15% equity in DK Coffee Lab
May 2025	Daniel's college friend, Michael Torres , offers to lend \$50,000 at 8% interest (below the bank's 10.5% rate)
Jun 2025	Daniel must choose: accept the bank loan (debt), accept Sarah's offer (equity), accept Michael's offer (informal loan), or combine sources
Jul 2025	Daniel converts DK Coffee Lab from an LLC to a C-corporation in preparation for future growth and potential equity investors
Aug 2025	After developing a detailed business plan and financial projections, Daniel presents his pitch to all three potential funders
Sep 2025	Daniel secures funding and begins executing the expansion plan

Funding and Financial Data

Bootstrapping Sources (2022–2024)

Bootstrapping Source	Amount	Details
Personal savings	\$100,000	Daniel's entire software engineering savings
Uncle loan	\$20,000	Repaid within 18 months; no interest charged
Retained earnings	~\$95,000	All net income from 2023–2024 reinvested into the business

Cafe #4 Cost and Volume Data

Metric	Value
Monthly fixed costs	\$14,200
Variable cost per drink	\$2.15
Average price per drink	\$5.75
Revenue minus variable cost per drink	\$3.60
Monthly volume needed to cover all costs	~3,945 drinks/month (~132/day)
Capacity	500 drinks/day (15,000/month)
Volume needed as % of capacity	~26%

Wholesale Revenue

Metric	Value
Monthly wholesale revenue	\$45,000
Monthly wholesale costs	\$18,000
Payment terms	Net-30 (clients pay 30 days after delivery)

SBA Loan — Portland Community Bank

Detail	Value
Lender	Portland Community Bank (SBA 7(a) program)
Amount	\$100,000
Interest rate	10.5% annual
Term	5 years (60 monthly payments)
Monthly payment	~\$2,150
Total interest paid	~\$29,000
Eligibility requirements	3+ years of operation; proven revenue; 3 years of financial statements

Angel Investor Offer — Sarah Park

Detail	Value
Investor	Sarah Park (former tech colleague)
Investment	\$100,000
Equity offered	15% of DK Coffee Lab
Implied valuation	\$667,000

Friends-and-Family Loan — Michael Torres

Detail	Value
Lender	Michael Torres (college friend)
Amount	\$50,000
Interest rate	8% annual
Term	3 years
Monthly payment	~\$1,566
Total interest paid	~\$6,400

Daniel Kim's Credit Profile

Detail	Value
Credit score	780
Equipment collateral value	~\$60,000

Team Qualifications

Team Member	Role	Background
Daniel Kim	Founder/CEO	8 years as software engineer at Google
Maria Santos	Head Roaster	12 years in specialty coffee; former roastmaster at Stumptown Coffee Roasters
James Liu	Operations Manager	MBA from Portland State University; 5 years in restaurant management

Product-Market Fit Evidence

Metric	Value
Customer return rate	90%
Wholesale accounts	40+
Year-over-year revenue growth	25%
Price premium over competitors	15% (direct-trade sourcing)

Market Data

Market	Size
Portland specialty coffee market	\$180 million/year
National e-commerce coffee market	\$5 billion/year

Comparable Transactions

Transaction	Valuation Multiple
Seattle specialty roaster (sale)	1.2x annual revenue

Questions

1. Respond to parts A, B, and C.

Daniel bootstrapped DK Coffee Lab from \$0 to \$1.8M in revenue over three years without outside funding.

(A) Identify the specific financial constraint that prevents Daniel from funding the \$220,000 expansion from internal resources alone.

(B) Explain why the growth strategies available to Daniel in 2025 differ from the growth strategies he used in 2022–2024.

(C) Calculate how much additional capital Daniel needs beyond his available funds, and identify at least two external sources he could approach.

2. Respond to parts A, B, and C.

Cafe #4 has monthly fixed costs of \$14,200, an average variable cost of \$2.15 per drink, and an average drink price of \$5.75. The cafe has a capacity of 500 drinks/day.

(A) Calculate how many drinks Cafe #4 must sell per month to cover all of its costs. Show your work.

(B) Calculate what percentage of the cafe's capacity this volume represents.

(C) Explain what your answer in part B tells Daniel about the risk level of opening Cafe #4.

3. Respond to parts A, B, and C.

DK Coffee Lab's wholesale clients pay on Net-30 terms, but Daniel must buy beans and pay staff immediately. Wholesale revenue is \$45,000/month and wholesale costs are \$18,000/month.

- (A) Calculate how much cash is tied up in unpaid wholesale invoices at any given time.
- (B) Explain why this timing difference between receiving cash and paying expenses creates a need for external capital.
- (C) Describe one specific action Daniel could take to reduce the cash flow gap caused by Net-30 payment terms.
-

4. Respond to parts A, B, and C.

Daniel must choose between Sarah Park's \$100,000 equity investment (15% ownership) and the bank's \$100,000 loan (10.5% interest, 5-year term, ~\$2,150/month payment, ~\$29,000 total interest).

- (A) Calculate the total dollar cost of the bank loan over five years.
- (B) Under what business outcome would the loan cost Daniel less than giving up 15% equity? Under what outcome would the equity cost less?
- (C) Explain why Daniel might prefer the loan even though it requires monthly payments, while the equity investment does not.
-

5. Respond to parts A, B, and C.

Sarah Park expects a 15–30% annual return on her \$100,000 investment. Portland Community Bank expects a 10.5% annual return on its \$100,000 loan. Michael Torres expects 8%.

- (A) Identify which of the three funders bears the most risk and which bears the least.
- (B) Explain why the funder who bears the most risk expects the highest return.
- (C) If DK Coffee Lab's value grows from \$667,000 to \$2,000,000 over five years, calculate Sarah's capital gain on her \$100,000 investment for 15% ownership.
-

Keep this handout for reference throughout Unit 3. This case continues in 3.7 DK Coffee Lab, Part 3 (The Balance Sheet and Net Worth).

3.6 Hershey — The Income Statement

Topic 3.6 The Income Statement · Read before class. Be ready to discuss.

Background

The Hershey Company is one of the largest chocolate and confectionery manufacturers in the world, headquartered in Hershey, Pennsylvania. Founded in 1894 by **Milton S. Hershey**, the company produces brands including Hershey's Kisses, Reese's Peanut Butter Cups, Kit Kat (under license in the US), Twizzlers, and Ice Breakers. As of 2024, Hershey generates approximately **\$11.2 billion in annual revenue**, employs over **19,000 people**, and sells products in more than **80 countries**.

Hershey's business model: the company **manufactures and sells confectionery products** (chocolate, candy, mints, and snacks) through retail channels including grocery stores, convenience stores, vending machines, and e-commerce. Approximately **90% of revenue** comes from North America.

In 2024, Hershey faces a financial challenge: the global price of **cocoa beans** — the primary raw material for chocolate — surged to record highs. Cocoa prices reached over **\$10,000 per metric ton** in early 2024, more than **tripling** from \$3,000 in late 2022. This increase is driven by poor harvests in West Africa (which produces ~70% of the world's cocoa) caused by climate change, disease, and aging trees.

This cocoa price surge directly impacts Hershey's **Cost of Goods Sold (COGS)** and compresses the company's **profit margins**. Hershey's management must decide how to respond: absorb the cost increase (reducing profits), raise prices (risking lower sales volume), reformulate products (reducing cocoa content), or some combination.

Industry analysts project U.S. confectionery market growth of **2-3%** in 2025 (down from 5% in 2024) as consumers reduce discretionary spending. Hershey employs approximately **19,500 people** globally at an average total compensation (salary + benefits) of **\$85,000 per employee per year**.

Key Events

Year	Event
1894	Milton S. Hershey founds the Hershey Chocolate Company in Lancaster, Pennsylvania
1900	Introduces the Hershey's Milk Chocolate Bar — the first mass-produced chocolate in America
1907	Introduces Hershey's Kisses — now produces over 70 million Kisses per day
1928	H.B. Reese invents Reese's Peanut Butter Cups — later acquired by Hershey in 1963
1970	Hershey becomes a publicly traded company on the NYSE (ticker: HSY)
2018	Acquires SkinnyPop parent company Amplify Snack Brands for \$1.6 billion — diversifying beyond chocolate into healthier snacks
2021	Revenue exceeds \$8 billion for the first time; acquires Pirate's Booty and other snack brands
2022	Revenue reaches \$10.4 billion (+14% year-over-year) driven by price increases and strong demand; net profit reaches \$1.64 billion
2023	Cocoa prices begin rising sharply; Hershey implements additional price increases; revenue grows to \$11.2 billion but COGS rises faster, compressing margins; net profit falls to \$1.45 billion
Early 2024	Cocoa prices surge past \$10,000/metric ton (up from \$3,000 in late 2022); Hershey announces further price increases of 5–7% and product size reductions; analysts project margin pressure for 2024–2025
2024	Revenue slightly declines to \$11.16 billion as price increases reduce consumer demand; COGS reaches \$6.58 billion ; net profit falls to \$1.50 billion ; Hershey begins exploring cocoa alternatives and supply chain hedging strategies

Hershey Income Statement Summary (Fiscal Years 2022–2024)

All figures in billions of USD (rounded). Based on publicly available Hershey financial reports.

Income Statement Item	2022	2023	2024
Net Revenue	\$10.42	\$11.16	\$11.16
Less: Cost of Goods Sold (COGS)	(\$5.68)	(\$6.32)	(\$6.58)
= Gross Profit	\$4.74	\$4.84	\$4.58
Less: Operating Expenses			
Selling, general & administrative (SG&A)	(\$2.06)	(\$2.20)	(\$2.22)
Other operating items	(\$0.03)	(\$0.04)	(\$0.03)
= Total Operating Expenses	(\$2.09)	(\$2.24)	(\$2.25)
= Operating Profit	\$2.65	\$2.60	\$2.33
Less: Interest Expense	(\$0.16)	(\$0.19)	(\$0.21)
= Pretax Income	\$2.49	\$2.41	\$2.12
Less: Tax Expense	(\$0.57)	(\$0.58)	(\$0.52)
= Net Profit (Bottom Line)	\$1.92	\$1.83	\$1.60

Profit Margins (2022-2024)

Margin	2022	2023	2024	Trend
Gross Profit Margin (Gross Profit / Revenue)	45.5%	43.4%	41.0%	Declining
Operating Profit Margin (Operating Profit / Revenue)	25.4%	23.3%	20.9%	Declining
Net Profit Margin (Net Profit / Revenue)	18.4%	16.4%	14.3%	Declining

Year-over-Year Change	2022 to 2023	2023 to 2024
Revenue growth	+7.1%	+0.0%
COGS growth	+11.3%	+4.1%
Net profit change	-4.7%	-12.6%

Questions

1. Respond to parts A, B, and C.

Review Hershey's income statement for 2022–2024.

(A) Identify the three largest line items by dollar amount on Hershey's 2024 income statement.

(B) Explain why it is important to separate costs into categories (cost of goods sold, operating expenses, interest, taxes) rather than listing all expenses in a single total.

(C) Describe what each category represents using specific Hershey examples from the income statement.

2. Respond to parts A, B, and C.

Hershey's gross profit declined from \$4.74 billion (2022) to \$4.58 billion (2024) even though revenue grew.

(A) Calculate Hershey's gross profit margin for each year from 2022 to 2024. Show your work.

(B) Identify the specific cost driver that caused gross profit to decline despite revenue growth.

(C) Explain why gross profit margin is typically the first metric analysts examine when evaluating a company facing rising input costs.

3. Respond to parts A, B, and C.

(A) Using specific line items from the income statement, describe the difference between the costs Hershey incurs to produce its products and the costs Hershey incurs to run the business.

(B) If Hershey's advertising spending increased by \$100 million in 2024, explain which profit measure(s) would be affected — gross profit, operating profit, or both.

(C) Calculate the operating profit margin for 2024 assuming the \$100 million advertising increase occurs while all other line items remain constant.

4. Respond to parts A, B, and C.

Interest expense increased from \$0.16 billion (2022) to \$0.21 billion (2024).

(A) Trace the calculation from operating profit to net profit using Hershey's 2024 data.

(B) Explain what the increase in interest expense suggests about Hershey's use of debt between 2022 and 2024.

(C) Calculate how much additional net profit Hershey would have earned in 2024 if interest expense had remained at the 2022 level. Assume the same tax rate.

5. Respond to parts A, B, and C.

The cocoa price surge was caused by poor harvests in West Africa due to climate change, disease, and aging trees.

(A) Identify the external factor that is primarily responsible for the cocoa price surge and explain how it affected Hershey's costs.

(B) Describe how this external factor propagated through Hershey's income statement — identify which specific line items were affected and in what order.

(C) Predict what would happen to Hershey's profit margins if cocoa prices returned to \$3,000/metric ton in 2025, assuming revenue and operating expenses remain at 2024 levels.

Keep this handout for reference throughout Unit 3.

3.7 DK Coffee Lab — The Balance Sheet and Net Worth

Topic 3.7 The Balance Sheet and Net Worth · Read before class. Be ready to discuss.

Background

This case continues the story of **DK Coffee Lab**, the specialty coffee roaster and cafe founded by **Daniel Kim** in Portland, Oregon. (See the 3.4 and 3.5 handouts for the startup and financing history.)

After evaluating his funding options in mid-2025, Daniel made the following decisions:

Decision	Outcome
SBA bank loan	Accepted — \$100,000 at 10.5% interest, 5-year term, starting October 2025
Michael Torres (friend loan)	Accepted — \$50,000 at 8% interest, 3-year term, starting October 2025
Sarah Park (angel investor)	Declined — Daniel decided not to give up equity; he wanted to retain full ownership
Entity conversion	Completed — DK Coffee Lab converted from an LLC to a C-corporation in July 2025

Daniel combined the \$150,000 in loans with \$95,000 of his own funds (\$70,000 retained earnings + \$25,000 personal investment) to fund all three expansion projects:

Project	Cost	Status by Dec 2025
Cafe #4 (Pearl District)	\$85,000	Open — launched November 2025
E-commerce website	\$60,000	Live — soft-launched December 2025; first orders shipping January 2026
Roasting capacity upgrade (60 kg roaster)	\$75,000	Operational — installed November 2025

As of **December 31, 2025**, DK Coffee Lab operates **four cafes**, a roasting facility, and an e-commerce platform. The company employs **36 people** and is projecting **\$2.4 million in annual revenue for 2026** (up from \$1.8M in 2025, driven by Cafe #4 and e-commerce).

Daniel's accountant has prepared the company's first **balance sheet as a C-corporation** — dated December 31, 2025.

Key Events

Year	Event
Jul 2025	DK Coffee Lab converts from LLC to C-corporation ; Daniel issues 1,000 shares of common stock to himself at \$100/share (\$100,000 in stock equity)
Sep 2025	Secures SBA bank loan (\$100,000) and Michael Torres's friend loan (\$50,000) — total external capital: \$150,000
Oct 2025	Begins build-out of Cafe #4; installs new 60 kg roaster; begins e-commerce development
Nov 2025	Cafe #4 opens ; new roaster is fully operational
Dec 2025	E-commerce website soft-launches ; Daniel receives first balance sheet from his accountant
Jan 2026	Daniel reviews the balance sheet to assess whether DK Coffee Lab has sufficient working capital to fund day-to-day operations across four cafes and the e-commerce platform

DK Coffee Lab Balance Sheet — December 31, 2025

Assets

	Current Year (2025)	Prior Year (2024)
Current Assets		
Cash and cash equivalents	\$62,000	\$48,000
Accounts receivable (wholesale clients)	\$38,500	\$28,000
Inventory (green beans + roasted stock + supplies)	\$34,000	\$22,000
Total Current Assets	\$134,500	\$98,000
Long-Term Assets		
Equipment (espresso machines, POS systems, kitchen)	\$112,000	\$56,000
Roasting equipment (15 kg + 60 kg roasters)	\$53,000	\$28,000
Leasehold improvements (cafe build-outs)	\$78,000	\$48,000
Delivery van	\$28,000	\$35,000
Less: Accumulated depreciation	(\$46,000)	(\$22,000)
Total Long-Term Assets	\$225,000	\$145,000
Intangible Assets		
Trademark ("DK Coffee Lab" brand registration)	\$3,500	—
Domain names (dkcoffeelab.com + variants)	\$2,500	—
Total Intangible Assets	\$6,000	\$0
TOTAL ASSETS	\$365,500	\$243,000

Liabilities

	Current Year (2025)	Prior Year (2024)
Current Liabilities		
Accounts payable (suppliers, vendors)	\$18,200	\$12,500
Accrued expenses (wages, utilities payable)	\$11,800	\$8,300
Current portion of bank loan (due within 12 months)	\$11,000	—
Current portion of friend loan (due within 12 months)	\$14,800	—
Total Current Liabilities	\$55,800	\$20,800
Long-Term Liabilities		
Bank loan (SBA, less current portion)	\$89,000	—
Friend loan (Michael Torres, less current portion)	\$35,200	—
Total Long-Term Liabilities	\$124,200	\$0
TOTAL LIABILITIES	\$180,000	\$20,800

Owners' Equity (Stockholders' Equity)

	Current Year (2025)	Prior Year (2024)
Common stock (1,000 shares x \$100 par value)	\$100,000	—
Retained earnings (cumulative profits reinvested)	\$85,500	\$222,200
Total Owners' Equity	\$185,500	\$222,200
TOTAL LIABILITIES + OWNERS' EQUITY	\$365,500	\$243,000

DK Coffee Lab's annual sales revenue for 2025 was \$350,000 (2024: \$180,000).

Daniel's Personal Net Worth — December 31, 2025

Assets	Amount
Retirement account (401k)	\$142,000
Business equity (DK Coffee Lab — 100% ownership)	\$157,675
Cash and savings	\$15,000
Vehicle (2021 Honda Accord)	\$22,000
Personal property (electronics, furniture)	\$2,275
Total Assets	\$338,950

Liabilities	Amount
Student loans (federal)	\$12,000
Credit card balances	\$5,000
Car loan (remaining balance)	\$1,175
Total Liabilities	\$18,175

PERSONAL NET WORTH (Assets - Liabilities)	\$320,775
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Daniel's personal financial priorities: (1) pay off \$12,000 in student loans within 2 years, (2) maintain at least \$10,000 in emergency savings, (3) save for a home down payment (\$60,000 target within 5 years).

Questions

1. Respond to parts A, B, and C.

DK Coffee Lab's balance sheet shows \$365,500 in assets, \$180,000 in liabilities, and \$185,500 in owners' equity.

(A) Explain what each side of the balance sheet equation represents.

(B) If Daniel pays off \$20,000 of the bank loan using cash, calculate the new values for total assets, total liabilities, and owners' equity.

(C) Explain why the equation still balances after the transaction in part B.

2. Respond to parts A, B, and C.

(A) Rank DK Coffee Lab's assets from most easily converted to cash to least easily converted to cash.

(B) Explain why the ability to quickly convert assets to cash matters for a business that must pay weekly expenses like wages and supplies.

(C) Identify which of DK Coffee Lab's long-term assets would be the hardest to convert to cash and explain why.

3. Respond to parts A, B, and C.

(A) Classify each of the following as a current asset, long-term asset, or intangible asset: (i) \$62,000 in cash, (ii) a commercial espresso machine, (iii) the "DK Coffee Lab" trademark, (iv) \$38,500 in wholesale invoices not yet paid, (v) the roasting facility's plumbing and electrical build-out.

(B) Explain why assets are listed in a specific order on the balance sheet rather than at random.

(C) Describe what the order of listing tells a reader about the company's financial position.

4. Respond to parts A, B, and C.

DK Coffee Lab has \$55,800 in current liabilities and \$124,200 in long-term liabilities. The \$100,000 bank loan appears split between both categories.

(A) Explain the difference between current and long-term liabilities.

(B) Explain why the bank loan is split across both categories on the balance sheet.

(C) Calculate how much Daniel must pay toward his total debt obligations (bank loan + friend loan) within the next 12 months, using the data from the liabilities table.

5. Respond to parts A, B, and C.

DK Coffee Lab's current assets are \$134,500 and current liabilities are \$55,800. Total liabilities are \$180,000 and total assets are \$365,500.

(A) Calculate DK Coffee Lab's working capital and current ratio. Show your work.

(B) Calculate the debt-to-asset ratio and explain what the result means for DK Coffee Lab's financial risk.

(C) Describe one specific daily operation at DK Coffee Lab that depends on having sufficient working capital.

Keep this handout for reference throughout Unit 3. This is Part 3 of the DK Coffee Lab case series (see also 3.4 and 3.5).

3.8 AANE — The Cash Flow Statement

Topic 3.8 The Cash Flow Statement · Read before class. Be ready to discuss.

Background

AANE (the Asperger/Autism Network) is a **nonprofit organization** headquartered in Watertown, Massachusetts, dedicated to providing support, education, and community for individuals with autism and their families. Founded in 1996, AANE offers programs including **social skills groups, parent coaching, employment support, educational workshops, and online community forums**. The organization serves over **10,000 individuals annually** across New England and nationally through virtual programming.

Unlike for-profit businesses that aim to generate profit for owners, AANE's mission is to **serve its community**. The organization generates revenue through **program fees** (paid by families), **grants** (from foundations and government agencies), **donations** (from individuals and corporations), and **fundraising events**. AANE does not have owners or shareholders — any surplus revenue is reinvested into programs and services.

In fiscal year 2024, AANE faces a **cash flow challenge**. The organization's annual operating budget is approximately **\$1.8 million**, but a combination of **delayed grant payments, seasonal revenue fluctuations, and rising program costs** has created a situation where AANE's bank account dropped dangerously low — even though the organization is financially viable on paper. AANE's Executive Director, **Dr. Sarah Chen**, must understand the organization's cash flow statement to determine whether AANE can meet its payroll, pay its rent, and continue serving families without interruption.

Key Events

Year	Event
1996	AANE founded by a group of parents and professionals to support individuals with Asperger's syndrome and autism
2005	Launches first social skills group program for teens; program fees become a revenue source
2013	Receives first multi-year foundation grant (\$150,000 over 3 years) — allows AANE to hire a full-time program director
2018	Opens a new program center in Watertown, MA; signs a 5-year lease (\$8,500/month); launches capital campaign to fund renovations
2020	COVID-19 forces all programs online; donations increase as autism awareness grows; AANE launches virtual programming nationally
2022	Annual revenue reaches \$1.6 million; serves 8,000 individuals; secures \$200,000 state government grant for employment support services
2023	Revenue grows to \$1.75 million; AANE hires 8 additional staff members; payroll costs increase 22%; receives a \$50,000 corporate donation earmarked for capital equipment
Jan 2024	AANE's largest grant (\$120,000 from the Massachusetts Department of Developmental Services) is approved but payment is delayed by 4 months due to state budget processing
Jun 2024	Summer enrollment in social skills programs drops 40% (seasonal pattern); cash balance falls to \$18,200 — the lowest in AANE's history
Jul 2024	Dr. Chen draws \$40,000 on AANE's line of credit to cover payroll and rent; the delayed state grant (\$120,000) finally arrives in August
Sep 2024	Fall enrollment restores program fee revenue; AANE repays \$25,000 of the line of credit; Dr. Chen begins reviewing the cash flow statement to prevent future crises
Dec 2024	Fiscal year ends; AANE's accountant prepares the annual cash flow statement for the Board of Directors

AANE Cash Flow Statement — Fiscal Year 2024 (January–December)

All figures in USD. Based on AANE's nonprofit financial structure.

Cash Flows from Operating Activities

Line Item	Amount
Cash inflows:	
Program fees received from families	\$680,000
Grants received (cash portion)	\$520,000
Individual and corporate donations received	\$310,000
Fundraising event revenue (net of event costs)	\$85,000
Total cash inflows from operations	\$1,595,000
Cash outflows:	
Salaries and benefits paid to staff	(\$920,000)
Rent and utilities paid	(\$142,000)
Program supplies and materials	(\$78,000)
Insurance premiums paid	(\$48,000)
Professional services (accounting, legal, IT)	(\$62,000)
Marketing and outreach	(\$35,000)
Office and administrative expenses	(\$52,000)
Interest paid on line of credit	(\$2,800)
Total cash outflows from operations	(\$1,339,800)
Net cash from operating activities	\$255,200

Cash Flows from Investing Activities

Line Item	Amount
Purchase of program equipment (computers, sensory tools)	(\$32,000)
Purchase of office furniture for new staff	(\$8,500)
Proceeds from sale of old program van	\$6,200
Net cash used in investing activities	(\$34,300)

Cash Flows from Financing Activities

Line Item	Amount
Draw on line of credit (short-term borrowing)	\$40,000
Repayment of line of credit	(\$25,000)
Payment on capital lease (program van)	(\$12,400)
Net cash from financing activities	\$2,600

Net Change in Cash

	Amount
Net change in cash (Operating + Investing + Financing)	\$223,500
Cash balance at beginning of year (Jan 1, 2024)	\$42,000
Cash balance at end of year (Dec 31, 2024)	\$265,500

For comparison: a for-profit company of similar size would have an additional cash outflow for income taxes (approximately 20–25% of net profit) and may pay dividends to shareholders. As a 501(c)(3) nonprofit, AANE pays no income taxes and distributes no dividends.

AANE Income Statement Summary — Fiscal Year 2024

For comparison with the cash flow statement.

Line Item	Amount
Total revenue (accrual basis)	\$1,680,000
Total expenses (accrual basis)	\$1,703,000
Net income (loss)	(\$23,000)

Key observation: AANE shows a **net loss of \$23,000** on its income statement but generated **\$255,200 in positive operating cash flow**. The income statement uses **accrual accounting** (recording revenue when earned and expenses when incurred), while the cash flow statement tracks **actual cash movement**. AANE received \$120,000 in grant cash in August that was recorded as revenue in the prior fiscal year's accrual records, and AANE prepaid \$36,000 in insurance for the following year. These timing differences explain the gap between the accounting loss and the positive cash flow.

AANE Cash Inflow Sources by Category

Inflow Source	Amount	Category	Notes
Program fees from families	\$680,000	Operating	Seasonal (higher fall/spring, lower summer)
Grants received	\$520,000	Operating	Lump sums; timing unpredictable
Donations	\$310,000	Operating	Year-end giving concentrated Nov-Dec
Fundraising events	\$85,000	Operating	Annual gala in October
Proceeds from van sale	\$6,200	Investing	One-time sale of used asset
Line of credit draw	\$40,000	Financing	Short-term borrowing

Questions

1. Respond to parts A, B, and C.

AANE's income statement shows a net loss of \$23,000, but its cash flow statement shows positive operating cash flow of \$255,200.

(A) Identify one specific timing difference between the income statement and the cash flow statement that explains the gap.

(B) Explain why the two statements report different results for the same fiscal year.

(C) Identify which statement better reflects AANE's ability to pay staff next month and explain why.

2. Respond to parts A, B, and C.

(A) Classify each of AANE's cash inflows for FY2024 as operating, investing, or financing.

(B) Identify which inflow source is the most unpredictable in terms of timing.

(C) Explain why the unpredictability of that inflow source creates a management challenge for Dr. Chen.

3. Respond to parts A, B, and C.

(A) Identify AANE's largest cash outflow and explain why it is the most difficult to reduce in a cash crisis.

(B) Explain how AANE's cash outflow structure differs from a for-profit company, given that AANE is a nonprofit that does not pay dividends or income taxes.

(C) If AANE needed to reduce total cash outflows by 10% to survive a funding shortfall, identify which outflows could realistically be cut and which could not.

4. Respond to parts A, B, and C.

AANE's cash balance fell to \$18,200 in June 2024. Biweekly payroll is approximately \$35,000 and monthly rent is \$8,500.

(A) Calculate how many weeks of payroll and rent AANE could fund with \$18,200.

(B) Identify the specific action Dr. Chen took when the cash balance reached this level.

(C) Recommend a minimum cash balance threshold AANE should maintain, and explain how Dr. Chen could build toward it.

5. Respond to parts A, B, and C.

AANE's quarterly cash flow: Q1 was +\$45,000, Q2 was -\$52,000, Q3 was +\$168,000, Q4 was +\$62,500. The annual total is +\$223,500, yet AANE faced a crisis in Q2.

(A) Explain how an organization can have positive annual cash flow but a negative quarterly cash flow that threatens operations.

(B) Describe the specific factors that caused AANE's Q2 cash flow to be negative.

(C) Recommend one structural change AANE could make to reduce its vulnerability to quarterly cash flow crises.

Keep this handout for reference throughout Unit 3.

3.9 Yardley — Ethics and Financial Reporting

Topic 3.9 Ethics and Financial Reporting · Read before class. Be ready to discuss.

Background

Yardley Manufacturing, Inc. is a mid-sized manufacturer of office furniture (desks, filing cabinets, and ergonomic chairs) headquartered in Grand Rapids, Michigan. Founded in 1988 by **Richard Yardley**, the company generates approximately **\$48 million in annual revenue**, employs **210 people**, and sells products to office supply retailers, corporate buyers, and government agencies across the United States.

Yardley went public in 2005 and trades on the NASDAQ under the ticker **YARD**. As a publicly traded corporation, Yardley is required to file quarterly and annual financial reports with the **Securities and Exchange Commission (SEC)** and to have its financial statements audited by an independent accounting firm. The company's stock price is closely watched by investors, and executive compensation is tied to meeting quarterly earnings targets.

In early 2024, **Lisa Morales**, Yardley's Director of Finance, faces an ethical dilemma. The company is about to report Q4 2023 earnings, and the numbers are below the **earnings target** that analysts expect. Missing the target would likely cause Yardley's stock price to drop, reduce executive bonuses, and potentially trigger a review by the Board of Directors. Lisa's supervisor, **CFO David Park**, suggests "adjusting" the numbers to meet the target — specifically, by recording \$1.2 million in revenue from a large order that has not yet been shipped to the customer.

Lisa knows that recording revenue before the product is shipped violates **Generally Accepted Accounting Principles (GAAP)** and SEC regulations. But she also knows that the order is confirmed and the shipment will go out in early January — just a few weeks later. David tells her: "We're not lying — the sale is real. We're just moving it forward by a few weeks."

Key Events

Year	Event
1988	Richard Yardley founds Yardley Manufacturing in Grand Rapids, MI; starts with 12 employees making wooden desks
2005	Yardley goes public (NASDAQ: YARD); raises \$15 million in the IPO; begins quarterly financial reporting to the SEC
2010	Revenue reaches \$30 million; hires David Park as CFO; establishes an audit committee on the Board of Directors
2015	Implements executive compensation tied to quarterly earnings targets — executives receive bonuses if Yardley meets or exceeds analyst EPS (earnings per share) estimates
2018	Hires Lisa Morales as Director of Finance; Lisa is a CPA with 12 years of experience at a Big Four accounting firm
2020	COVID-19 disrupts office furniture demand; revenue drops to \$35 million; Yardley lays off 30 employees; stock price falls 40%
2021-2022	Recovery — remote work drives demand for home office furniture; revenue rebounds to \$44 million, then \$48 million; stock price recovers
Q1-Q3 2023	Yardley meets analyst earnings targets in Q1 and Q2 but misses Q3 by \$0.08/share; stock drops 7% in one day; Board expresses concern
Q4 2023	A large confirmed order (\$1.2 million) from a corporate client will not ship until January 2024. CFO David Park asks Lisa to record the revenue in Q4 2023 to meet the annual earnings target
Dec 2023	Lisa records the \$1.2 million as Q4 2023 revenue. Yardley reports earnings that meet analyst expectations. Stock price rises 4%. David receives a \$45,000 bonus for "meeting financial targets"
Feb 2024	During the annual audit, the external auditor discovers the \$1.2 million revenue discrepancy — the product was not shipped until January 12, 2024. The auditor flags the entry as a potential GAAP violation
Mar 2024	The audit committee launches an internal investigation. Lisa is asked to explain the entry. David denies knowledge of the adjustment and places responsibility on Lisa

The Ethical Dilemma — A Detailed View

What Happened

Step	Action	Date	Ethical Issue
1	Corporate client places a \$1.2M order for 400 ergonomic desks	Dec 5, 2023	Order is real — no issue yet
2	Production is scheduled; desks will be ready to ship by Jan 8, 2024	Dec 10, 2023	Standard production timeline
3	CFO David Park tells Lisa: "Record the revenue now — the order is confirmed"	Dec 15, 2023	Request to violate GAAP revenue recognition rules
4	Lisa records \$1.2M in Q4 2023 revenue, increasing accounts receivable	Dec 20, 2023	Revenue recorded before product shipped — violates GAAP
5	Yardley reports Q4 and FY2023 earnings that meet analyst targets	Jan 25, 2024	Financial statements are misleading
6	Desks ship to the customer on January 12, 2024	Jan 12, 2024	Revenue should have been recognized here, in Q1 2024
7	External auditor discovers the discrepancy during annual audit	Feb 2024	Fraud detected

Financial Impact

The \$1.2 million adjustment changed Yardley's financial picture:

Metric	With Fraud (Reported)	Without Fraud (Actual)	Difference
Q4 2023 Revenue	\$13.2M	\$12.0M	+\$1.2M
FY2023 Revenue	\$48.5M	\$47.3M	+\$1.2M
FY2023 Net Income	\$3.8M	\$2.9M	+\$0.9M
Earnings Per Share (EPS)	\$1.52	\$1.16	+\$0.36
Met analyst target?	Yes (\$1.50)	No (\$1.16)	—

Yardley did not invent a fake sale. The order was real. But by recording it in the wrong quarter, Lisa and David made the company appear more profitable than it actually was in FY2023, which affected stock price, executive bonuses, and investor decisions.

Evidence and Legal Framework

Auditor's Evidence

Item	Detail
Discrepancy found	\$1.2M revenue entry traced to shipping records
Actual ship date	January 12, 2024
When revenue was recorded	Q4 2023 (December 2023)
Conclusion	Revenue recorded in the wrong quarter — product was not shipped until Q1 2024

Laws Violated

Law	Provision	Penalties
Securities Exchange Act of 1934 (Rule 10b-5)	Fraud and misrepresentation in connection with buying or selling securities	Civil fines up to \$5 million; criminal penalties up to 20 years imprisonment
Sarbanes-Oxley Act of 2002 (SOX)	Falsifying financial records; CEO/ CFO must personally certify financial statements	Criminal penalties for fraud

CPA Ethics Standards Violated by Lisa Morales

Standard	How Violated
Honesty	Recorded revenue in the wrong period, creating a false financial picture
Integrity	Complied with David's request instead of refusing and reporting the issue
Transparency	Did not disclose to the Board or auditor that the \$1.2M was recorded before shipment
Objectivity	Pressure to meet earnings targets compromised her professional judgment

Missing Internal Controls

Control	Status	How It Would Have Helped
Segregation of duties	Missing — Lisa could both enter and approve journal entries	A second person would have reviewed the \$1.2M entry and caught the discrepancy
Revenue recognition matching	Missing — no process to match revenue entries to shipping records before closing the books	System would have flagged the revenue entry with no corresponding shipping record
Whistleblower hotline	Missing — no anonymous reporting mechanism for employees	Lisa could have reported David's request without confronting him directly

Key Financial Data

Item	Amount
David Park's bonus	\$45,000 for "meeting financial targets"

Questions

1. Respond to parts A, B, and C.

David Park argued: "We're not lying — the sale is real. We're just moving it forward by a few weeks."

(A) Identify the specific action Lisa took that violated accounting rules.

(B) Explain why David's reasoning — that the sale was real and only moved forward by a few weeks — does not make the action ethical or legal.

(C) Describe the specific harm this action caused to investors who relied on Yardley's Q4 2023 earnings report.

2. Respond to parts A, B, and C.

(A) Identify the specific circumstances that motivated Lisa Morales to commit the unethical action.

(B) Identify what Lisa's role as Director of Finance allowed her to do that other employees could not.

(C) Explain the justification David offered for the fraudulent reporting, and describe why it is flawed.

3. Respond to parts A, B, and C.

(A) Identify who specifically benefited from Yardley's fraudulent earnings report.

(B) If Yardley had **underreported** revenue instead of overreporting it, explain who might benefit and why.

(C) Describe a specific situation in which a business might want to appear **less** profitable than it actually is.

4. Respond to parts A, B, and C.

(A) Identify which specific U.S. laws Lisa and David violated.

(B) Describe the potential penalties each person could face if the SEC investigates.

(C) Explain whether it matters that Lisa was following David's instructions — or whether she is equally responsible.

5. Respond to parts A, B, and C.

(A) Describe what specific evidence the external auditor found that proved the revenue was recorded in the wrong period.

(B) Explain why it is important that the auditing firm is **independent** — not employed directly by Yardley.

(C) Identify two specific internal controls that Yardley was **missing** and explain how each would have prevented or immediately caught the fraud.

Keep this handout for reference throughout Unit 3.

4.1 Canva — Management and Leadership

Topic 4.1 Management and Leadership · Read before class. Be ready to discuss.

Background

Canva is an online graphic design platform that allows anyone — from professional designers to students to small business owners — to create visual content including presentations, social media graphics, posters, videos, and documents. Founded in 2013 in Sydney, Australia, by **Melanie Perkins, Cliff Obrecht, and Cameron Adams**, Canva has grown into one of the world's most valuable private technology companies, valued at approximately **\$26 billion** as of 2024. The platform serves over **190 million monthly active users** across **190 countries** and employs more than **4,000 people** globally.

Canva's mission is to "**empower everyone in the world to design anything and publish anywhere.**" This mission shapes management decisions — from hiring, to internal communication, to compensation and retention. Canva operates in a competitive market against Adobe, Microsoft, Google, and dozens of smaller design tools.

Melanie Perkins was 19 years old when she first conceived the idea for Canva while teaching design programs at university in Perth. She noticed that professional design tools like Adobe Photoshop were too complex for most people. Over the next several years, she and co-founder Cliff Obrecht built a prototype, faced over **100 rejections from investors**, and secured funding in 2012. The company launched publicly in 2013 and grew to 1 million users within its first year.

Canva's **management structure** has evolved as the company scaled from a small startup to a global enterprise. In 2024, Canva reorganized its 4,000+ employees into "**groups**" — small, autonomous teams of 8–12 people, each with ownership of a product area. This structure replaces the traditional corporate hierarchy with a model designed to keep teams agile, accountable, and aligned with the company's mission.

Key Events

Year	Event
2007	Melanie Perkins (age 19) begins teaching design software at university in Perth, Australia; notices that students struggle with complex tools like Adobe Photoshop and InDesign
2008	Perkins and Cliff Obrecht co-found Fusion Books , a yearbook design platform for Australian schools — the precursor to Canva
2010–2012	Perkins pitches Canva to over 100 investors — all reject. She and Obrecht travel to Silicon Valley multiple times, sleeping on friends' couches
2012	Perkins meets Bill Tai (Silicon Valley investor) at a kite-surfing event; Tai introduces her to Cameron Adams (Google Maps engineer), who becomes the third co-founder and CTO
2013	Canva launches publicly; reaches 1 million users in the first year
2014	Raises \$3 million in Series A funding; hires first 20 employees; begins building the company's management culture around transparency and mission alignment
2018	Reaches 10 million users; raises \$40 million; valued at \$1 billion ("unicorn" status); employee count reaches 300
2019	Launches Canva for Enterprise — requires hiring sales, customer success, and enterprise engineering teams; management structure begins shifting from flat startup to organized departments
2020	COVID-19 accelerates remote work; Canva's design tools become essential for remote teams; user count surges to 40 million; company hires 500+ employees in one year — management faces the challenge of scaling culture
2021	Raises \$200 million at a \$40 billion valuation; employee count exceeds 2,500; Perkins and Obrecht pledge to give away the vast majority of their wealth through the Canva Foundation
2022	Economic downturn forces Canva to lay off approximately 250 employees (~10% of workforce) — the first layoffs in company history. CEO Perkins personally addressed all employees in a company-wide meeting, explaining the business rationale and answering questions. Affected employees received individual meetings with their managers, generous severance packages, and career transition support. Perkins also published a public letter explaining the decision to external stakeholders
2023	

Year	Event
	Launches AI-powered design tools (Magic Design, Magic Write) — requires rapid hiring of AI/ML engineers; Canva reorganizes teams around AI integration
2024	Reaches 190 million monthly active users and 4,000+ employees; reorganizes into " groups " (autonomous teams of 8–12) to maintain startup agility at scale. Each group is led by a group lead responsible for day-to-day decisions within the group, while department heads (such as the VP of Engineering overseeing all 1,600 engineers) set technical standards and allocate resources across groups. Valued at \$26 billion

Canva Employee Data and Compensation

Employee Data (2024)

Metric	Value
Total employees	4,000+
Countries with employees	30+
Engineering	~1,600 (40%)
Sales & customer success	~800 (20%)
Design & product	~600 (15%)
Marketing	~400 (10%)
Operations, finance, legal, HR	~600 (15%)
Average tenure	3.2 years
Employee satisfaction (Glassdoor)	4.3/5.0
Annual voluntary turnover	~15% (industry average: 20%)

Compensation Schemes

Role	Compensation Structure	Typical Range
Engineers	Salary + equity + bonus	\$120K–\$250K base + equity
Sales	Base salary + commission	\$70K base + \$50K–\$150K commission
Designers	Salary + equity	\$90K–\$180K base + equity
Customer support	Salary	\$50K–\$80K
Executives	Salary + equity + bonus	\$300K+ base + equity

Employee Benefits

Benefit	Details
Health insurance	90% employer-paid
401(k)	4% employer match
Educational reimbursement	\$5,000/year
Paid time off	Unlimited (20-day minimum encouraged)
Parental leave	16 weeks paid
Equity	All full-time employees receive stock options
Benefits cost	~\$25,000–\$35,000 per employee per year

Work Arrangements

Arrangement	Number/Details
Full-time	~3,500 (87%)
Part-time	Limited (customer support, admin)
Contract	~300
Temporary	Seasonal support

Key Metrics

Metric	Value
Replacement cost	50–200% of annual salary
Equity cost	\$10,000/engineer/year in stock options
2022 layoffs	250 employees (~10%); transparent communication; generous severance; career transition support

Questions

1. Respond to parts A, B, and C.

(A) Describe what "management" looks like at three different levels of Canva: the CEO, the VP of Engineering, and a group lead responsible for a team of 10 engineers. What decisions does each person make?

(B) Explain how decisions at each of the three levels affect the employees they manage.

(C) Identify the level of management that faced the greatest challenge during Canva's 2020–2024 period of rapid growth. Support your answer with specific evidence from the scenario.

2. Respond to parts A, B, and C.

In 2022, Canva laid off approximately 250 employees — the first layoffs in company history.

(A) Describe the communication challenges Canva's leadership faced when conducting the layoffs.

(B) Explain how leadership communicated the layoffs to employees, investors, and the public, and why the approach differed for each group.

(C) Recommend one change to Canva's approach that would have better maintained employee morale during and after the layoffs. Support your recommendation with evidence from the scenario.

3. Respond to parts A, B, and C.

(A) Using data from the Compensation Schemes table, explain why Canva uses different payment structures for engineers versus salespeople.

(B) Predict what would happen if Canva paid its salespeople a flat salary with no commission.

(C) Predict what would happen if Canva paid its engineers purely based on the number of features they ship. Explain how this would affect product quality and employee behavior.

4. Respond to parts A, B, and C.

Using data from the Employee Data and Key Metrics tables:

(A) Calculate the total annual cost of replacing Canva's engineering turnover. Assume 1,600 engineers, 15% annual turnover, and replacement cost equal to 100% of a \$150,000 average salary.

(B) Calculate the total annual cost of providing equity compensation to all 1,600 engineers at \$10,000 per engineer per year.

(C) Compare the two figures from parts A and B. Explain what this comparison reveals about Canva's decision to offer equity to all engineers.

5. Respond to parts A, B, and C.

Canva's mission is "empower everyone in the world to design anything and publish anywhere."

(A) Describe how this mission influences the way Canva's leaders communicate with and motivate employees, using specific evidence from the scenario.

(B) Explain how a mission-driven employee at Canva might behave differently from an employee at a company whose primary goal is to maximize shareholder value. Provide specific examples.

(C) Evaluate whether a mission-driven culture is sufficient to retain employees, or whether financial incentives are also necessary. Support your evaluation using data from the scenario.

4.2 BREAU Capital — Evaluating Performance Using KPIs

Topic 4.2 Evaluating Performance Using KPIs · Read before class. Be ready to discuss.

Background

BREAU Capital (Building Resources, Empowerment, And Unity for eXcellence) is a fintech startup founded in **2018** by **Sherman Harris** and **Marlon Breau** in **Baton Rouge, Louisiana**. The company's mission is to **close the wealth gap for Black men in America** by providing culturally relevant financial tools, resources, and community-driven financial literacy programs.

BREAU Capital operates a **mobile-first financial platform** that combines a digital banking app with a peer-to-peer savings community. Members join "pods" — small groups of 5–10 people who commit to saving together, holding each other accountable, and building financial habits collectively. The platform offers checking and savings accounts (through a partner bank), automated savings tools, financial literacy content, and community events.

As of **2024**, BREAU Capital has:

- **12,000+ active members** across 15 U.S. states
- **\$4.2 million** in total member savings managed through the platform
- **85 pods** (peer savings groups) actively operating
- **28 full-time employees**
- Raised **\$3.8 million** in seed funding from investors including Google for Startups, Backstage Capital, and Village Capital

The company generates revenue through three streams: (1) interchange fees on debit card transactions, (2) a premium subscription tier ("BREAU Plus") at \$9.99/month, and (3) partnerships with employers who offer BREAU Capital as an employee financial wellness benefit.

Key Events

Year	Event
2018	Sherman Harris and Marlon Breaux found BREAUX Capital in Baton Rouge, Louisiana, after recognizing that mainstream banks were not serving the financial needs of Black men in their community
2019	Launches beta version of the mobile app with 200 founding members in Baton Rouge; introduces the "pod" savings model — small groups of 5–10 members who save together
2020	Receives a \$250,000 grant from Google for Startups; begins expanding beyond Baton Rouge to New Orleans, Houston, and Atlanta; member count grows to 1,500
2021	Raises \$1.5 million in seed funding from Backstage Capital and Village Capital; launches BREAUX Plus premium subscription tier; hires first dedicated marketing and engineering teams
2022	Member count reaches 6,000; launches employer partnership program — companies can offer BREAUX Capital as a financial wellness benefit to employees; total member savings surpasses \$1.5 million
2023	Raises additional \$2.3 million; member count reaches 10,000; expands to 12 states; launches automated savings tools and financial literacy video series; partnership with 15 employers
2024	Reaches 12,000+ active members across 15 states; 85 active pods; \$4.2 million in total member savings; 28 employees; partners with 35 employers; begins exploring Series A fundraising

BREAUX Capital KPI Dashboard and Benchmarks

Financial KPIs

KPI	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Total Revenue	\$285,000	\$310,000	\$338,000	\$363,000
Gross Profit	\$199,500	\$217,000	\$236,600	\$254,100
Gross Profit Margin	70.0%	70.0%	70.0%	70.0%
Operating Expenses	\$580,000	\$620,000	\$660,000	\$695,000
Operating Profit (Loss)	\$(380,500)	\$(403,000)	\$(423,400)	\$(440,900)
Cash on Hand	\$2,380,000	\$2,150,000	\$1,980,000	\$1,850,000
Cash Burn Rate (monthly)	\$143,000	\$152,000	\$158,000	\$163,000

Customer KPIs

KPI	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Active Members	10,200	10,800	11,500	12,100
New Members (quarterly)	800	900	1,100	1,000
Customer Acquisition Cost (CAC)	\$175	\$160	\$140	\$135
Customer Lifetime Value (CLV)	\$480	\$510	\$540	\$560
CLV:CAC Ratio	2.7:1	3.2:1	3.9:1	4.1:1
Customer Satisfaction (NPS)	62	65	68	72
Member Retention Rate (quarterly)	91%	92%	93%	94%
BREAUX Plus Conversion Rate	30%	32%	34%	35%
Active Pods	62	68	76	85
Average Pod Size	7.2	7.4	7.5	7.6

Operations KPIs

KPI	Q1 2024	Q2 2024	Q3 2024	Q4 2024
App Uptime	99.2%	99.5%	99.7%	99.8%
Customer Support Response Time	4.2 hrs	3.8 hrs	3.1 hrs	2.6 hrs
Feature Release Cycle Time	6 weeks	5 weeks	4 weeks	3.5 weeks
Employer Partnerships (cumulative)	20	25	30	35
Member Savings Growth (quarterly)	+ \$280,000	+ \$340,000	+ \$420,000	+ \$480,000
Financial Literacy Course Completion Rate	22%	28%	34%	41%

Industry Benchmarks

KPI	BREAUX Capital (Q4 2024)	Fintech Industry Average	Assessment
Gross Profit Margin	70.0%	65%	Above benchmark
Customer Acquisition Cost	\$135	\$200	Below benchmark (good)
Customer Lifetime Value	\$560	\$450	Above benchmark
CLV:CAC Ratio	4.1:1	3.0:1	Above benchmark
Monthly Churn Rate	~1.5%	3.0%	Below benchmark (good)
NPS Score	72	45	Well above benchmark
Employee-to-Customer Ratio	1:432	1:500	Below benchmark (room to improve)

Benchmark Comparison with Management Actions

KPI	BREAUX Q4 2024	Benchmark	vs. Benchmark	Management Action
Gross Profit Margin	70.0%	65% (fintech avg)	+5.0 pts	Maintain current pricing and cost structure
CAC	\$135	\$200 (fintech avg)	-\$65	Acquisition spending is efficient; consider scaling marketing
CLV	\$560	\$450 (fintech avg)	+\$110	Members generate more value than average; continue retention programs
CLV:CAC Ratio	4.1:1	3.0:1	+1.1x	Strong unit economics; attractive to investors
NPS	72	45 (fintech avg)	+27	Exceptional satisfaction; leverage for referrals
Monthly Churn	1.5%	3.0% (fintech avg)	-1.5 pts	Retention is strong; monitor for changes
Cash Burn Rate	\$163K/mo	N/A (internal)	vs. \$143K (Q1)	+14% — Burn is increasing; must slow or raise funding
Cash Runway	~11 months	18 months (startup best practice)	-7 months	Critical — need to extend runway through revenue growth or fundraising. (The 18-month benchmark exists because early-stage companies typically need 12–18 months to demonstrate enough traction to raise their next funding round, plus a buffer for unexpected delays.)
Operating Profit Margin	-127%	-40% (early-stage fintech)	-87 pts	Losses are larger than typical; need path to profitability

BREAUX Capital Financial Data (2024)

Revenue Breakdown

Revenue Stream	Annual Revenue	% of Total
Interchange fees (debit card transactions)	\$680,000	52%
BREAUX Plus subscriptions (4,200 subscribers × \$9.99/mo × 12)	\$503,000	38%
Employer partnership fees (35 employers × \$8,000 avg/yr)	\$280,000	10%*
Total Revenue	\$1,296,000	100%

*Note: Employer partnerships are a newer, faster-growing revenue stream.

Income Statement Summary (Year Ending December 31, 2024)

Line Item	Amount
Total Revenue	\$1,296,000
Cost of Revenue (payment processing, partner bank fees)	\$388,800
Gross Profit	\$907,200
Operating Expenses	
Salaries & Benefits (28 employees)	\$1,680,000
Marketing & Customer Acquisition	\$420,000
Technology & Infrastructure	\$310,000
Office & Administrative	\$145,000
Total Operating Expenses	\$2,555,000
Operating Profit (Loss)	\$(1,647,800)

Cash Flow Summary

Category	Amount
Operating Cash Flow	\$(1,420,000)
Investing Cash Flow (equipment, software)	\$(185,000)
Financing Cash Flow (funding received)	\$2,300,000
Net Cash Flow	\$695,000
Cash on Hand (December 31, 2024)	\$1,850,000

Questions

1. Respond to parts A, B, and C.

BREAUX Capital tracks many data points including active members, app downloads, office square footage, NPS, CLV:CAC ratio, and financial literacy course completion rate.

(A) Identify which of these data points measure progress toward BREAUX Capital's goals and which do not. Explain your criteria for distinguishing between the two.

(B) A BREAUX Capital manager proposes adding "number of social media followers" as a performance metric. Evaluate whether this metric measures progress toward the company's goals or the effectiveness of its strategy.

(C) Identify the three data points from the list above that are most important for BREAUX Capital's leadership to monitor. Explain why each one matters for the company's performance.

2. Respond to parts A, B, and C.

BREAUX Capital's ratio of customer lifetime value to customer acquisition cost improved from 2.7:1 in Q1 to 4.1:1 in Q4 2024.

(A) Explain what this ratio measures and what an improvement from 2.7:1 to 4.1:1 indicates about BREAUX Capital's performance.

(B) Using data from the Customer KPIs table, determine whether the improvement was driven more by a decrease in acquisition cost or an increase in lifetime value. Show your calculations.

(C) Explain why this ratio is more useful for decision-making than looking at acquisition cost or lifetime value alone.

3. Respond to parts A, B, and C.

Using data from the Income Statement and Cash Flow Summary:

(A) Calculate BREAUX Capital's operating profit margin for 2024. Show your work.

(B) With \$1,850,000 in cash on hand and a monthly burn rate of \$163,000, calculate how many months of cash runway BREAUX Capital has remaining.

(C) Recommend three specific actions management could take to extend the runway. Rank them by feasibility and explain your ranking.

4. Respond to parts A, B, and C.

BREAUX Capital's gross profit margin is 70% while its operating profit margin is -127%.

(A) Explain how a company can have a high gross profit margin but a deeply negative operating profit margin. Use specific data from the Income Statement to support your explanation.

(B) A journalist writes: "BREAUX Capital loses money on every customer it serves." Evaluate whether this statement is accurate using the financial data in the case.

(C) Calculate the annual revenue BREAUX Capital would need to break even (operating profit = \$0). Show your work.

5. Respond to parts A, B, and C.

BREAUX Capital has approximately 11 months of cash runway. The startup best practice benchmark is 18 months.

(A) Explain why 18 months is the recommended benchmark for startup cash runway.

(B) Describe specific steps BREAUX Capital's management should take to close the 7-month gap between its current runway and the benchmark. Consider both increasing revenue and reducing costs.

(C) If BREAUX Capital raises a \$5 million Series A round, calculate the new cash runway. Show your work and explain any assumptions you make.

4.3 ExpressionMed — Strategy and Decision Making

Topic 4.3 Strategy and Decision Making · Read before class. Be ready to discuss.

Background

ExpressionMed is a small business founded in **2018** by **Meghan Sharkus** in **Chicago, Illinois**, when she was 17 years old. The company designs and manufactures **decorative adhesive patches and accessories** for people who wear **continuous glucose monitors (CGMs)** — medical devices used by people with diabetes to track their blood sugar levels 24/7.

CGMs like the Dexcom G6/G7 and Abbott FreeStyle Libre are small sensors worn on the abdomen or arm that continuously measure glucose levels. While these devices are medically essential, many users — especially children and teenagers — feel self-conscious about wearing them. The devices look clinical and can draw unwanted questions or stares. Meghan, who was diagnosed with Type 1 diabetes at age 4, experienced this firsthand and created ExpressionMed to solve the problem.

ExpressionMed's products are **thin, colorful, waterproof adhesive overlays** that stick over the CGM sensor, allowing users to express their personality while wearing their medical device. The patches come in hundreds of designs — from sports teams and florals to abstract art and holiday themes. They also serve a practical function: the adhesive helps the CGM stay attached to the skin longer, reducing the frequency of sensor reattachments.

As of **2024**, ExpressionMed:

- Serves **150,000+ customers** in the U.S. and 30+ countries
 - Offers **500+ designs** across CGM patches, insulin pump skins, and medical device accessories
 - Employs **12 full-time employees** and 8 part-time production staff
 - Operates from a **4,500 sq ft production facility** in Chicago
 - Revenue: **\$3.2 million** (2024)
 - Products are sold through the company's website (expressiomed.com) and Amazon
-

Key Events

Year	Event
2012	Meghan Sharkus (age 12) is diagnosed with Type 1 diabetes; begins wearing a CGM; feels self-conscious about the visible medical device
2017	Meghan (age 17) begins designing adhesive patches in her parents' basement; sells first patches on Etsy
2018	Found ExpressionMed as a formal business; launches Shopify website; sells 500 patches in the first 3 months
2019	Revenue reaches \$120,000; Meghan appears on local news and diabetes community podcasts; customer base grows to 5,000
2020	COVID-19 drives online shopping surge; revenue triples to \$360,000; hires first 2 full-time employees; moves production from basement to a small rented workshop
2021	Introduces patches for the Dexcom G7 and FreeStyle Libre 3; launches custom design service (customers upload their own designs); revenue reaches \$800,000
2022	Expands product line to insulin pump skins (for Omnipod, Tandem, Medtronic); revenue reaches \$1.5 million; grows to 8 employees; begins selling on Amazon
2023	Revenue reaches \$2.4 million; launches international shipping; introduces "ExpressionMed Kids" line with child-friendly designs; partners with 3 diabetes nonprofit organizations for co-branded patches
2024	Revenue reaches \$3.2 million; 20 employees (12 full-time, 8 part-time); faces a critical strategic decision about the company's next phase of growth

ExpressionMed Financial Data (2024)

Income Statement Summary

Line Item	Amount
Total Revenue	\$3,200,000
COGS (materials, production labor, packaging)	\$1,120,000
Gross Profit	\$2,080,000
Gross Profit Margin	65.0%
Operating Expenses	
Salaries & Benefits	\$720,000
Marketing & Advertising	\$380,000
Rent & Utilities (production facility)	\$96,000
Shipping & Fulfillment	\$240,000
Software & Technology	\$85,000
Other Operating Expenses	\$65,000
Total Operating Expenses	\$1,586,000
Operating Profit	\$494,000
Operating Profit Margin	15.4%

Revenue by Product Line (2024)

Product Line	Revenue	% of Total
CGM Patches (Dexcom G6/G7)	\$1,760,000	55%
CGM Patches (FreeStyle Libre)	\$800,000	25%
Insulin Pump Skins	\$480,000	15%
Custom Designs & Accessories	\$160,000	5%
Total	\$3,200,000	100%

Revenue by Channel (2024)

Channel	Revenue	% of Total
Company Website (Shopify)	\$2,080,000	65%
Amazon	\$800,000	25%
Wholesale (pharmacies, diabetes clinics)	\$320,000	10%
Total	\$3,200,000	100%

The Strategic Decision: December 2024

ExpressionMed is at a crossroads. The company has grown steadily for 6 years, but Meghan and her leadership team must decide how to invest the company's **\$600,000 in available capital** to drive the next phase of growth. After research, the team has identified **three strategic options**:

Option A: Expand into Retail Distribution

Partner with major pharmacy chains (CVS, Walgreens) and durable medical equipment (DME) suppliers to sell ExpressionMed patches in physical stores.

Factor	Details
Investment Required	\$450,000 (retail packaging redesign, sales team hire, trade shows, slotting fees)
Projected Additional Revenue (Year 1)	\$800,000
Projected Additional Revenue (Year 2)	\$1,500,000
ROI (Year 1)	$(\$800,000 - \$450,000) \div \$450,000 = \mathbf{78\%}$
Timeline	9–12 months to first retail shelf
Risk Level	Medium — retail partnerships are competitive; slotting fees are non-refundable if products don't sell

Option B: Launch a Subscription Model ("Patch of the Month")

Offer customers a monthly subscription box with 3–4 exclusive designs delivered to their door for \$19.99/month.

Factor	Details
Investment Required	\$200,000 (subscription platform development, exclusive design creation, packaging, marketing)
Projected Additional Revenue (Year 1)	\$480,000 (2,000 subscribers × \$19.99 × 12 months)
Projected Additional Revenue (Year 2)	\$1,200,000 (5,000 subscribers)
ROI (Year 1)	$(\$480,000 - \$200,000) \div \$200,000 = \mathbf{140\%}$
Timeline	3–4 months to launch
Risk Level	Low-Medium — subscription model proven in adjacent markets; risk is subscriber churn

Option C: Develop Smart CGM Integration Technology

Invest in R&D to develop a patch with embedded NFC chip that connects to the ExpressionMed app, allowing users to track their CGM sensor placement, share glucose data visualizations with their care team, and receive reminders to change sensors.

Factor	Details
Investment Required	\$580,000 (R&D, app development, NFC chip sourcing, regulatory review)
Projected Additional Revenue (Year 1)	\$150,000 (limited launch with 1,000 beta users at \$149.99/product)
Projected Additional Revenue (Year 2)	\$900,000 (full launch)
ROI (Year 1)	$(\$150,000 - \$580,000) \div \$580,000 = \mathbf{-74\%}$ (negative in Year 1)
Timeline	12–18 months to market
Risk Level	High — technology development is uncertain; regulatory requirements may delay launch; competitive threat from CGM manufacturers adding their own features

PACED Decision Matrix (Preliminary Data)

Raw Data by Option:

Criteria	Weight	Option A: Retail	Option B: Subscription	Option C: Smart Tech
ROI (Year 1)	25%	78%	140%	−74%
Revenue potential (Year 2)	20%	\$1,500,000	\$1,200,000	\$900,000
Investment required	15%	\$450,000	\$200,000	\$580,000
Timeline to market	15%	9–12 months	3–4 months	12–18 months
Risk level	10%	Medium	Low-Medium	High
Mission alignment (helping people with diabetes)	10%	Medium	Medium	High
Competitive advantage	5%	Low	Medium	High

Numerical Ratings (1 = Low/Poor, 5 = High/Excellent):

Criteria	Weight	Option A	Option B	Option C
ROI (Year 1)	25%	3	5	1
Revenue potential (Year 2)	20%	5	4	3
Investment required (lower = better)	15%	3	5	1
Timeline to market (shorter = better)	15%	3	5	1
Risk level (lower risk = better)	10%	3	4	1
Mission alignment	10%	3	3	5
Competitive advantage	5%	1	3	5

Questions

1. Respond to parts A, B, and C.

(A) Identify ExpressionMed's overarching strategy. Use evidence from the scenario to support your answer.

(B) Describe how ExpressionMed's strategy differs from the strategy of a company like Dexcom, which manufactures the CGM devices themselves.

(C) Explain why two companies in the same industry can have different strategies. Use ExpressionMed and Dexcom as examples.

2. Respond to parts A, B, and C.

ExpressionMed expanded into insulin pump skins after customer survey data showed 40% of CGM users also wear insulin pumps.

(A) Identify the types of data ExpressionMed collected to make this decision (e.g., financial, customer, competitor, market).

(B) Describe additional data ExpressionMed would want before investing further in the pump skin product line.

(C) Identify specific metrics ExpressionMed should track over 12 months to determine whether the pump skin expansion was successful.

3. Respond to parts A, B, and C.

(A) Using data from the three option tables, calculate the Year 1 return on investment for each option. Show your work.

(B) Using the same investment costs and Year 2 projected revenues, calculate the Year 2 return on investment for each option. Show your work.

(C) Compare your results from parts A and B. Explain why the option with the best Year 1 return is different from the option with the best Year 2 return, and what this reveals about short-term versus long-term tradeoffs.

4. Respond to parts A, B, and C.

Review the criteria and weights in the decision matrix.

(A) If the weight for "mission alignment" were increased from 10% to 25% and the weight for "ROI (Year 1)" were decreased from 25% to 10%, which option would score highest? Show your reasoning.

(B) Explain what this change reveals about how the choice of weights affects a decision.

(C) Recommend who should determine the weights in this decision — the founder, the employees, the investors, or the customers. Justify your answer.

5. Respond to parts A, B, and C.

Suppose Meghan Sharkus chooses Option C (Smart CGM Integration Technology) despite it scoring lowest on the decision matrix.

(A) Identify two legitimate reasons that might justify choosing Option C over the higher-scoring options.

(B) Describe the risks Meghan faces if the technology development takes longer or costs more than projected.

(C) Recommend specific steps Meghan could take to reduce these risks while still pursuing Option C. Support your recommendation with evidence from the scenario.

4.4 Crepes & Waffles and Square Meal Feeds — Case Handout

Topic 4.4 Strategic Analysis · Read before class. Be ready to discuss.

Background: Crepes & Waffles

Crepes & Waffles is a restaurant chain founded in 1980 by Beatriz Mejía Arango and Eduardo Macías Tofiño in Medellín, Colombia. The company specializes in crepes, waffles, salads, and beverages in the casual dining segment. Restaurants are located primarily in shopping centers and malls, targeting middle-class families, young professionals, and shoppers.

Approximately 70% of Crepes & Waffles' workforce are single mothers — a deliberate hiring model that provides stable income, benefits, training, and career advancement. The company operates 80+ restaurants across Colombia, Panama, Mexico, Ecuador, Peru, Chile, and Spain, employing more than 3,500 people.

Figure 1: Crepes & Waffles Financial Data (2024)

Metric	Value
Total Revenue	~\$180 million
Revenue from Colombia	75% of total
Revenue from International	25% of total
Number of Restaurants	80+
Countries	7
Employees	3,500+
Average Ticket Size	\$12.50 (Colombia), \$18.00 (international)
Gross Profit Margin	~58%
Operating Profit Margin	~12%
Average Restaurant Revenue	~\$2.25 million/year
Customer Satisfaction Rating	4.5/5.0

Background: Square Meal Feeds

Square Meal Feeds is a livestock and pet feed manufacturer founded in 2016 by Jake Thompson and Sarah Nguyen in Stillwater, Oklahoma. The company produces customized, nutritionist-formulated feed blends for cattle, horses, poultry, goats, and dogs. Instead of selling generic feed, Square Meal analyzes each customer's animals' nutritional requirements and formulates a custom blend.

Square Meal operates from a 15,000 sq ft production facility and sources grain from local Oklahoma farmers. The company serves 1,200 customers across Oklahoma, Kansas, Texas, and Arkansas — primarily small and medium-sized farms. Large commodity feed companies (Cargill, Purina, Land O'Lakes) have recently begun launching their own "custom" feed blends.

Figure 2: Square Meal Feeds Financial Data (2024)

Metric	Value
Total Revenue	\$4,800,000
COGS (grain, supplements, packaging)	\$3,120,000
Gross Profit	\$1,680,000
Gross Profit Margin	35.0%
Operating Expenses	\$1,320,000
Operating Profit	\$360,000
Operating Profit Margin	7.5%
Number of Customers	1,200
Average Revenue per Customer	\$4,000/year
Employees	18
Production Capacity	50 tons/month
Current Utilization	65%

Figure 3: Square Meal Feeds Revenue by Product Line

Product Line	Revenue	% of Total
Cattle Feed (custom blends)	\$2,400,000	50%
Horse Feed	\$960,000	20%
Poultry Feed	\$576,000	12%
Goat & Sheep Feed	\$384,000	8%
Dog Food (premium)	\$480,000	10%

Key Events

Crepes & Waffles

Year	Event
1980	First restaurant opens in a Medellín shopping center
1985	Expands to Bogotá; develops the single-mother hiring model
1995	15 restaurants in Colombia; standardized recipes and training established
2001	First international location opens in Panama
2008	Expands to Ecuador and Mexico; reaches 50 restaurants
2015	Enters Peru and Chile; revenue surpasses \$100 million
2020	COVID-19 closes 80% of locations; delivery launched within 3 weeks; revenue drops 35%
2022	First location in Spain; reaches 80 restaurants; digital ordering kiosks introduced
2024	Revenue ~\$180 million; exploring expansion into Brazil and the U.S. Hispanic market. Crepes & Waffles sources ingredients from 35+ suppliers across 8 countries; no single supplier represents more than 6% of total ingredient costs

Square Meal Feeds

Year	Event
2016	Founded; produces custom cattle feed for 50 local farms
2017	Expands to horse and poultry feed; 150 customers; hires first nutritionist
2019	Revenue \$1.5 million; enters Kansas and Texas; sells through 5 farm supply stores
2020	Revenue \$2.2 million; expands facility from 5,000 to 15,000 sq ft
2022	Revenue \$3.5 million; launches premium dog food; 900 customers in 4 states
2024	Revenue \$4.8 million; 1,200 customers; large competitors entering custom feed market

Questions

1. Respond to parts A, B, and C.

(A) Identify an internal factor and an external factor that affect Crepes & Waffles' ability to compete in the casual dining industry. Use evidence from the scenario.

(B) Identify an internal factor and an external factor that affect Square Meal Feeds' ability to compete in the animal feed industry. Use evidence from the scenario.

(C) Explain which of the two businesses faces a more challenging competitive environment. Support your explanation using specific evidence from the scenario and the financial data.

2. Respond to parts A, B, and C.

(A) Using data from Figures 2 and 3, calculate what would happen to Square Meal Feeds' operating profit if grain prices increased 15% (assume COGS increases proportionally and revenue remains constant). Show your work.

(B) Describe a specific strategy Square Meal Feeds could use to reduce its vulnerability to grain price increases.

(C) Explain why Crepes & Waffles is less vulnerable to supplier cost increases than Square Meal Feeds. Support your explanation with evidence.

3. Respond to parts A, B, and C.

Square Meal Feeds is considering investing more heavily in its premium dog food product line, which currently represents 10% of revenue (\$480,000). The production facility is operating at 65% capacity.

(A) Using data from the scenario, describe a financial argument in favor of expanding the dog food line.

(B) Using data from the scenario, describe a financial or competitive risk of expanding the dog food line.

(C) Recommend whether Square Meal Feeds should invest in expanding the dog food line. Support your recommendation using two specific criteria and evidence from the scenario.

4. Respond to parts A, B, and C.

An entrepreneur is deciding whether to open a new business in either the casual dining industry (competing with Crepes & Waffles) or the specialty animal feed industry (competing with Square Meal Feeds).

(A) Describe one factor that makes the casual dining industry more attractive for a new business, and one factor that makes it less attractive. Use evidence from the scenario.

(B) Describe one factor that makes the animal feed industry more attractive for a new business, and one factor that makes it less attractive. Use evidence from the scenario.

(C) Recommend which industry the entrepreneur should enter. Support your recommendation using specific financial and nonfinancial criteria from the scenario.

Keep this handout for reference throughout Unit 4.